Project Emerald

Due diligence findings

Deal Advisory

—

July 17, 2019

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Important notice

This report is provided to Bolton Group S.r.l. ("Client" or "you") on a confidential basis pursuant to our Engagement Letter dated June 13, 2019 ("Engagement Agreement") and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client's benefit and its own use. KPMG LLP ("KPMG") does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient's sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG.

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The tax findings contained in this report are based upon our reading of certain documents provided to us in a virtual dataroom and discussions with Management on June 25, 2019, July 10, 2019, and July 15, 2019. We did not test Target systems for compliance with taxes nor did we test any representations made to us.

Our findings take into account the applicable provisions and judicial and administrative interpretations of the relevant taxing statutes, the regulations thereunder and applicable tax treaties. Our findings also take into account all specific proposals to amend these authorities or other relevant statutes and tax treaties publicly announced prior to the date of our advice, based on the assumption that these amendments will be enacted substantially as proposed. Our findings do not otherwise take into account or anticipate any changes in law or practice, by way of judicial, governmental or legislative action or interpretation. These authorities are subject to change, retroactively and/or prospectively, and any such changes could have an effect on the validity of our findings and may result in incremental taxes, interest or penalties. Unless you specifically request otherwise, we will not update our advice to take any such changes into account.

Our advice will be limited to the conclusions specifically set forth in our reporting letter and KPMG will not express an opinion with respect to any other federal, provincial or foreign tax or legal aspect of the transactions described therein. It should be noted that the CRA and/or the relevant provincial authority could take a different position with respect to these transactions, in which case it may be necessary for you to defend this position on appeal from an assessment or litigate the dispute before the courts, including one or more appellate courts, in order for our conclusions to prevail. If a settlement were reached with CRA and/or the provincial tax authority or if such appeal and litigation were not, or were not entirely, successful, the result would likely be different from the views we express in our reporting letter. Unless expressly provided for, KPMG's services do not include representing Client in the event of a challenge by the Canada Revenue Agency or other tax or revenue authorities or litigation before the courts.

We recommend that Client obtain comprehensive representations, warranties, and an appropriate indemnity sufficiently broad to cover all Canadian taxes for all open years. The representations, warranties and indemnity should survive the period for which the tax returns can be reassessed.

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Private and confidential

Mr. Raffaele Pompa, M&A Director
Bolton Group S.r.l.
Via Giovanni Battista Pirelli, 19
20124 Milan
Italy

July 17, 2019

Dear Mr. Pompa

We have completed our procedures to assist Bolton Group S.r.l. ("Client" or "you") in performing financial and tax due diligence in connection with your prospective investment (the "Transaction") in Clover Leaf Holdings Company and its subsidiaries (collectively the "Company" or "Target"), in accordance with the terms of our engagement letter dated June 13, 2019, including its Terms and Conditions for Advisory and Tax Services.

Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of your prospective acquisition of Target. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions/meetings with Target Management. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

Basis of Information

The engagement letter describes the procedures we were to perform and are attached herein in Appendix 1. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you and/or Target from June 14, 2019 to July 17, 2019, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to July 17, 2019. We have not reviewed this report with Target Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

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Contents

Executive summary

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Basis of preparation, sources of information, and key outstanding information & limitations

Basis of presentation	Sources of information	Key outstanding information & limitations
■ This report has been produced to summarize our due diligence findings for the purpose of addressing our scope of work as set out in Appendix 1 of this report; ■ The Company's books and records are kept in accordance with US GAAP. All amounts in this report are presented in Canadian dollars; ■ The information presented in this report reflects the unaudited consolidated financial information provided by Management for FY17, FY18, and YTD P5-19; ■ The Company's consolidated financial results are not audited but are ultimately included in its parent company's audited consolidated financial statements; and ■ This document highlights key financial issues and other risks to consider in your diligence and a suggested basis of analysis for the continued diligence of Target. It provides a view of: – Adjusted EBITDA; – Normalized net working capital; and – Net debt and debt-like items.	■ Trial balances by legal entity and division provided by Management for FY17, FY18, and YTD P5-19; ■ Sell-side financial due diligence report (dated 3-May-19) prepared by EY; ■ Sell-side Transaction Foundations Databook (dated 3-May-19) prepared by EY; ■ Sell-side Tax Fact Book (dated 24-Apr-19) prepared by EY; ■ Monthly sales, gross margin, and other KPI details by product category and product provided by Management; ■ Top customers and suppliers details; ■ Historical capital expenditures and capital spend commitment details; ■ Monthly salaried and hourly headcount by department; ■ Actuarial valuation report as at 31-Dec-18 prepared by Mercer for CBCLSC's pension plans; ■ Intra-group and related party note agreements; and ■ Conference calls held with Management, EY, and Houlihan Lokey.	■ Access to component external audit working papers; ■ Information with respect contemplated pre-closing transaction and their expected tax treatment; ■ Information with respect to any expected bonuses to employees; and ■ Internal working paper supporting amounts reported on T106 Forms.

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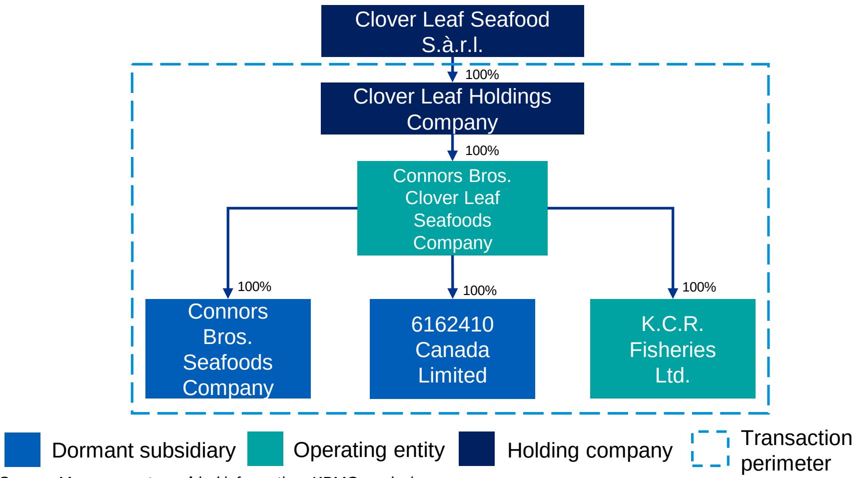
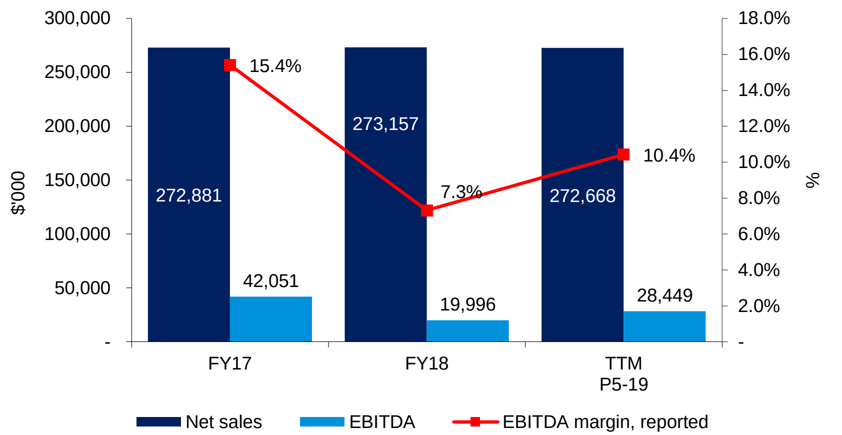
Business overview (1/4)

Condensed organization structure



Source: Management provided information, KPMG analysis

Financial summary



Source: Management provided information, KPMG analysis

Business overview

- Clover Leaf Holdings Company and its subsidiaries (collectively, the "Company", "Target" or "Clover Leaf"), is a shelf-stable seafood manufacturer and distributor headquartered in Markham, Ontario.
- Clover Leaf operates the following three main business streams:
  1. Canadian domestic business which had a reported net sales contribution of 66% in TTM P5-19, driven by sales generated under the Clover Leaf and Brunswick brands;
  2. International export business which had a reported net sales contribution of 30% in TTM P5-19, driven by sales generated under the Bumble Bee and Brunswick brands in over 43 markets; and
  3. Blacks Harbour operations business, which had a reported net sales contribution of 4% in TTM P5-19, and consists of sales of sardines processed at a facility in Blacks Harbour, New Brunswick. This excludes a 8% sales contribution from intercompany sardine sales to Bumble Bee Foods, which is eliminated on consolidation.
- The Company's product portfolio consists of two main segments: core product offerings such as tuna, salmon, sardines, and specialty/other; and value-added offerings such as flavored tuna, surimi, and snacks/other.
- The Company follows a 4-4-5 financial reporting cycle.

Information overview

- The analysis contained in this report was prepared based on the following sources of information and access:
  - **Data room access:** key information from the data room, including monthly internal trial balances and other supporting documents;
  - **Sell-side diligence report:** EY document dated 3-May-19; and
  - **Discussions:** held with Management including the Company's CFO and VP Finance, and their sell-side advisors (Houlihan Lokey and EY).

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Business overview (2/4)

Product segments

Net sales by product category

$'000	FY17	FY18	TTM P5-19	As a % of sales FY17	FY18	TTM P5-19
Tuna	93,415	97,165	97,935	34.2%	35.6%	35.9%
Sardines-Snacks	58,526	58,766	56,909	21.4%	21.5%	20.9%
Salmon	44,933	36,982	36,494	16.5%	13.5%	13.4%
Value add products	33,023	33,603	34,405	12.1%	12.3%	12.6%
Speciality	15,966	18,431	19,331	5.9%	6.7%	7.1%
Surimi	10,261	10,395	9,894	3.8%	3.8%	3.6%
Shelf stable - Beef	3,767	3,588	3,421	1.4%	1.3%	1.3%
Poultry	48	22	24	0.0%	0.0%	0.0%
Total	259,938	258,954	258,413	95.3%	94.8%	94.8%
Adjustment[1]	12,943	14,202	14,255	4.7%	5.2%	5.2%
Net sales, reported	**272,881**	**273,156**	**272,668**	**100.0%**	**100.0%**	**100.0%**

Source: Management provided information, KPMG analysis

Tuna and Sardine have historically been the Company's largest segments, representing approximately 36% and 21% of the Company's total sales in TTM P5-19, respectively.

While the Tuna, Specialty, Value-Add Product lines have increased by $4.5 million, $3.4 million, and $1.4 million, respectively, throughout the historical period, this growth has been offset by Salmon and Sardine revenue, which have declined by $8.4 million and $1.6 million, respectively. The decline of Salmon revenue is due to supply shortages in FY18.

Customers and market share

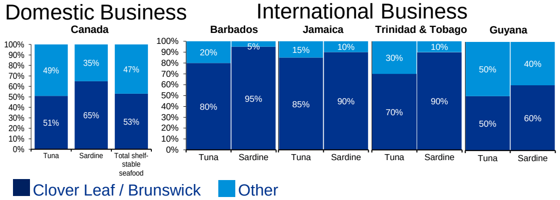
Top 5 customers

$'000	Net sales FY17	FY18	As a % of revenue FY17	FY18
Loblaw Companies Ltd	51,492	51,030	18.9%	18.7%
Walmart	34,950	37,130	12.8%	13.6%
Sobeys	33,629	31,822	12.3%	11.6%
Facey	21,849	20,689	8.0%	7.6%
Metro Richelieu Quebec	13,101	13,526	4.8%	5.0%
Top 5 customers	155,021	154,198	56.8%	56.5%
All other customers	104,917	104,756	38.4%	38.4%
Total	259,938	258,954	95.3%	94.8%
Adjustment[1]	12,943	14,202	4.7%	5.2%
Net sales, reported	**272,881**	**273,156**	**100.0%**	**100.0%**

Source: Management provided information, KPMG analysis

During FY17 and FY18, the majority of the Company's revenue has been attributable to its top 5 customers, with sales generated by these customers representing 56.8% and 56.5% of total revenue, respectively. One of these customers is with the International Business, Facey, while the remainder are with the Domestic Business.

Shelf-stable seafood market share FY18



Source: These market share figures are based on information presented in the CIM (p.14, 26) for the 52 week period ended Dec-18.

Management represents that Clover Leaf holds the majority of market share for Tuna, Sardine, and Shelf-Stable Seafood markets in Canada and Brunswick holds the majority market share for Tuna and Sardine in the top 4 international markets.

Vendors and employees

Top 5 suppliers

USD'000	Purchases FY17	FY18	As a % net sales FY17	FY18	As a % total FY17	FY18
ISA	22,671	20,693	8.3%	7.6%	18.4%	15.5%
R S Cannery Co Ltd	18,608	22,222	6.8%	8.1%	15.1%	16.6%
Pataya Food Industries Ltd	15,412	14,217	5.6%	5.2%	12.5%	10.7%
Thai Union Manufacturing Co Ltd	12,800	4,769	4.7%	1.7%	10.4%	3.6%
Trident Seafoods Corp	8,692	8,836	3.2%	3.2%	7.0%	6.6%
Top 5 Suppliers	78,183	70,736	28.7%	25.9%	63.4%	53.0%
All other suppliers	45,229	62,731	16.6%	23.0%	36.6%	47.0%
Total	**123,412**	**133,467**	45.2%	48.9%	100.0%	100.0%

Source: Management provided information, KPMG analysis

The Company's main suppliers are co-packers of seafood products and fisheries, and its top 5 suppliers represent the majority of its total purchases.

Headcount by company

	As at 31-Dec-17	31-Dec-18	25-May-19
Clover Leaf (excl. Blacks Harbour) - salaried	60	60	63
Blacks Harbour - salaried	33	33	32
Blacks Harbour - hourly*	380	313	223
KCR Fisheries - hourly*	15	21	4
Total full time equivalents (FTE)	**488**	**427**	**322**

Source: Management provided information, KPMG analysis
*Note: * Blacks Harbour hourly and KCR Fisheries hourly FTE reflect annual average.*

Total full time equivalents (FTE) fluctuated between 31-Dec-17 and 31-Dec-18 due to changes in hours worked by hourly employees. Additionally, note that KCR hourly employees are paid based on fish caught, not by the hour.

[1] *Total sales is adjusted for categories not included in sales data. The most significant portion relates to plant by-product and bait sales. Refer to Appendix 7 for a reconciliation of this adjustment.*

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Business overview (3/4)

Summary of entities within transaction perimeter

Entity	Purpose	Key operational assets	TTM P5-19 Key financials	Incorporation date
Clover Leaf Holdings Company	▪ Holding entity.	▪ n.a.	▪ Total assets: \$206.6 million ▪ Net sales: \$nil ▪ Gross margin: n.a. ▪ Net income: \$29k	November 13, 2008
Connors Bros. Clover Leaf Seafoods Company	▪ Operating entity. – Processes, imports, and sells products both domestically and internationally. – Operates administrative offices in Markham, Ontario and Saint John, New Brunswick. – Owns and operates a sardines canning facility in Blacks Harbour, New Brunswick.	▪ Owns all physical office buildings, processing facilities, machinery & equipment, and vehicles. ▪ Owns 6 operational fishing weirs and 50% interest in a 7th . ▪ Owns 7 sardine carrier vessels and 3 seiner vessels. ▪ Owns all Company trademarks and other intangible assets such as slotting rights, has beneficial rights to fishing licenses legally owned by 6162410 Canada Limited.	▪ Total assets: \$488.4 million ▪ Net sales: \$293.5 million (inclusive of BBF sales) ▪ Gross margin: \$53.1 million (18%) (inclusive of BBF margin) ▪ Net income: \$7.7 million (inclusive of BBF margin)	August 21, 2017
K.C.R. Fisheries Ltd.	▪ Operating entity. – Procures sardines for sale exclusively to CBCLSC.	▪ n.a.	▪ Total assets: \$1.2 million ▪ Net sales: \$12.0 million ▪ Gross margin: \$464k (4%) ▪ Net income: \$313k	January 1, 2007
Connors Bros. Seafoods Company	▪ Dormant entity.	▪ n.a.	▪ Total assets: \$nil ▪ Net sales: \$nil ▪ Gross margin: n.a. ▪ Net income: n.a.	August 21, 2017
6162410 Canada Limited	▪ Dormant entity which holds legal but not beneficial titles to fishing licenses.	▪ Owns fishing licenses.	▪ Total assets:\$nil ▪ Net sales: \$nil ▪ Gross margin: n.a. ▪ Net income: n.a.	November 20, 2003

Source: Management provided information, KPMG analysis

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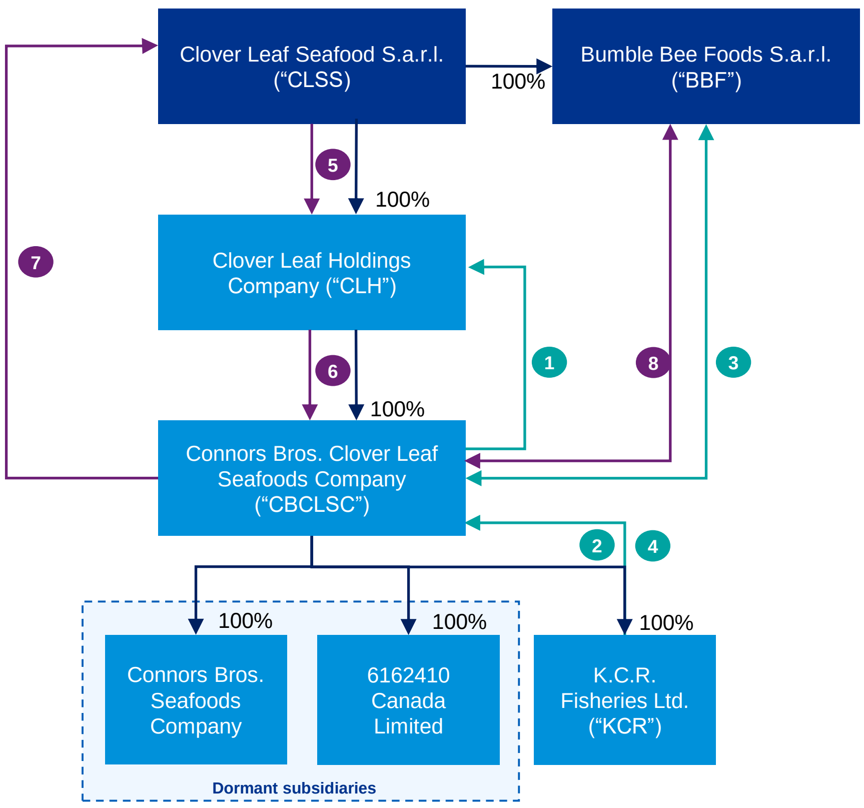
Business overview (4/4)

Intra-group and related party transactions/balances



Source: Management provided information, KPMG analysis

Entities included in the transaction perimeter

Entities excluded from the transaction perimeter

Dividend payments:

1. CBCLSC paid annual dividends to CLH from FY14-FY17.
2. KCR paid annual dividends to CBCLSC from FY15-FY18.

Intra-group and related party transactions:

3. The following intra-group and related party transactions occurred between CBCLSC and BBF:
   - A. CBCLSC sold brand finished sardines to BBF for resale to the US market;
   - B. CBCLSC purchased inventories (BBF-brand finished products) for resale by CBCLSC internationally; and
   - C. CBCLSC compensated BBF for the provision of testing and quality, strategic, administrative, back office, management, procurement, and information systems and operational technology support services.
4. KCR sells fish to CBCLSC for processing.

Intra-group and related party balances:

5. CLH has a related party loan payable to CLSS, bearing interest at 10.16% with an outstanding balance of $126.9 million as at 25-May-19. The total principal and interest balance are payable in arrears on 31-Dec-23.
6. CBCLSC has an intra-group loan payable to CLH, bearing interest at 10.21%. As at 25-May-19, the total unpaid balance was $105.3 million, which eliminates on consolidation.
7. CBCLSC has an interest bearing related party note receivable from CLSS, which bears interest at a rate equal to LIBOR plus 805 basis points, with an outstanding balance of $162.0 million as at 25-May-19. Total principal and interest balance are payable in arrears on 18-Aug-23.
8. CBCLSC has a related party revolving promissory note receivable from BBF bearing interest at 8% per annum. This arrangement was entered into on 21-May-19 whereby CBCLSC can lend BBF up to $20 million. As at 25-May-19, the outstanding drawn balance was $18.8 million.

Refer to Appendix 8 for further details of intra-group and related party balances.

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Summary financial statements

The Company's books and records are kept in accordance with US GAAP. The Company follows a 4-4-5 financial reporting calendar whereby the fiscal year is forced to end on December 31st.

Reported Net sales exclude intercompany sales to Bumble Bee in accordance with the sell-side report dated 03-May-19. This Bumble Bee related revenue is subsequently included within adjusted net sales, as discussed in QofE Adj #18.

CLH consolidated income statement			
Unaudited			TTM
$'000	FY17	FY18	P5-19
Net sales	272,881	273,157	272,668
Cost of sales	(213,651)	(220,376)	(219,031)
Gross profit	**59,230**	**52,780**	**53,637**
Total operating expenses	(22,280)	(21,613)	(20,470)
Operating income	**36,951**	**31,167**	**33,167**
Net interest expense	(11,667)	(14,159)	(14,987)
Other (income) expense	(1,947)	(4,373)	(4,213)
Restructuring & other transition costs	(182)	(13,637)	(7,294)
Income taxes	(6,356)	(3,719)	(4,130)
Net income / (loss)	**16,799**	**(4,720)**	**2,543**
Add back / (deduct)			
Net interest expense	11,667	14,159	14,987
Income taxes	6,356	3,719	4,130
Depreciation	3,339	3,368	3,462
Amortization	3,890	3,471	3,327
EBITDA	**42,051**	**19,996**	**28,449**
Restructuring & other transition costs	182	13,637	7,294
Adjusted EBITDA	**42,233**	**33,633**	**35,743**

Source: Management provided trial balances

Basis of presentation

- The consolidated financial statements of Clover Leaf Holdings Company are not audited, but are included in the audited financial statements of the parent company, Bumble Bee Foods.
- The Company's reporting currency is CAD. All figures are denominated in CAD, unless otherwise noted.

CLH consolidated balance sheet			
Unaudited	As at		
$'000	31-Dec-17	31-Dec-18	25-May-19
Assets			
Cash & cash equivalents	1	1	1
Accounts receivable	33,267	32,803	33,280
Inventories	86,207	96,248	88,109
Prepaid expenses & other current assets	188	1,066	1,332
Intercompany receivables	183,267	73,604	42,028
Current assets	302,930	203,722	164,750
Construction in progress	1,543	2,801	1,756
PP&E, net	29,290	34,125	34,533
Intercompany notes receivable	182,411	155,627	180,790
Pension benefit asset	1,506	2,642	2,831
Goodwill	13,865	13,865	13,865
Trademarks	48,293	48,293	48,293
Other intangible assets, net	49,397	56,946	55,643
Other long-term assets	675	1,236	673
Total assets	**629,911**	**519,257**	**503,134**
Liabilities & equity			
Accounts payable	(26,393)	(31,981)	(24,160)
Accrued expenses	(14,382)	(14,412)	(13,041)
Income & withholding taxes	(1,765)	(1,144)	(1,107)
Other current liabilities	(494)	(509)	(207)
Intercompany payables	(182,854)	(67,358)	(30,255)
Current liabilities	(225,889)	(115,404)	(68,771)
Term notes payable, net of DD/IC	(171,243)	(184,995)	(180,804)
Revolving credit facility, net of DD/IC	756	607	(25,749)
Subordinated notes, net of DD/IC	-	-	-
Capital leases & other debt	-	(212)	(442)
Intercompany notes payable	(133,528)	(123,040)	(126,866)
Deferred income taxes	(7,052)	(7,110)	(6,433)
Other long-term liabilities	(315)	(144)	(706)
Total liabilities	(537,271)	(430,298)	(409,771)
Equity	(92,639)	(88,959)	(93,363)
Total liabilities & equity	**(629,911)**	**(519,257)**	**(503,134)**

Source: Management provided trial balances

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Key findings - Financial (1/5)

Issue	Summary observations	Key analysis
Quality of earnings TTM P5-19 reported EBITDA of $28.5 million increased to $30.9 million subsequent to Management, sell-side, buy-side, and pro-forma adjustments.	See below	Pages 25 to 33

- The table below summarizes reported and pro forma adjusted EBITDA for FY17, FY18 and TTM P5-19:

Quality of earnings

$'000	FY17	FY18	TTM P5-19
CLH consol net sales, reported	**272,881**	**273,157**	**272,668**
Sell-side adjustments	(859)	(2,526)	(3,215)
CLH consol net sales, sell-side adj	**272,022**	**270,631**	**269,453**
Buy-side adjustments	23,097	19,039	20,006
CLH consol net sales, buy-side adj	**295,119**	**289,670**	**289,459**
CBCLSC consol net income, reported	**16,666**	**(4,754)**	**2,514**
CBCLSC consol EBITDA, reported	**41,937**	**20,000**	**28,458**
CBCLSC consol EBITDA margin, reported	*15.4%*	*7.3%*	*10.4%*
Management adjustments	166	13,637	7,294
CBCLSC consol EBITDA, Management adj	**42,102**	**33,637**	**35,752**
CBCLSC consol EBITDA margin, Management adj	*15.4%*	*12.3%*	*13.1%*
CLH EBITDA, reported	115	(4)	(9)
CLH consol EBITDA, Management adj	**42,217**	**33,633**	**35,743**
CLH consol EBITDA margin, Management adj	*15.5%*	*12.3%*	*13.1%*
Sell-side adjustments	3,903	91	(2,113)
CLH consol EBITDA, sell-side adj	**46,120**	**33,724**	**33,631**
CLH consol EBITDA margin, sell-side adj	*17.0%*	*12.5%*	*12.5%*
Buy-side adjustments	(2,481)	(1,749)	(966)
CLH consol EBITDA, buy-side adj	**43,638**	**31,974**	**32,665**
CLH consol EBITDA margin, buy-side adj	*14.8%*	*11.0%*	*11.3%*
Pro forma adjustments	-	(1,757)	(1,757)
CLH consol EBITDA, pro forma adj	**43,638**	**30,218**	**30,908**
CLH consol EBITDA margin, pro forma adj	*14.8%*	*10.4%*	*10.7%*

Source: Management provided information, KPMG analysis

- Significant Management adjustments to TTM P5-19 EBITDA include:
  - **Restructuring related transactions (increase of $7.3 million):** Removes transaction costs and FX/interest swap fluctuations related to refinancing and divestiture activities, one-time legal fees related to a civil lawsuit, and one-time severance costs caused by a reorganization.
- Significant sell-side adjustments to TTM P5-19 EBITDA include:
  - **Period adjustment for unused promotion funds (decrease of $1.9 million):** Re-allocates the reversal of unused promotion accruals to the period to which they relate.
  - **Supply agreement with Australia (decrease of $0.5 million):** Eliminates the gross profit generated from a temporary supply agreement with Freedom Foods Group, Australia as well the impact of non-cash sales cut-off adjustments from EBITDA.
  - **Other income/expenses other entities (increase of $0.5 million):** This adjustment eliminates income/expenses attributable to entities outside of the transaction perimeter, which are eliminated from EBITDA.
- Significant buy-side adjustments to TTM P5-19 EBITDA include:
  - **Reversal of sell-side adjustments (decrease of $1.1 million):** This adjustment: i) reverses sell-side adj. #2 on the basis that the pricing implementation and negotiation delays in FY17 were reflective of normal business operations; ii) reverses sell-side adj. #6, as international expansion and product development research expenses are recurring in nature for the Company; and iii) partially reverses sell-side adj. #5, in order to eliminate the portion of the over-accrual add-back that was attributable to a forward-looking management estimate.
  - **Fishing lease re-allocation (increase of $0.2 million):** This adjustment distributes the lump-sum lease expense balances related to a newly entered fishing quota licensing agreement, evenly on a monthly basis throughout FY18.

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Key findings - Financial (2/5)

Issue	Summary observations	Key analysis
Net working capital Management reported average net working capital in TTM P5-19 was $59.5 million and increased by $35.5 million to $95.0 million subsequent to Management, sell-side, and buy-side adjustments.	■ The table below summarizes the average reported and adjusted working capital during FY17, FY18, and TTM P5-19:	Pages 34 to 46

Net working capital

$'000		As at 31-Dec-17	As at 31-Dec-18	As at 25-May-19	Average FY17	Average FY18	Average TTM P5-19
Net working capital, Management reported	**A**	**45,096**	**68,334**	**72,792**	**49,022**	**51,606**	**59,505**
As % of TTM reported net sales		*16.5%*	*25.0%*	*26.7%*	*18.0%*	*18.9%*	*21.8%*
Total Management adjustments		37,632	18,571	15,831	31,195	33,414	31,213
Net working capital, Management adjusted	**B**	**82,728**	**86,906**	**88,624**	**80,217**	**85,021**	**90,718**
As % of TTM adjusted net sales		*30.4%*	*32.1%*	*32.9%*	*29.5%*	*31.4%*	*33.7%*
Total sell-side diligence adjustments		5,658	4,901	3,286	3,490	5,207	3,780
Net working capital, sell-side diligence adjusted	**C**	**88,386**	**91,807**	**91,910**	**83,706**	**90,227**	**94,498**
As % of TTM adjusted net sales		*32.5%*	*33.9%*	*34.1%*	*30.8%*	*33.3%*	*35.1%*
Total buy-side diligence adjustments		75	(1,883)	13	2,091	1,082	460
Net working capital, buy-side diligence adjusted	**D**	**88,460**	**89,923**	**91,923**	**85,797**	**91,309**	**94,958**
As % of TTM adjusted net sales		*32.5%*	*33.2%*	*34.1%*	*31.5%*	*33.7%*	*35.2%*

Source: Mgmt provided trial balances; Sell-Side report dated 03-May-19; KPMG analysis

■ Buy-side adjusted average net working capital increased from $85.8 million in FY17 to $95.0 million in TTM P5-19. The Company had a period of excess inventory build up which was mainly attributable to lower sales (driven by reduced demand in certain markets) and increased inventory from higher than expected yield.

■ Significant buy-side diligence adjustments to average net working in TTM P5-19 are noted as follows:

– **Revised trade promotions (decrease of $0.6 million):** Represents the correction of a sell-side adjustment relating to trade promotion excess accruals. Sell-side adjusted NWC did not consider the rate at which these excess accruals accumulate over time (i.e. evenly throughout a fiscal year according to Management) and assumed the over-accruals were isolated to costs incurred in December each year. Additionally, in accordance with QofE adj. #15c, this adjustment eliminates the portion of the sell-side add-back relating to management estimated over-accruals for FY18.

– **Revised sardine sales to BBF:** Sell-side adjusted NWC includes AR from sardine sales using a DSO of 35 days as an estimate. This adjustment increased the DSO from 35 to 48 days based on average adjusted DSO during the historical period.

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Key findings - Financial (3/5)

Issue	Summary observations	Key analysis

Inventory build-up

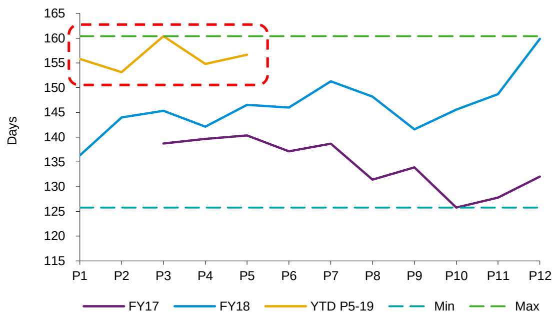
Average days inventory outstanding increased from 135 days in FY17 to 152 days in TTM P5-19.

This was primarily attributable to a higher than expected yield and slower to sell inventory in the Jamaican market.

Period of inventory build-up

- The Company had a period of excess inventory build up with an average days inventory outstanding “DIO” of 154 from P10-2018 to P5-2019. Inventory build-ups can be attributed to a decline in sales driven by lower demand in certain markets and increased inventory from higher than expected yield.
  - **Product sales:** Sardine sales declined 3% from FY18 to TTM P5-19 and Surimi sales declined 5% during the same period. Lower sales are driven by lapses in internal distributor management processes, and slow to sell Polish-sourced sardines in Jamaica in H1 2018. Additionally, there has been lower Tuna demand driven by higher costs.
  - **Inventory balances:** Sardine finished good balances increased by 20% from FY17 to FY18 driven by slower to sell inventory in the Jamaican market and a higher than expected fishing output in late 2018.
  - **Reserve calculation:** The Company calculates a reserve by assessing slow moving inventory quarterly and determining the portion of inventory at risk based on review of existing inventory best before dates. Product categories with inventory average levels less than $1.0 million are written off when obsolete without a reserve. The Company did not apply a reserve to excess Sardine or Surimi inventory; obsolete Surimi was directly written off and the higher than expected levels of Sardine were processed into inventory.

DIO, adjusted



Source: Mgmt provided information; KPMG analysis

DIO, buy-side adjusted

Days	FY17	FY18	TTM P5-19
Max	140	160	160
Average	135	146	152
Min	126	136	142
Variance from high	*6*	*14*	*9*
Variance from low	*(9)*	*(10)*	*(10)*

Source: Mgmt provided information; KPMG analysis

Inventory outlook

- Management expects a return to normalized ordering patterns after periods of excess inventory due to strong Canada Domestic net sales, which are ahead of budget by $5.2 million.
- Management also expects international sales volumes to recover in the second half of Q2/Q3 due to corrective promotional activity in Q2 2019 and distributor management.

Pages 44 to 46

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Key findings - Financial (4/5)

Issue	Summary observations	Key analysis
Net debt Management adjusted net debt of $142.7 million at 25-May-19 increased by $25.0 million to $167.6 million subsequent to buy-side adjustments.	■ The table below summarizes adjusted net debt as at 25-May-19: (table below)	Pages 47 to 53

Net debt

$'000	CBCLSC consol	CLH	CLH Elimco	CLH consol	On BS?
	As at 25-May-19				
Net cash / (debt), Management reported	**(129,291)**	**(21,530)**	**-**	**(150,820)**	
Management adjustments					
1a Intercompany receivables	17,778	24,250	-	42,028	✓
1b Intercompany payables	(30,243)	(12)	-	(30,255)	✓
2 Current portion of other payables	(3,377)	-	-	(3,377)	✓
3 Accrued interest	(341)	-	-	(341)	✓
4 Derivatives	320	-	-	320	✓
5 Bank overdrafts	(105)	-	-	(105)	✓
6 Financial instruments	(88)	-	-	(88)	✓
7 Accrued restructuring & other transition costs	(24)	-	-	(24)	✓
Total Management adjustments	(16,080)	24,238	-	8,158	
Net cash / (debt), Management adjusted	**(145,371)**	**2,708**	**-**	**(142,663)**	
Buy-side adjustments					
8 Remove IC receivables and payables	12,465	(24,238)	-	(11,773)	✓
9 Remove deferred financing costs	(7,376)	-	-	(7,376)	✓
10 One-off future separation costs	(2,608)	-	-	(2,608)	
11 Old Wharf removal	(1,500)	-	-	(1,500)	
12 Include income & withholding taxes	(47)	(1,061)	-	(1,107)	✓
13 Capitalize operating leases	(454)	-	-	(454)	✓
14 Remove derivative balances	(232)	-	-	(232)	✓
15 Include prepaid income taxes	296	8	-	304	✓
16 Other non-operating liabilities	(125)	-	-	(125)	✓
17 Include rent deposit	(95)	-	-	(95)	✓
18 Canadian antitrust claim	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
19 Transaction bonuses	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
20 Environmental testing & remediation	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
21 Remainder of restructuring costs to complete initiatives	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
Total buy-side adjustments	324	(25,290)	-	(24,966)	
Net cash / (debt), buy-side adjusted - n.q. items	**(145,047)**	**(22,582)**	**-**	**(167,629)**	

Source: Mgmt provided trial balances; Sell-Side report dated 03-May-19; KPMG analysis

Although these items may not be liabilities for accounting purposes, given Bolton would be assuming these future costs post-transaction, they should be considered net debt items.

■ Significant buy-side adjustments to net debt at 25-May-19 include:

– **Remove IC receivables and payables (decrease of $11.8 million):** This adjustment reverses Management adjustments #1a and 1b (thereby removing the impact of intercompany balances from net debt) on the basis that they relate to trading activity with BBF and are NWC in nature.

– **Remove deferred financing costs (increase of $7.4 million):** Reported net debt includes term debt and revolving credit facilities that are recorded net of capitalized discounts and issuance costs. We have excluded these deferred financing costs to present the cash outflow the Company is liable to pay.

– **One-off future separation costs (increase of $2.6 million):** Represents estimated one-time IT and non-IT costs that will result from the transaction. Refer to stand-alone cost analysis section for further details.

– **Old Wharf removal (increase of $1.5 million):** Management estimates future environmental clean-up costs of $1.5 million will be borne by the Company in relation to the removal of the Old Wharf. These costs are non-operating in nature and should be considered debt-like in your valuation model.

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Key findings – Financial (5/5)

Issue	Summary observations	Key analysis

Issue

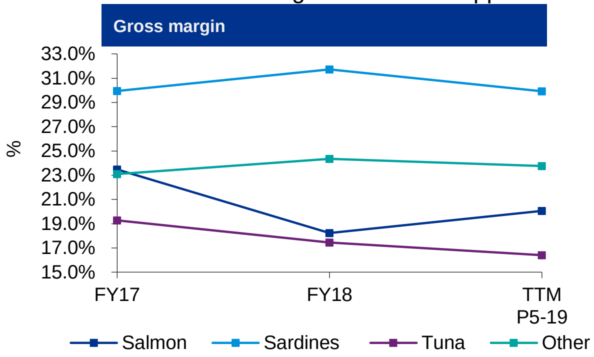
Gross margin analysis

Aggregate gross profit per equivalent case across all product categories has steadily declined from FY17 to TTM P5-19 from approximately $16 to $15.6.

This has been primarily driven by an increase in COGS per equivalent case from ($51.9) in FY17 to ($55.2) in TTM P5-19, which has been partially offset by price increases during the historical period.

Summary observations

- The chart below summarizes reported net sales and gross margin on an aggregate basis throughout the historical period. Note that this data was derived from VPC data, and excludes various reconciling items which are reflected in the final trial balance figures. Refer to Appendix 7 for a VPC bridge to the trial balances.



Gross profit

$'000	FY17	FY18	TTM P5-19
Sardines	17,522	18,650	17,024
Tuna	18,006	16,965	16,077
Other	14,564	16,084	15,931
Salmon	10,546	6,742	7,320
Less: F&W	2,888	2,701	2,601
VPC Adjustment	(4,326)	(8,544)	*(5,316)*
Total	59,199	52,599	53,637

Source: Management provided information, KPMG analysis

- Significant gross margin trends related to the Sardines segment include:
  - **Increase in gross margin per case from FY17 ($26.82) to FY18 ($29.07):** Primarily driven by decreased promotional/discount pricing initiatives in Value Sardines in combination with decreased costs and favorable FX rates in the Premium Sardines category.
  - **Decrease in gross margin per case from FY18 ($29.07) to TTM P5-19 ($27.25)**: Primarily driven by increased Blacks Harbour standard costing, increased external supplier costs, and unfavorable FX fluctuations in Value Sardines, Seafood Snacks, and Premium Sardines.
- Significant gross margin trends related to the Tuna segment include:
  - **Decrease in gross margin per case from FY17 ($10.04) to TTM P5-19 ($9.27):** Primarily driven by increased product costs, unfavorable FX fluctuations, and increased spending on product enhancements related to the "All Natural" market initiative across the Albacore, Skipjack, and Yellowfin categories.
- Significant gross margin trends related to Salmon include:
  - **Decrease in gross margin per case from FY17 ($27.41) to FY18 ($20.65):** Primarily driven by decreased supply and increased costs associated with Alaskan canned Salmon for the Red Salmon category, as well as increased supplier costs and unfavorable FX fluctuations related to Atlantic and Pink salmon.
  - **Increase in gross margin per case from FY18 ($20.65) to TTM P5-19 ($24.96):** Driven by price increases across all Salmon product lines; Red, Atlantic, Pink, and Keta.
- Significant gross margin trends related to other segments include:
  - **Decrease in Oyster gross margin per case from FY17 ($39.18) to TTM P5-19 ($33.25):** Driven by a combination of aggressive pricing discounts for a new Costco listing and unfavorable FX fluctuations.

Key analysis

Appendix 9

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Key findings - Standalone cost analysis

Issue	Summary observations	Key analysis
Standalone cost analysis		Pages 54 to 67

Standalone cost analysis

Management estimated potential incremental costs required for the carve-out to operate on a standalone basis, along with one-time costs and potential synergies. This estimate was then reviewed by EY.

KPMG has independently assessed Management's and EY's view of $6.4 million in standalone costs and has estimated these costs may need to be supplemented with an additional $1.8 million.

- KPMG performed an assessment of the estimated incremental standalone cost as provided by Management and EY. Through our review we identified the following areas for consideration:

Incremental standalone costs

	Mgmt estimate	EY estimate	KPMG estimate: Low case	KPMG estimate: High case	KPMG estimate: Base case	KPMG estimate: Adjustment to EY (base case)
Non-IT	3,255	3,015	3,027	4,780	4,119	1,104
IT	3,154	3,469	3,831	4,400	4,122	653
Total	**6,409**	**6,484**	**6,858**	**9,180**	**8,241**	**1,757**

Source: Management provided information; KPMG analysis

  - **Non-IT FTE:** Salaries, benefits and bonuses appear to be low compared to industry benchmarks. Furthermore, Management's and EY's estimates do not include membership dues, learning and development or payroll needed for incremental FTEs. In addition to the roles considered by Management, Buyer may also consider incremental roles to support Finance, Risk Management, and Regulatory/Government Relations.
  - **Non-IT non-FTE:** Management's estimates of bank fees, insurance, tax and audit fees appear to be overstated, whereas EY's adjustments appear to be understated comparative to industry benchmarks. Legal fees appear to be within the range.
  - **IT FTE:** There appears to some potential roles missing from the Management's and EY's IT FTE breakdown, including IT security, user support, and infrastructure management.
  - **IT non-FTE:** Some IT infrastructure and application cost adjustments would be required for SAP maintenance, application licensing, and additional applications and infrastructure that may not have been identified by EY.
- KPMG also reviewed estimated one-time costs and synergies as provided by Management and EY.

One-time costs and synergies

$'000	Mgmt estimate: IT	Mgmt estimate: Non-IT	Mgmt estimate: Total	EY estimate: IT	EY estimate: Non-IT	EY estimate: Total
One-time costs	1,124	280	1,404	2,422	187	2,608
Synergies	-	-	-	-	1,890	1,890

Source: Management provided information

  - Management estimated total of $1.4 million in one-time cost for IT and non-IT functions as part of their standalone analysis. EY adjusted it upward to $2.6 million. Further to the areas identified, Buyer may consider estimating TSA costs, legal costs, advisory costs, parallel-running costs, and other transaction-related costs as part of their analysis.
  - In addition, EY presented potential annual run-rate synergies of approximately $1.9 million that a strategic buyer may be able to generate from the acquisition. A buyer may consider their own deal thesis and how the Target may potentially integrate into a buyer's organization when considering potential synergies.

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Key findings - Taxation (1/6)

Issue	Summary observations	Key analysis
Summary of tax exposures	■ The following table is a summary of potential tax exposures for Target identified through our due diligence (to date): (see table below) ■ There could also be a Thai WHT exposure of US$1.2 million plus interest and penalty. Thai tax advice is required to confirm whether this exposure exist.	Not applicable

Summary of potential quantifiable tax exposures

$'000s	Description	Amount	Risk assessment
	Cash sw eeps - WHT on deemed dividend	3,400	Medium
	Related party transactions - Sales of branded finished sardines for resale by BBF	500	Medium
	Related party transactions - Intercompany note payable to CLH by CBCLSC	250	Medium
	Related party transactions - CBCLSC upstream loan w ith CLSS	150	Medium
Total		**4,300**	

Source: Information provided in the dataroom, discussions with Management and KPMG analysis

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Key findings - Taxation (2/6)

Issue	Summary observations	Key analysis
Cash sweeps – WHT on deemed dividend	▪ We understand that Target's bank account balances are swept daily as part of the treasury management by BBF. Pursuant to this practice, Management represented that if Target had excess cash during the year, they would send this cash to BBF so that it can be used to repay the US revolver. Similarly, when Target needed cash, such cash may have been borrowed under the US revolver and swept to Target. Cash sweeps were recorded as advances from and to BBF. Management represented that any balances outstanding as of November of the year were repaid by the end of December of the same year and the quantum of the cash sweeps to the US declined in recent years due to the Canadian revolver that was obtained. ▪ The amounts loaned or advanced by Target to BBF could be deemed to be dividends, subject to WHT, unless certain exceptions were met. The most typical exception available applies where the amounts loaned or advanced are repaid within one year after the end of taxation year in which the loan or advance arose. However, a repayment that is part of a series of loans/advances and repayments does not count as a repayment for purposes of this rule. Accordingly, a December repayment by BBF followed by a January re-borrowing (cash sweep) would likely not be considered a repayment for purposes of this rule. ▪ As of December 2015 CBCLSC had a receivable owing from BBF of C$17.5 million. At the end of FY15 BBF undertook a series of steps to repay this balance in order to avoid potential deemed dividend treatment. Management represented that the receivable was repaid in full prior to January 1, 2016. ▪ Management engaged EY to assist with any related tax advice. EY noted that there was continued risk of deemed dividend treatment if CBCLSC re-loans funds to BBF in the near future. ▪ Taking into account a regular cash sweep practice, there is a risk that the CRA may consider the cash sweeps between CBCLSC and BBF to be a series of loans and repayments and would ignore the FY15 repayment of $17.5 million. In this case Canadian WHT at a rate of 15% (assuming BBF is entitled to benefits under the Canada-US Treaty) would apply to such dividends including interest and penalty. We estimate the related tax exposure to be in the range of C$3.4 million including C$2.6 million of withholding tax, C$260,000 of penalty and 10% interest of C$540,000. This is a medium risk item. ▪ In addition, on audit the CRA is likely to request supporting information on cash transactions between BBF and CBCLSC. It should be noted that the cash sweep schedule provided by Management is highly confusing, not easily reconcilable to the trial balances and Forms T106 and may raise additional questions from the CRA. ▪ We recommend a specific indemnity is obtained with respect to this issue.	Not applicable

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Key findings - Taxation (3/6)

Issue	Summary observations	Key analysis
Taxable Canadian Property ("TCP")	■ Clover Leaf Seafood S.a.r.l. ("CLSS"), a non-resident of Canada, owns 100% of the shares of Target. Where a non-resident of Canada sells shares of a Canadian company that are considered taxable Canadian property ("TCP"), the purchaser will be liable to remit a tax to the CRA equal to 25% of the proceeds unless a certificate of compliance or notification, as applicable, is received from the CRA for the transaction. In general, TCP includes shares of a Canadian company where at any time in the 5 years preceding the sale greater than 50% of the value of those shares was derived from real property situated in Canada. ■ Where the sale of the property to an unrelated party may be only taxable in a foreign jurisdiction (i.e., exempt from Canadian tax) pursuant to the tax treaty between Canada and that jurisdiction with Canada (the Canada – Luxembourg treaty (the "Treaty") in this instance), the disposition of such property should not be subject to a Canadian withholding tax. However, as a protective measure in the event that Canada Revenue Agency ("CRA") takes the view that CLSS is not factually resident in Luxembourg, it is recommended that a notification signed by CLSS certifying its Luxembourg residency status (Form T2062C) be filed with CRA for the transaction. The notification should enable the buyer to claim it satisfied a "reasonable inquiry" test regarding the Luxembourg residency status of CLSS in the event CRA also concludes that the shares of Target are TCP. ■ Management performed internal analysis and believes that the shares of Target should not be considered TCP. As part of this analysis, Management considered that the fair market value ("FMV") of the TAC Bay of Fundy quota might be C$50 million value and total real property without any associated depreciation book value is only C$32 million taking into account the valuation of these assets completed back in 2010 (assumes all CIP is real property). We understand that no recent appraisal of the assets was performed. It is unclear whether the TAC Bay of Fundy quota would be considered real property for purposes of the TCP analysis. ■ We recommend that as part of the valuation of the contemplated transaction, Buyer considers the fair market value of the TAC Bay of Fundy quota compared to the fair market value of Target's shares to determine whether there is a risk that more than 50% of the Targets value is derived from real property. ■ Further, as a protective measure we recommend that the SPA include as a condition of closing that CLSS provide a signed copy of Form T2062 certifying it is a resident of Luxembourg.	Not applicable

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Key findings - Taxation (4/6)

Issue	Summary observations	Key analysis
Foreign exchange ("FX") implications on the future unwind of the financing structure	■ In 2017 Target borrowed the US dollar denominated amount of US$140 million and used these funds to make a US dollar denominated interest-bearing loan with a principal balance of US$140 million to CLSS (the "CLSS Loan"). This financing structure will need to be unwound on closing. ■ Management have not yet completed their analysis with respect to the exact steps that will be undertaken to unwind the financing structure. However, they currently estimate that the settlement of the US denominated loans as part of the unwind of the financing structure may result in approximately C$250,000 of FX losses to Target. ■ We requested that this information be provided once it is available and recommend that any proposal is reviewed.	Not applicable
Pre-closing reorganization and transaction bonuses	■ Management represented that they contemplate certain pre-closing transactions, including but not limited to, the settlement of intercompany balances. Management represented that they have engaged PWC to assist with the pre-closing tax planning and at this stage they are not ready to comment on the exact scope of such transactions. We requested that this information be provided once it is available and recommend that any proposal is reviewed. ■ Management also represented that it is likely transaction bonuses will be paid to management, however, no bonus plan has been formalized. There is risk that discretionary bonuses paid in respect of a transaction closing could be considered non-deductible on the basis they are considered capital expenditures.	Not applicable
Transitory acquisition of Sea Value Public Company Limited ("Sea Value")	■ In 2017, CLSS transferred its investment in Sea Value, a non-Canadian company to Target in exchange for 100 common shares of Target and then Target subsequently sold these shares to an arm's length party for US$8 million. Management believes the value of the investment in Sea Value was US$8 million at the time the shares were transferred to Target. ■ If the legal stated capital of Target was not appropriately increased by the Canadian dollar equivalent of US$8 million, then Target could have been deemed to have paid a dividend to CLSS in this amount. The dividend would have been subject to a 25% WHT (reduced to 5% WHT if relief under the Treaty is available). Management provided a copy of the board resolution supporting the US$8 million legal stated capital increase to address this concern. ■ In addition, Management represented that one of the reasons of the sale of Sea Value through CLH was the potential application of Thai WHT at the rate of 15% on the direct sale of the Sea Value by CLSS. The amount of Thai WHT would have been US$1.2 million. Management represented that the Thai WHT was avoided by interposing the transitory transfer of the shares of Sea Value to CLH. ■ As Thai tax advice is outside of our scope, we recommend that Client considers engaging Thai tax advisor to determine whether there could be a risk that any Thai WHT tax liability may have transferred to or incurred by Target as a result of this transaction.	Not applicable

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Key findings - Taxation (5/6)

Issue	Summary observations	Key analysis
Withholding tax ("WHT") on interest	■ Target pays interest on an intercompany note to CLSS. Under Canadian domestic law a 25% WHT applies to these interest payments. However, CLSS is claiming a reduced 10% WHT rate under the on the basis it is a resident of Luxembourg for purposes of the Treaty and has beneficial ownership of the interest. Generally, beneficial ownership refers to dominion and control over the interest received. ■ Management represented that the board of CLSS is comprised predominantly of residents of Luxembourg and meets regularly in Luxembourg to discuss and make decisions with regards to CLSS, including but not limited to the subsequent use of the funds received from CLH as interest. We have been provided with sample copies of board resolutions with respect to these matters and further representations regarding the board activities. Based on the representations received and additional supporting documents provided, any related challenge of the reduced WHT rate on interest on the grounds of beneficial ownership appears to be a low risk concern.	Not applicable
Payroll tax exposures in foreign jurisdictions	■ Management represented that a number of employees travel to foreign jurisdictions to visit customers and negotiate contracts. Generally, such employees would only visit a particular foreign country for less than two weeks in any year. ■ Potentially, such employee travel could trigger foreign payroll tax obligations. It would be a complex and expensive exercise to determine if such foreign payroll obligations existed. ■ Management also represented that none of these employees conclude contracts on behalf of Target in a foreign country. Accordingly, it appears low risk that such foreign travel could create permanent establishments in foreign countries, and as a result, significant corporate income tax exposures. ■ We recommend that a specific indemnity be obtained with respect to this matter. In addition, we recommend that post-closing Client conduct a review of employee travel to determine if any changes to Target's compliance practices are required.	Not applicable
Related party transactions Sales of branded finished sardines for resale by BBF	■ In FY14-FY18 CBCLSC sold branded sardines to BBF of approximately C$20 million - C$34 million a year for further resale on the US market. The intercompany price of branded finished sardines is based on CBCLSC's total production costs plus a mark-up of approximately 7%, which is benchmarked annually against comparable third party manufacturers. Based on the breakdown of sales to BBF, we understand that on average approximately 37% of the total sales of sardines to BBF represent the sale of finished sardines under the CBCLSC owned trademark, "Brunswick". ■ In an arm's length transaction, the owner of a consumer trademark would expect to be compensated for the other party's use of that trademark to generate sales. Management represented that currently CBCLSC is not directly compensated for BBF's use of the Brunswick trademark. ■ Based on a royalty rate of 2.5% applied to BBF's estimated sales of Brunswick products, we estimate the related income tax exposure to be approximately C$500,000 including interest for FY14-FY18. The statute of limitation for transactions with non-arm's length related parties is 7 years from the date of the NOA for the relevant taxation year, thus additional exposures may exist in respect of FY12-FY13. This is a medium risk concern.	Not applicable

DRAFT

Key findings - Taxation (6/6)

Issue	Summary observations	Key analysis
Related party transactions Intercompany note payable to CLH by CBCLSC	■ In FY08 CLSS entered into a "back-to-back" loan arrangement with CLH and CBCLSC. Under this arrangement CLSS held an intercompany note from CLH with an interest rate of 10.3% and CLH held an intercompany note for, CBCLSC with the same interest rate plus 5 bps (the "intercompany notes"). A benchmarking study was performed in FY09 which concluded that, at the time, the interest rate was within the arm's length range identified by publicly available interest rate observations on comparable debt. ■ The intercompany notes were amended to extend the maturity dates in 2017 and again in 2018 at the same interest rates of 10.3% and 10.35%. Given the downward movement of interest rates since FY09, CRA may argue that, given the option to prepay the principal amount, a party acting at arm's length would have attempted to negotiate a lower interest rate in a more favorable interest rate environment (such as in 2017 and 2018). In Aug-17 CBCLSC entered into a credit agreement with external lenders, the interest rate on which is 3 months USD LIBOR + 800 bps. ■ We have requested but not received the third party credit agreement to assess the comparability with the intercompany notes. Whilst there may be differences which support the difference in interest rates, to be conservative, we have calculated an exposure amount if the CRA were to assess the transaction and adjust the interest rate on the intercompany note payable by CBCLSC to be commensurate with the interest rate on the third party credit arrangement. We estimate the related income tax exposure for FY17-FY18 to be approximately C$250,000. This is a medium risk concern.	Not applicable
Related party transactions CBCLSC upstream loan with CLSS	■ The interest rate on the CLSS Loan is based on the interest rate obtained by CBCLSC on the above mentioned credit agreement with external lenders (USD 3 months LIBOR + 800 bps) plus 5 bps. ■ In a "back-to-back" financing arrangement the CRA would typically expect an interest rate spread higher than 5 bps to reside with the intercompany lender, i.e. CBCLSC. ■ Based on an additional spread of 20 bps, we estimate the related income tax exposure for FY17-FY18 to be approximately C$150,000 including interest. This is a medium risk concern.	Not applicable

Supporting analysis

KPMG

Quality of earnings

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Quality of earnings (1/8) - Overview

TTM P5-19 reported EBITDA of $28.5 million increases to $30.9 million subsequent to Management, sell-side, and potential adjustments identified during due diligence.

Refer to the following pages for additional details.

Quality of earnings

$'000	FY17	FY18	TTM P5-19
CLH consol net sales, reported	**272,881**	**273,157**	**272,668**
Sell-side adjustments	(859)	(2,526)	(3,215)
CLH consol net sales, sell-side adj	**272,022**	**270,631**	**269,453**
Buy-side adjustments	23,097	19,039	20,006
CLH consol net sales, buy-side adj	**295,119**	**289,670**	**289,459**
CBCLSC consol net income, reported	**16,666**	**(4,754)**	**2,514**
Add/(deduct)			
Interest expense / (income)	11,719	14,211	15,039
Income taxes	6,322	3,705	4,116
Depreciation & amortization	7,229	6,839	6,789
CBCLSC consol EBITDA, reported	**41,937**	**20,000**	**28,458**
CBCLSC consol EBITDA margin, reported	*15.4%*	*7.3%*	*10.4%*
Management adjustments	166	13,637	7,294
CBCLSC consol EBITDA, Management adj	**42,102**	**33,637**	**35,752**
CBCLSC consol EBITDA margin, Management adj	*15.4%*	*12.3%*	*13.1%*
CLH EBITDA, reported	115	(4)	(9)
CLH consol EBITDA, Management adj	**42,217**	**33,633**	**35,743**
CLH consol EBITDA margin, Management adj	*15.5%*	*12.3%*	*13.1%*
Sell-side adjustments	3,903	91	(2,113)
CLH consol EBITDA, sell-side adj	**46,120**	**33,724**	**33,631**
CLH consol EBITDA margin, sell-side adj	*17.0%*	*12.5%*	*12.5%*
Buy-side adjustments	(2,481)	(1,749)	(966)
CLH consol EBITDA, buy-side adj	**43,638**	**31,974**	**32,665**
CLH consol EBITDA margin, buy-side adj	*14.8%*	*11.0%*	*11.3%*
Pro forma adjustments	-	(1,757)	(1,757)
CLH consol EBITDA, pro forma adj	**43,638**	**30,218**	**30,908**
CLH consol EBITDA margin, pro forma adj	*14.8%*	*10.4%*	*10.7%*

Source: Mgmt provided trial balances; Sell-Side report dated 03-May-19; KPMG analysis

Basis of presentation

- The above quality of earnings schedule illustrates potential adjustments and other factors to be considered for FY18, FY19, and TTM P5-19.
- The proposed adjustments are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed adjustments.
- Significant adjustments are discussed on the following pages.

Overview

- The nature of adjustments included in the quality of earnings analysis are as follows:
  - **EBITDA, reported**: Reflects the Company's reported net income and includes definitional add-backs (i.e. interest expenses, taxes and depreciation and amortization);
  - **Management adjustments**: Represent Management adjustments, and non-recurring items identified by Management;
  - **Sell-side adjustments**: Represents adjustments and non-recurring items proposed by Management's sell-side advisors;
  - **Buy-side adjustments*:*** Represent non-recurring and other items identified during due diligence to reflect the underlying revenue and earnings of the core business; and
  - **Other considerations:** Certain other items identified that may impact historical and future EBITDA which are not reflected in the adjacent table. Refer to "Other Considerations" for additional details.

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Quality of earnings (2/8) - Management adjustments

Quality of earnings			
$'000	FY17	FY18	TTM P5-19
CLH consol net sales, reported	**272,881**	**273,157**	**272,668**
Sell-side adjustments	(859)	(2,526)	(3,215)
CLH consol net sales, sell-side adj	**272,022**	**270,631**	**269,453**
Buy-side adjustments	23,097	19,039	20,006
CLH consol net sales, buy-side adj	**295,119**	**289,670**	**289,459**
CBCLSC consol net income, reported	**16,666**	**(4,754)**	**2,514**
CBCLSC consol EBITDA, reported	**41,937**	**20,000**	**28,458**
CBCLSC consol EBITDA margin, reported	*15.4%*	*7.3%*	*10.4%*
Management adjustments			
1 Restructuring adjustments	166	13,637	7,294
Management adjustments	166	13,637	7,294
CBCLSC consol EBITDA, Management adj	**42,102**	**33,637**	**35,752**
CBCLSC consol EBITDA margin, Management adj	*15.4%*	*12.3%*	*13.1%*
CLH EBITDA, reported	115	(4)	(9)
CLH consol EBITDA, Management adj	**42,217**	**33,633**	**35,743**
CLH consol EBITDA margin, Management adj	*15.5%*	*12.3%*	*13.1%*
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CLH consol EBITDA margin, sell-side adj	*17.0%*	*12.5%*	*12.5%*
Buy-side adjustments	(2,481)	(1,749)	(966)
CLH consol EBITDA, buy-side adj	**43,638**	**31,974**	**32,665**
CLH consol EBITDA margin, buy-side adj	*14.8%*	*11.0%*	*11.3%*
Pro forma adjustments	n.q.	(1,757)	(1,757)
CLH consol EBITDA, pro forma adj	**43,638**	**30,218**	**30,908**
CLH consol EBITDA margin, pro forma adj	*14.8%*	*10.4%*	*10.7%*

Source: Mgmt provided trial balances; Sell-Side report dated 03-May-19; KPMG analysis

Management adjustments

The following represents Management adjustments to EBITDA:

1. **Restructuring adjustments:** Consists of the following components:

Restructuring related transactions			
$'000	FY17	FY18	TTM P5-19
Divestment related transaction costs	638	4	439
FX impact on external debt	(543)	15,725	6,705
FX impact on interco debt	-	(2,148)	(2,148)
Gain/loss on interest rate swap	-	(563)	1,634
Debt-related items	95	13,018	6,630
One-time legal fees	-	68	113
One-time severance costs	-	551	551
Non-cash sales cut-off adjustment	70	-	-
Restructuring related transactions adj.	**166**	**13,637**	**7,294**

Source: Management provided information, KPMG analysis

I. **Debt-related items:** Consists of the following components:

A. **Divestment related transaction costs:** Represents expenses incurred related to refinancing and divestment activities that are added back to EBITDA as they are non-recurring in nature.

B. **FX impact on external debt and intercompany debt:** Represents the removal of FX gains/losses related to; A) external Brookfield debt, and B) intercompany notes and receivables from/to CLSS.

C. **Gain/loss on interest swap:** Represents fluctuations in the interest swap hedge covering the interest portion of external debt, which is removed from EBITDA as it is non-operational in nature.

II. **One-time legal fees:** Represents legal fees incurred in connection with a Canadian civil anti-trust related action against the Company, which are added back to EBITDA as they are non-recurring in nature.

III. **One-time severance costs:** Represents one-time severance costs incurred as a result of corporate restructuring, relating to the Senior Vice President of Sardine Operations and Vice President of Marketing.

IV. **Non-cash sales cut-off adjustment:** Represents the elimination of a non-cash sales cut-off adjustment from EBITDA.

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Quality of earnings (3/8) - Sell-side adjustments

Quality of earnings			
$'000	FY17	FY18	TTM P5-19
CLH consol net sales, reported	**272,881**	**273,157**	**272,668**
Sell-side adjustments			
2 Divestment activity impact	2,471	-	-
4 Supply agreement with Australia	(4,530)	(1,826)	(1,181)
5 Period adjustment for unused promotion funds	1,100	(600)	(1,933)
9 Period adjustment for unused coupon liability	100	(100)	(100)
Sell-side adjustments	(859)	(2,526)	(3,215)
CLH consol net sales, sell-side adj	**272,022**	**270,631**	**269,453**
Buy-side adjustments	23,097	19,039	20,006
CLH consol net sales, buy-side adj	**295,119**	**289,670**	**289,459**
CBCLSC consol net income, reported	**16,666**	**(4,754)**	**2,514**
CBCLSC consol EBITDA, reported	**41,937**	**20,000**	**28,458**
CBCLSC consol EBITDA margin, reported	*15.4%*	*7.3%*	*10.4%*
Management adjustments	166	13,637	7,294
CBCLSC consol EBITDA, Management adj	**42,102**	**33,637**	**35,752**
CBCLSC consol EBITDA margin, Management adj	*15.4%*	*12.3%*	*13.1%*
CLH EBITDA, reported	115	(4)	(9)
CLH consol EBITDA, Management adj	**42,217**	**33,633**	**35,743**
CLH consol EBITDA margin, Management adj	*15.5%*	*12.3%*	*13.1%*
Sell-side adjustments			
2 Divestment activity impact	2,471	-	-
3 Routine severance costs	-	(168)	(168)
4 Supply agreement with Australia	2	(41)	(536)
5 Period adjustment for unused promotion funds	1,100	(600)	(1,933)
6 International innovation expenses	-	249	257
7 Non-recurring consultant fees	-	57	57
8 Property tax adjustment	192	-	(80)
9 Period adjustment for unused coupon liability	100	(100)	(100)
10 Luxembourg cost	477	(194)	(220)
11 Other income/expenses other entities	(139)	515	515
12 (Gain)/loss on sale of assets	(34)	(6)	(8)
13 Removal of FX impact on IC balances	(129)	520	427
14 Stand-alone cost adjustments	(137)	(141)	(324)
Sell-side adjustments	3,903	91	(2,113)
CLH consol EBITDA, sell-side adj	**46,120**	**33,724**	**33,631**
CLH consol EBITDA margin, sell-side adj	*17.0%*	*12.5%*	*12.5%*
Buy-side adjustments	(2,481)	(1,749)	(966)
CLH consol EBITDA, buy-side adj	**43,638**	**31,974**	**32,665**
CLH consol EBITDA margin, buy-side adj	*14.8%*	*11.0%*	*11.3%*
Pro forma adjustments	-	(1,757)	(1,757)
CLH consol EBITDA, pro forma adj	**43,638**	**30,218**	**30,908**
CLH consol EBITDA margin, pro forma adj	*14.8%*	*10.4%*	*10.7%*

Source: Mgmt provided trial balances; Sell-Side report dated 03-May-19; KPMG analysis

Sell-side adjustments

The following represents sell-side adjustments to EBITDA:

2. **Divestment activity impact:** As a result of the divestment activity in 2017, the Company was forced to postpone planned price increases related to skipjack tuna products and temporarily halt shipping to certain customers due to delays in the price negotiation process. This adjustment: A) reflects the impact of Q4-17 price increases throughout Q2-17 and Q3-17; and B) eliminates the impact of temporary shipping halts during Oct-17 and Nov-17, by adjusting volume during those months to reflect average volume during the same months in FY16 and FY18.

Divestment activity impact			
$'000	FY17	FY18	TTM P5-19
Margin loss - skipjack	1,139	-	-
Margin loss - flavored kits	617	-	-
Volume shortfall - skipjack	413	-	-
Volume shortfall - flavored kits	301	-	-
Divestment activity impact adj.	**2,471**	**-**	**-**

Source: Management provided information, KPMG analysis

3. **Routine severance costs:** Represents the reversal of the portion of restructuring costs within Management adjustment #III, that is attributable to the VP of Marketing position. This reversal is based on the fact that the position was not eliminated as part of a reorganization initiative.

4. **Supply agreement with Australia:** In 2005, Freedom Foods Group (formerly SNF) purchased the rights to the Brunswick brand in Australia from Clover Leaf, and entered into a 10 year contract to buy finished goods sardines from Blacks Harbour at factory standard cost. The gross profit generated from this supply agreement is removed from EBITDA as it is non-recurring in nature.

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Quality of earnings (4/8) - Sell-side adjustments (continued)

Quality of earnings			
$'000	FY17	FY18	TTM P5-19
CLH consol net sales, reported	**272,881**	**273,157**	**272,668**
Sell-side adjustments			
2 Divestment activity impact	2,471	-	-
4 Supply agreement with Australia	(4,530)	(1,826)	(1,181)
5 Period adjustment for unused promotion funds	1,100	(600)	(1,933)
9 Period adjustment for unused coupon liability	100	(100)	(100)
Sell-side adjustments	(859)	(2,526)	(3,215)
CLH consol net sales, sell-side adj	**272,022**	**270,631**	**269,453**
Buy-side adjustments	23,097	19,039	20,006
CLH consol net sales, buy-side adj	**295,119**	**289,670**	**289,459**
CBCLSC consol net income, reported	**16,666**	**(4,754)**	**2,514**
CBCLSC consol EBITDA, reported	**41,937**	**20,000**	**28,458**
CBCLSC consol EBITDA margin, reported	*15.4%*	*7.3%*	*10.4%*
Management adjustments	166	13,637	7,294
CBCLSC consol EBITDA, Management adj	**42,102**	**33,637**	**35,752**
CBCLSC consol EBITDA margin, Management adj	*15.4%*	*12.3%*	*13.1%*
CLH EBITDA, reported	115	(4)	(9)
CLH consol EBITDA, Management adj	**42,217**	**33,633**	**35,743**
CLH consol EBITDA margin, Management adj	*15.5%*	*12.3%*	*13.1%*
Sell-side adjustments			
2 Divestment activity impact	2,471	-	-
3 Routine severance costs	-	(168)	(168)
4 Supply agreement with Australia	2	(41)	(536)
5 Period adjustment for unused promotion funds	1,100	(600)	(1,933)
6 International innovation expenses	-	249	257
7 Non-recurring consultant fees	-	57	57
8 Property tax adjustment	192	-	(80)
9 Period adjustment for unused coupon liability	100	(100)	(100)
10 Luxembourg cost	477	(194)	(220)
11 Other income/expenses other entities	(139)	515	515
12 (Gain)/loss on sale of assets	(34)	(6)	(8)
13 Removal of FX impact on IC balances	(129)	520	427
14 Stand-alone cost adjustments	(137)	(141)	(324)
Sell-side adjustments	3,903	91	(2,113)
CLH consol EBITDA, sell-side adj	**46,120**	**33,724**	**33,631**
CLH consol EBITDA margin, sell-side adj	*17.0%*	*12.5%*	*12.5%*
Buy-side adjustments	(2,481)	(1,749)	(966)
CLH consol EBITDA, buy-side adj	**43,638**	**31,974**	**32,665**
CLH consol EBITDA margin, buy-side adj	*14.8%*	*11.0%*	*11.3%*
Pro forma adjustments	-	(1,757)	(1,757)
CLH consol EBITDA, pro forma adj	**43,638**	**30,218**	**30,908**
CLH consol EBITDA margin, pro forma adj	*14.8%*	*10.4%*	*10.7%*

Source: Mgmt provided trial balances; Sell-Side report dated 03-May-19; KPMG analysis

Sell-side adjustments (continued)

5. **Period adjustment for unused promotion funds:** The Company routinely reverses unused promotion accruals in the year following the promotion. This adjustment represents the re-allocation of these reversals to the period to which they relate.
6. **International innovation costs:** Represents one-time research costs incurred in relation to market entry to China and seafood analog products, which are added back to EBITDA as they are non-recurring in nature.
7. **Non-recurring consultant fees:** Represents tax consulting fees incurred as a result of a property tax rate amendment in FY18, which are added back to EBITDA as they are non-recurring in nature.
8. **Property tax adjustment:** As a result of a property tax amendment in FY18, the Company's tax rate for properties near Black Harbour was reduced by 25%. This adjustment reflects the run-rate impact of this reduced property tax rate throughout the historical period.
9. **Period adjustment for unused coupon liability:** In Jun-18, as a result of switching from print to digital coupons, the Company released the full balance of coupon liabilities relating to print coupons issued in the prior year. This adjustment represents the re-allocation of this liability release to the period in which it relates.
10. **Luxembourg cost:** Represents revenues and costs attributable to the non-operating Luxembourg business unit, which are eliminated from EBITDA as they are related to Bumble Bee and will not be incurred on a go-forward basis.
11. **Other income/expenses other entities:** Represents income/expenses attributable to entities outside of the transaction perimeter, which are eliminated from EBITDA as they will not be incurred on a go-forward basis.
12. **Gain/loss on sale of assets:** Represents the removal of one-time gains/losses on the sale of assets from EBITDA.
13. **Removal of FX impact on IC balances:** Represents FX gains/losses related to intercompany balances related to BBF, KCR, CLH, and Anova, which are eliminated from EBITDA as they are non-operating in nature.
14. **Stand-alone costs adjustments:** Represents the removal of costs which are expected to be discontinued post-acquisition and the addition of estimated stand-alone replacement costs which will be incurred instead. Refer to stand-alone cost section for further details as well as Pro-forma adjustment #19.

KPMG

Quality of earnings (5/8) - Buy-side adjustments

Quality of earnings

$'000	FY17	FY18	TTM P5-19
CLH consol net sales, reported	**272,881**	**273,157**	**272,668**
Sell-side adjustments	(859)	(2,526)	(3,215)
CLH consol net sales, sell-side adj	**272,022**	**270,631**	**269,453**
Buy-side adjustments			
18 Net sales from Bumble Bee	25,714	20,539	20,881
15a Reversal of divestment activity impact	(2,471)	-	-
15c Partial trade promotion period adjustment	-	(1,500)	(875)
16 Discontinuation of Toppers product line	(146)	-	-
Buy-side adjustments	23,097	19,039	20,006
CLH consol net sales, buy-side adj	**295,119**	**289,670**	**289,459**
CBCLSC consol net income, reported	**16,666**	**(4,754)**	**2,514**
CBCLSC consol EBITDA, reported	**41,937**	**20,000**	**28,458**
CBCLSC consol EBITDA margin, reported	*15.4%*	*7.3%*	*10.4%*
Management adjustments	166	13,637	7,294
CBCLSC consol EBITDA, Management adj	**42,102**	**33,637**	**35,752**
CBCLSC consol EBITDA margin, Management adj	*15.4%*	*12.3%*	*13.1%*
CLH EBITDA, reported	115	(4)	(9)
CLH consol EBITDA, Management adj	**42,217**	**33,633**	**35,743**
CLH consol EBITDA margin, Management adj	*15.5%*	*12.3%*	*13.1%*
Sell-side adjustments	3,903	91	(2,113)
CLH consol EBITDA, sell-side adj	**46,120**	**33,724**	**33,631**
CLH consol EBITDA margin, sell-side adj	*17.0%*	*12.5%*	*12.5%*
Buy-side adjustments			
15a Divestment activity impact	(2,471)	-	-
15b International innovation expenses	-	(249)	(257)
15c Partial trade promotion period adjustment	-	(1,500)	(875)
15 Reversal of sell-side adjustments	(2,471)	(1,749)	(1,132)
16 Discontinuation of Toppers product line	(10)	-	-
17 Fishing lease re-allocation	-	(0)	167
Buy-side adjustments	(2,481)	(1,749)	(966)
CLH consol EBITDA, buy-side adj	**43,638**	**31,974**	**32,665**
CLH consol EBITDA margin, buy-side adj	*14.8%*	*11.0%*	*11.3%*
Pro forma adjustments	-	(1,757)	(1,757)
CLH consol EBITDA, pro forma adj	**43,638**	**30,218**	**30,908**
CLH consol EBITDA margin, pro forma adj	*14.8%*	*10.4%*	*10.7%*

Source: Mgmt provided trial balances; Sell-Side report dated 03-May-19; KPMG analysis

Buy-side adjustments

The following represents potential adjustments to EBITDA:

15. **Reversal of sell-side adjustments:** Consists of the following items:
    - A. **Divestment activity impact:** Represents the reversal of sell-side adj. #2, on the basis that the delay in price increase implementation and negotiation in FY17, caused by an increased focus on a concurrent divestiture process, was representative of a normal business resource allocation decision. As this type of strategic dilemma is not one-time in nature, the impact of the sell-side adjustment is eliminated from EBITDA.
    - B. **International innovation expenses:** Represents the reversal of sell-side adj. #6, on the basis that research expenses related to international expansion and new product development are a normal part of business operations, as indicated by recurring R&D expenses throughout the historical period.
    - C. **Partial trade promotion period adjustment:** As part of sell-side adj. #5, an estimated trade promotion over-accrual balances was added back to EBITDA in FY18. As this estimate is unsubstantiated, the portion of the FY18 over-accrual adjustment which has not yet been reversed in YTD-19, has been eliminated.

Partial trade promotion period adjustment

$'000	FY17	FY18	TTM P5-19
FY18 over-accrual reversed in YTD P5-19	-	500	292
Less: FY18 over-accrual estimate per mgmt.	-	(2,000)	(1,167)
Partial trade promotion period adjustment	**-**	**(1,500)**	**(875)**

Source: Management provided information, KPMG analysis

16. **Discontinuation of Toppers product line:** As at Dec-17, the Company made a decision to discontinue the sale of the Toppers product line. This adjustment eliminates the EBITDA margin associated with this product from the historical period.
17. **Fishing lease re-allocation:** Effective January 1, 2018, the Company entered into a new leasing arrangement for additional herring quota, for which a $400k annual fee was paid in two installments midway through FY18. This adjustment distributes these lump-sum lease expense balances evenly on a monthly basis throughout FY18.
18. **Net sales from Bumble Bee:** Represents the reversal of the sell-side elimination of Bumble Bee sales, as these sales are expected to continue on a go-forward basis.

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Quality of earnings (6/8) - Pro-forma adjustments

Quality of earnings			
$'000	FY17	FY18	TTM P5-19
CLH consol net sales, reported	**272,881**	**273,157**	**272,668**
Sell-side adjustments	(859)	(2,526)	(3,215)
CLH consol net sales, sell-side adj	**272,022**	**270,631**	**269,453**
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Buy-side adjustments	(2,481)	(1,749)	(966)
CLH consol EBITDA, buy-side adj	**43,638**	**31,974**	**32,665**
CLH consol EBITDA margin, buy-side adj	*14.8%*	*11.0%*	*11.3%*
Pro forma adjustments			
19 Incremental standalone costs	-	(1,757)	(1,757)
Pro forma adjustments	-	(1,757)	(1,757)
CLH consol EBITDA, pro forma adj	**43,638**	**30,218**	**30,908**
CLH consol EBITDA margin, pro forma adj	*14.8%*	*10.4%*	*10.7%*

Source: Mgmt provided trial balances; Sell-Side report dated 03-May-19; KPMG analysis

Pro-forma adjustments

The following represents pro-forma adjustments to EBITDA:

19. **Incremental stand-alone costs:** Represents run-rate incremental stand-alone costs that are expected to be incurred by the Company post-acquisition, in excess of sell-side adjustment #14. Refer to the stand-alone cost analysis section for further details. This adjustment has only been applied to TTM P5-19 and FY18 as sufficient corroborating information was unavailable for FY17.

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Quality of earnings (7/8) - Other considerations

Other considerations (not included as part of preceding QofE analysis)

The following includes potential quality of earnings considerations identified during due diligence. These items relate to other potential business issues that should be considered in the overall evaluation of the business. In addition, these items may be subjective in nature and as a result, they have not been included in the quality of earnings schedule.

A. **Marketing spend deferral:** There are two key considerations that client should consider with regards to the Company's existing marketing expenditures:

   I. Management represents that there was a deferral of $1.3 million of marketing spend, primarily due to a delay of the All Natural campaign until Fall 2019 to better align this marketing initiative with the timing of the full distribution of "All Natural" products across retailers. Client should consider the impact of a reduced marketing spend in YTD P5-19 driven by this deferral.

   II. Management represents that throughout the historical period, marketing spend has been below what they believe is necessary in order to maintain the Company's strong brand equity. Client should consider the potential need for a $1.5 million annual increase in marketing spend on a go-forward basis including the top-line impact, if any.

B. **Product line changes:** During the historical period, the Company discontinued two specialty product lines: A) Chowder, which was sold intermittently from P1-16 to P4-17; and B) Surimi Salad, which was sold from P1-17 to P4-17. In addition to this, the Company also launched a new specialty product line called Premium Pouch in P2-18. As the EBITDA contribution of these product lines was negligible during the historical period, the pro forma impact of these discontinuations and product launches has not been quantified.

C. **Sardine sales to Bumble Bee:** The gross profits associated with sardine sales to Bumble Bee are included within EBITDA. Throughout the historical period, the Company has earned a pre-determined 7% margin on sales to BBF. Per a 2018 EY Transfer Pricing report provided by Management, the mark-up on total cost (MTC) earned by similar external comparables fell within a range of (35.00%) to 20.77%, with a median of 7.03%. As this analysis is indicative in nature and a more recent assessment is unavailable, Client should still consider the implications of these non-arms length sales not being representative of a FMV transaction.

Bumble Bee margin			
$'000	FY17	FY18	TTM P5-19
Intercompany sales	25,714	20,539	20,881
Intercompany COS	(24,031)	(19,196)	(19,515)
Gross profit per TB's	1,683	1,344	1,366
Incremental gross profit attributable to timing difference	31	182	40
Total Bumble Bee margin	**1,713**	**1,525**	**1,406**

Source: Management provided information, KPMG analysis

D. **Hurricane related demand increase:** Management represents that sales in the Dominican Republic increased in FY17 due to intense hurricane activity in the region, resulting in greater demand for canned goods. Your valuation model should consider such events which will reoccur, albeit infrequently

E. **Red Tide initiative:** Management has recently launched an initiative to procure a new supply source for canned salmon. Due to a decreasing supply of canned Salmon from Alaska, where the Company has historically purchased from, this new initiative aims to increase salmon supply from Russia and develop canning capabilities with existing suppliers in Thailand. Management represents that the cans produced in Thailand will facilitate lower price points for consumers as they are 2/3 of the size of regular cans. This lowered price point is expected to ultimately drive increased demand for canned salmon products, with these financial result improvements expected to materialize beginning in 2020. Client should consider the potential EBITDA impact of this growth initiative on a go-forward basis.

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Quality of earnings (8/8) - Other considerations

Other considerations (continued)

F. **Unused promotion accrual:** The following components represent trade promotion over-accrual balance estimates for FY18 and YTD May-19, that client should take into consideration.

I. Management represents that the total FY18 trade promotions over-accrual balance will be approximately $2.2 million. This consists of the original $2.0 million estimate as provided in the EY sell-side report, as well as an incremental $0.2 million per discussion with Management:

II. In addition, an estimated trade promotion over-accrual in YTD P5-19 has been calculated based on the average over-accrual balance from FY15 to FY18.

Unused promotion accrual			
$'000	FY17	FY18	TTM P5-19
Original FY18 over-accrual estimate	-	2,000	1,167
Add: Incremental FY18 over-accrual estimate	-	200	117
Less: Sell-side confirmed over-accrual balance	-	(500)	(292)
A. Incremental FY18 over-accrual estimate	-	1,700	992
B. Estimated YTD P5-19 over-accrual	-	-	854
Unused promotion accrual	**-**	**1,700**	**1,846**

Source: Management provided information, KPMG analysis

G. **Upcoming initiatives:** The Company is currently in the planning or initial execution stages of the following initiatives. As meaningful historical results are not available for these projects, their potential impact on EBITDA has not been quantified. However, client should consider the potential implications of these initiatives on a go-forward basis.

I. **Bistro bowls:** Represents a ready-meal in a bowl product which contains tuna, pasta/rice, vegetables, and spices. The product launch is expected to occur in the second half of FY19.

II. **Seafood Analog / Fish Vienna Sausage:** Represents a range of lower cost, plant-based or reduced fish content products for sale internationally to consumers in economically challenged markets. The product launch is expected to occur in FY20.

III. **Alternate channels:** Represents the start of domestic sales for certain existing international product lines in the form of canned tuna items which contain vegetables, to be marketed under the Brunswick brand in Canada and sold to discount stores (i.e. dollar stores, convenience stores, and gas stations). This domestic launch occurred in P4-19 and Management represents that it is too early to evaluate the success of the launch.

Net working capital

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Stratified balance sheet

The adjacent table presents the consolidated net asset position segregated into its components as at 25-May-19.

The consolidated net asset position as at 25-May-19 was $93.4 million mainly comprised of inventories, related party notes receivables, and intangible assets, partially offset by term debt and related party notes payables.

Basis of presentation: **The consolidated net assets were stratified based on Management's view of reported NWC and net debt based on the sell-side financial diligence report dated 3-May-19.**

Stratified balance sheet at 25-May-19

Unaudited	As at 25-May-19							
$'000	CBCLSC consol	CLH	CLH elimco	CLH consol	NWC	Net debt	Fixed & intangible assets	Other
Assets								
Cash & cash equivalents	1	-	-	1	-	1	-	-
Accounts receivable	33,280	-	-	33,280	33,280	-	-	-
Inventories	88,109	-	-	88,109	88,109	-	-	-
Prepaid expenses & other current assets	1,323	8	-	1,332	1,323	-	-	8
Intercompany receivables	17,778	24,250	-	42,028	17,778	-	-	24,250
Current assets	140,492	24,258	-	164,750	140,491	1	-	24,258
Construction in progress	1,756	-	-	1,756	-	-	1,756	-
PP&E, net	34,533	-	-	34,533	-	-	34,533	-
Intercompany notes receivable	180,790	105,336	(105,336)	180,790	-	180,790	-	-
Pension benefit asset	2,831	-	-	2,831	-	2,831	-	-
Goodwill	13,865	-	-	13,865	-	-	-	13,865
Trademarks	48,293	-	-	48,293	-	-	48,293	-
Other intangible assets, net	55,643	-	-	55,643	-	-	55,643	-
Other long-term assets	673	77,039	(77,039)	673	-	-	-	673
Total assets	**478,876**	**206,633**	**(182,375)**	**503,134**	**140,491**	**183,621**	**140,225**	**38,796**
Liabilities								
Accounts payable	(24,160)	-	-	(24,160)	(24,160)	-	-	-
Accrued expenses	(13,041)	-	-	(13,041)	(13,041)	-	-	-
Income & withholding taxes	(47)	(1,061)	-	(1,107)	(47)	-	-	(1,061)
Other current liabilities	(207)	-	-	(207)	(207)	-	-	-
Intercompany payables	(30,243)	(12)	-	(30,255)	(30,243)	-	-	(12)
Current liabilities	(67,699)	(1,073)	-	(68,771)	(67,699)	-	-	(1,073)
Term notes payable, net of DD/IC	(180,804)	-	-	(180,804)	-	(180,804)	-	-
Revolving credit facility, net of DD/IC	(25,749)	-	-	(25,749)	-	(25,749)	-	-
Subordinated notes, net of DD/IC	-	-	-	-	-	-	-	-
Capital leases & other debt	(442)	-	-	(442)	-	(442)	-	-
Intercompany notes payable	(105,336)	(126,866)	105,336	(126,866)	-	(126,866)	-	-
Deferred income taxes	(4,938)	(1,495)	-	(6,433)	-	-	-	(6,433)
Other long-term liabilities	(706)	-	-	(706)	-	(581)	-	(125)
Total liabilities	**(385,673)**	**(129,433)**	**105,336**	**(409,771)**	**(67,699)**	**(334,442)**	**-**	**(7,630)**
Net assets	**93,203**	**77,200**	**(77,039)**	**93,363**	**72,792**	**(150,820)**	**140,225**	**31,166**

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

These balances are recorded in CLH and are debt-like in nature. They are classified as "Other" in the stratified balance sheet in order to reconcile to the sell-side diligence report, which presents reported NWC and net debt for CBCLSC consolidated only.

Refer to the net debt section where these balances are further discussed.

Top-side entries are layered into the consolidated P&L, however, they were not considered in the sell-side NWC and net debt analyses. Refer to the net debt section for further consideration given to the treatment of these top-side entries.

While the sell-side diligence report presents the gross CBCLSC balance for this line item, it is eliminated by CLH Elimco upon consolidation, resulting in only the CLH balance being presented in the sell-side diligence report.

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Net working capital (1/11) - Overview

Average TTM P5-19 reported net working capital was $59.5 million.

Subsequent to adjustments identified by Management and during due diligence, average net working capital increased to $95.0 million.

Refer to the following pages for additional details.

Net working capital		As at			Average		
							TTM
$'000		31-Dec-17	31-Dec-18	25-May-19	FY17	FY18	P5-19
Current assets							
Accounts receivable		33,267	32,803	33,280	35,023	35,143	36,267
Inventory		86,207	96,248	88,109	82,009	91,644	94,105
Prepaid expenses		188	1,061	1,323	765	2,239	1,698
Intercompany receivables		116,744	53,626	17,778	154,465	126,200	56,816
Total current assets		**236,406**	**183,738**	**140,491**	**272,262**	**255,226**	**188,886**
Current liabilities							
Accounts payable		(26,393)	(33,107)	(24,160)	(26,501)	(30,716)	(29,603)
Accrued expenses		(14,376)	(14,412)	(13,041)	(12,436)	(15,063)	(15,331)
Income & w ithholding taxes		(638)	(18)	(47)	(1,011)	(116)	(44)
Other current liabilities		(494)	(509)	(207)	(541)	(1,343)	(337)
Intercompany payables		(149,408)	(67,358)	(30,243)	(182,751)	(156,382)	(84,066)
Total current liabilities		**(191,310)**	**(115,404)**	**(67,699)**	**(223,240)**	**(203,620)**	**(129,381)**
Net working capital, Management reported	**A**	**45,096**	**68,334**	**72,792**	**49,022**	**51,606**	**59,505**
As % of TTM reported net sales		*16.5%*	*25.0%*	*26.7%*	*18.0%*	*18.9%*	*21.8%*
Total Management adjustments		37,632	18,571	15,831	31,195	33,414	31,213
Net working capital, Management adjusted	**B**	**82,728**	**86,906**	**88,624**	**80,217**	**85,021**	**90,718**
As % of TTM adjusted net sales		*30.4%*	*32.1%*	*32.9%*	*29.5%*	*31.4%*	*33.7%*
Total sell-side diligence adjustments		5,658	4,901	3,286	3,490	5,207	3,780
Net working capital, sell-side diligence adjusted	**C**	**88,386**	**91,807**	**91,910**	**83,706**	**90,227**	**94,498**
As % of TTM adjusted net sales		*32.5%*	*33.9%*	*34.1%*	*30.8%*	*33.3%*	*35.1%*
Total buy-side diligence adjustments		75	(1,883)	13	2,091	1,082	460
Net working capital, buy-side diligence adjusted	**D**	**88,460**	**89,923**	**91,923**	**85,797**	**91,309**	**94,958**
As % of TTM adjusted net sales		*32.5%*	*33.2%*	*34.1%*	*31.5%*	*33.7%*	*35.2%*

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

Basis of presentation

— The adjacent table summarizes average reported working capital (derived from the stratified balance sheet) and adjustments identified by Management and during due diligence to be considered for the fiscal years ended December 31, 2017 (FY17), 2018 (FY18), and May 25, 2019 (TTM P5-19).

— Adjustments are discussed further on the following pages. Such proposed adjustments are not deemed to be all inclusive. The validity of these adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on your valuation model.

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Net working capital (2/11) - Management reported NWC

Net working capital		As at			Average		
$'000		31-Dec-17	31-Dec-18	25-May-19	FY17	FY18	TTM P5-19
Current assets							
Accounts receivable		33,267	32,803	33,280	35,023	35,143	36,267
Inventory		86,207	96,248	88,109	82,009	91,644	94,105
Prepaid expenses		188	1,061	1,323	765	2,239	1,698
Intercompany receivables		116,744	53,626	17,778	154,465	126,200	56,816
Total current assets		**236,406**	**183,738**	**140,491**	**272,262**	**255,226**	**188,886**
Current liabilities							
Accounts payable		(26,393)	(33,107)	(24,160)	(26,501)	(30,716)	(29,603)
Accrued expenses		(14,376)	(14,412)	(13,041)	(12,436)	(15,063)	(15,331)
Income & w ithholding taxes		(638)	(18)	(47)	(1,011)	(116)	(44)
Other current liabilities		(494)	(509)	(207)	(541)	(1,343)	(337)
Intercompany payables		(149,408)	(67,358)	(30,243)	(182,751)	(156,382)	(84,066)
Total current liabilities		**(191,310)**	**(115,404)**	**(67,699)**	**(223,240)**	**(203,620)**	**(129,381)**
Net working capital, Management reported	A	**45,096**	**68,334**	**72,792**	**49,022**	**51,606**	**59,505**
As % of TTM reported net sales		*16.5%*	*25.0%*	*26.7%*	*18.0%*	*18.9%*	*21.8%*
Total Management adjustments		37,632	18,571	15,831	31,195	33,414	31,213
Net working capital, Management adjusted	B	**82,728**	**86,906**	**88,624**	**80,217**	**85,021**	**90,718**
As % of TTM adjusted net sales		*30.4%*	*32.1%*	*32.9%*	*29.5%*	*31.4%*	*33.7%*
Total sell-side diligence adjustments		5,658	4,901	3,286	3,490	5,207	3,780
Net working capital, sell-side diligence adjusted	C	**88,386**	**91,807**	**91,910**	**83,706**	**90,227**	**94,498**
As % of TTM adjusted net sales		*32.5%*	*33.9%*	*34.1%*	*30.8%*	*33.3%*	*35.1%*
Total buy-side diligence adjustments		75	(1,883)	13	2,091	1,082	460
Net working capital, buy-side diligence adjusted	D	**88,460**	**89,923**	**91,923**	**85,797**	**91,309**	**94,958**
As % of TTM adjusted net sales		*32.5%*	*33.2%*	*34.1%*	*31.5%*	*33.7%*	*35.2%*

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

A. Management reported NWC

Management reported NWC consists of the following components:

- **Accounts receivable:** Includes trade receivables (net of allowance for doubtful accounts), HST and QST recoverable, deposits for cylinders and drums at Blacks Harbour, cost recoveries for bait and by-products at Blacks Harbour, and sub-lease receivables.
- **Inventory:** Primarily composed of finished goods, but also includes WIP, raw materials, capitalized manufacturing variances, and packaging, net of inventory allowances.
- **Prepaid expenses:** The majority of this caption relates to prepaid property taxes, rent, insurance, and annual membership & subscriptions. Prepaid expenses also include prepaid income taxes and derivatives.
- **Intercompany receivables:** Mainly represents short-term receivables on sardine sales to BBF. According to Management, these balances will be settled prior to close. Refer to Appendix 8 for a complete listing of all related party and intra-group balances.
- **Accounts payable:** Includes trade payables, goods received but not invoiced, current portion of the Company's term debt, and bank overdrafts.
- **Accrued expenses:** Mainly comprised of accrued promotional / marketing costs, payroll costs including bonuses, professional fees, interest on debt, and other miscellaneous accruals.
- **Income & withholding taxes:** Includes income taxes and non-resident withholding taxes.
- **Other current liabilities:** Includes accrued restructuring and severance costs, liability balances for forward fixed contracts and commodity contracts, and a sub-lease deposit.
- **Intercompany payables:** Mainly represents purchases of finished goods from BBF which are then sold to Clover Leaf third party customers. According to Management, these balances will be settled prior to close. Refer to Appendix 8 for a complete listing of all related party and intra-group balances.

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Net working capital (3/11) - Management & sell-side adjustments

Net working capital							
		As at			Average		
$'000		31-Dec-17	31-Dec-18	25-May-19	FY17	FY18	TTM P5-19
Current assets							
Accounts receivable		33,267	32,803	33,280	35,023	35,143	36,267
Inventory		86,207	96,248	88,109	82,009	91,644	94,105
Prepaid expenses		188	1,061	1,323	765	2,239	1,698
Intercompany receivables		116,744	53,626	17,778	154,465	126,200	56,816
Total current assets		**236,406**	**183,738**	**140,491**	**272,262**	**255,226**	**188,886**
Current liabilities							
Accounts payable		(26,393)	(33,107)	(24,160)	(26,501)	(30,716)	(29,603)
Accrued expenses		(14,376)	(14,412)	(13,041)	(12,436)	(15,063)	(15,331)
Income & withholding taxes		(638)	(18)	(47)	(1,011)	(116)	(44)
Other current liabilities		(494)	(509)	(207)	(541)	(1,343)	(337)
Intercompany payables		(149,408)	(67,358)	(30,243)	(182,751)	(156,382)	(84,066)
Total current liabilities		**(191,310)**	**(115,404)**	**(67,699)**	**(223,240)**	**(203,620)**	**(129,381)**
Net working capital, Management reported	**A**	**45,096**	**68,334**	**72,792**	**49,022**	**51,606**	**59,505**
As % of TTM reported net sales		*16.5%*	*25.0%*	*26.7%*	*18.0%*	*18.9%*	*21.8%*
Management adjustments							
1 Prepaid income taxes		(17)	(369)	(296)	(21)	(934)	(742)
2 Derivatives		(43)	(530)	(320)	(178)	(487)	(349)
3 Bank overdrafts		165	198	105	201	290	226
4 Current portion of other payables		1,800	2,692	3,377	717	1,926	2,441
5 Accrued interest		2,016	2,423	341	721	2,025	2,102
6 Income taxes payable		638	18	47	1,011	116	44
7 Accrued restructuring & other transition		55	311	24	180	131	160
8 Financial instruments		353	96	88	279	164	81
9 Intercompany receivables		(116,744)	(53,626)	(17,778)	(154,465)	(126,200)	(56,816)
10 Intercompany payables		149,408	67,358	30,243	182,751	156,382	84,066
Total Management adjustments		37,632	18,571	15,831	31,195	33,414	31,213
Net working capital, Management adjusted	**B**	**82,728**	**86,906**	**88,624**	**80,217**	**85,021**	**90,718**
As % of TTM adjusted net sales		*30.4%*	*32.1%*	*32.9%*	*29.5%*	*31.4%*	*33.7%*
Sell-side diligence adjustments							
11 Over-accrued trade promotions funds		2,600	2,000	1,500	979	2,038	1,746
12 Over-accrued FY18 audit fees		-	-	-	-	34	20
13 Over-accrued coupon liability		100	-	-	41	42	-
14 Include sardine sales to BBF		2,957	1,863	1,886	2,469	2,046	1,962
15 Remove Innovation AR & AP		-	(88)	(100)	-	0	(41)
16 Remove leftover interco balances		-	-	-	-	953	-
17 Remove CLH withholding taxes		-	1,126	-	-	94	94
Total sell-side diligence adjustments		5,658	4,901	3,286	3,490	5,207	3,780
Net working capital, sell-side diligence adjusted	**C**	**88,386**	**91,807**	**91,910**	**83,706**	**90,227**	**94,498**
As % of TTM adjusted net sales		*32.5%*	*33.9%*	*34.1%*	*30.8%*	*33.3%*	*35.1%*
Total buy-side diligence adjustments		75	(1,883)	13	2,091	1,082	460
Net working capital, buy-side diligence adjusted	**D**	**88,460**	**89,923**	**91,923**	**85,797**	**91,309**	**94,958**
As % of TTM adjusted net sales		*32.5%*	*33.2%*	*34.1%*	*31.5%*	*33.7%*	*35.2%*

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

B. Management adjustments

NWC adjustments #1 to #10 were proposed by Management on the basis these items are debt-like in nature and should therefore be removed from net working capital.

C. Sell-side diligence adjustments

The following net working capital adjustments were identified during EY's sell-side due diligence:

11. **Over-accrued trade promotion funds:** The Company releases unused promotion accruals into income in the year following the promotion. To be consistent with QofE adjustment #5, this adjustment removes the over-accrued amount of promotion funds from NWC. Note that the FY18 over-accrual was estimated to be $2.0 million based on the average over-accrual from FY15 to FY17.
12. **Over-accrued FY18 audit fees:** Using hindsight, it was determined that the monthly accrual for the FY18 audit should have been $15k rather than $26k which was actually recorded from Jan-18 to Sep-18 (at which point the over-accrual was reversed). This adjustment removes the over-accrual from NWC.
13. **Over-accrued coupon liability:** In Jun-18, the Company released $100k in prior year liabilities related to the transition from print to digital coupons. To be consistent with QofE adjustment #9, this adjustment removes the over-accrued coupon liability from NWC.
14. **Include sardine sales to BBF:** Intercompany balances are excluded from NWC. However, the adjustment shows the pro forma receivable for the sardine sales to BBF which would be included in NWC on a standalone basis. Calculation assumes a DSO of 35 days which represents the historical average before adjustments.

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Net working capital (4/11) - Sell-side adjustments (continued)

Net working capital		As at			Average		
$'000		31-Dec-17	31-Dec-18	25-May-19	FY17	FY18	TTM P5-19
Current assets							
Accounts receivable		33,267	32,803	33,280	35,023	35,143	36,267
Inventory		86,207	96,248	88,109	82,009	91,644	94,105
Prepaid expenses		188	1,061	1,323	765	2,239	1,698
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Accrued expenses		(14,376)	(14,412)	(13,041)	(12,436)	(15,063)	(15,331)
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Net working capital, Management reported	A	**45,096**	**68,334**	**72,792**	**49,022**	**51,606**	**59,505**
As % of TTM reported net sales		*16.5%*	*25.0%*	*26.7%*	*18.0%*	*18.9%*	*21.8%*
Management adjustments							
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4 Current portion of other payables		1,800	2,692	3,377	717	1,926	2,441
5 Accrued interest		2,016	2,423	341	721	2,025	2,102
6 Income taxes payable		638	18	47	1,011	116	44
7 Accrued restructuring & other transition		55	311	24	180	131	160
8 Financial instruments		353	96	88	279	164	81
9 Intercompany receivables		(116,744)	(53,626)	(17,778)	(154,465)	(126,200)	(56,816)
10 Intercompany payables		149,408	67,358	30,243	182,751	156,382	84,066
Total Management adjustments		37,632	18,571	15,831	31,195	33,414	31,213
Net working capital, Management adjusted	B	**82,728**	**86,906**	**88,624**	**80,217**	**85,021**	**90,718**
As % of TTM adjusted net sales		*30.4%*	*32.1%*	*32.9%*	*29.5%*	*31.4%*	*33.7%*
Sell-side diligence adjustments							
11 Over-accrued trade promotions funds		2,600	2,000	1,500	979	2,038	1,746
12 Over-accrued FY18 audit fees		-	-	-	-	34	20
13 Over-accrued coupon liability		100	-	-	41	42	-
14 Include sardine sales to BBF		2,957	1,863	1,886	2,469	2,046	1,962
15 Remove Innovation AR & AP		-	(88)	(100)	-	0	(41)
16 Remove leftover interco balances		-	-	-	-	953	-
17 Remove CLH withholding taxes		-	1,126	-	-	94	94
Total sell-side diligence adjustments		5,658	4,901	3,286	3,490	5,207	3,780
Net working capital, sell-side diligence adjusted	C	**88,386**	**91,807**	**91,910**	**83,706**	**90,227**	**94,498**
As % of TTM adjusted net sales		*32.5%*	*33.9%*	*34.1%*	*30.8%*	*33.3%*	*35.1%*
Total buy-side diligence adjustments		75	(1,883)	13	2,091	1,082	460
Net working capital, buy-side diligence adjusted	D	**88,460**	**89,923**	**91,923**	**85,797**	**91,309**	**94,958**
As % of TTM adjusted net sales		*32.5%*	*33.2%*	*34.1%*	*31.5%*	*33.7%*	*35.2%*

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

C. Sell-side diligence adjustments (continued)

15. **Remove Innovation AR & AP:** This adjustment removes AR and AP balances recorded in the Innovation business unit which relate to future opportunities not relevant to the historical operating results.

16. **Remove leftover interco balances:** This adjustment represents the reversal of a Jan-18 entry which related to interest deemed paid to CLH which was subsequently reclassified to an intercompany account.

17. **Remove CLH withholding taxes:** This adjustment represents the removal of a miscellaneous accrual for non-resident withholding taxes paid in regards to interest payments to Luxembourg.

KPMG

Net working capital (5/11) – Buy-side adjustments

Net working capital							
		As at			Average		
$'000		31-Dec-17	31-Dec-18	25-May-19	FY17	FY18	TTM P5-19
Current assets							
Accounts receivable		33,267	32,803	33,280	35,023	35,143	36,267
Inventory		86,207	96,248	88,109	82,009	91,644	94,105
Prepaid expenses		188	1,061	1,323	765	2,239	1,698
Intercompany receivables		116,744	53,626	17,778	154,465	126,200	56,816
Total current assets		**236,406**	**183,738**	**140,491**	**272,262**	**255,226**	**188,886**
Current liabilities							
Accounts payable		(26,393)	(33,107)	(24,160)	(26,501)	(30,716)	(29,603)
Accrued expenses		(14,376)	(14,412)	(13,041)	(12,436)	(15,063)	(15,331)
Income & withholding taxes		(638)	(18)	(47)	(1,011)	(116)	(44)
Other current liabilities		(494)	(509)	(207)	(541)	(1,343)	(337)
Intercompany payables		(149,408)	(67,358)	(30,243)	(182,751)	(156,382)	(84,066)
Total current liabilities		**(191,310)**	**(115,404)**	**(67,699)**	**(223,240)**	**(203,620)**	**(129,381)**
Net working capital, Management reported	A	**45,096**	**68,334**	**72,792**	**49,022**	**51,606**	**59,505**
As % of TTM reported net sales		*16.5%*	*25.0%*	*26.7%*	*18.0%*	*18.9%*	*21.8%*
Total Management adjustments		37,632	18,571	15,831	31,195	33,414	31,213
Net working capital, Management adjusted	B	**82,728**	**86,906**	**88,624**	**80,217**	**85,021**	**90,718**
As % of TTM adjusted net sales		*30.4%*	*32.1%*	*32.9%*	*29.5%*	*31.4%*	*33.7%*
Total sell-side diligence adjustments		5,658	4,901	3,286	3,490	5,207	3,780
Net working capital, sell-side diligence adjusted	C	**88,386**	**91,807**	**91,910**	**83,706**	**90,227**	**94,498**
As % of TTM adjusted net sales		*32.5%*	*33.9%*	*34.1%*	*30.8%*	*33.3%*	*35.1%*
Buy-side diligence adjustments							
18 Revised trade promotions		-	(1,500)	(1,500)	1,192	104	(573)
19 Include derivative balances in NWC		(310)	434	232	(101)	322	268
20 Remove rent deposit payable		90	102	95	91	95	95
21 Revised CLH withholding taxes		-	(1,126)	-	-	(94)	(94)
22 Revised sardine sales to Bumble Bee		295	152	1,086	910	654	708
23 Include Innovation AR & AP		-	88	100	-	(0)	41
24 Fishing lease re-allocation		-	(33)	-	-	(0)	14
Total buy-side diligence adjustments		75	(1,883)	13	2,091	1,082	460
Net working capital, buy-side diligence adjusted	D	**88,460**	**89,923**	**91,923**	**85,797**	**91,309**	**94,958**
As % of TTM adjusted net sales		*32.5%*	*33.2%*	*34.1%*	*31.5%*	*33.7%*	*35.2%*

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

D. Buy-side diligence adjustments

The following net working capital adjustments were identified during due diligence:

18. Revised trade promotions: NWC adjustment #11 removes the trade promotion excess accrual from NWC under the assumption that trade promotion costs are only over-accrued in December each year. However, according to Management, the excess accrual relates to costs incurred throughout the year, therefore, it would accumulate / build up every period until it is released into income during the following fiscal year. As such, NWC adjustment #11 is understated by the average over-accrual recorded from January to November each year, which we have corrected for in this adjustment.

Additionally, in accordance with QofE adjustment #15C, the unsubstantiated portion of the FY18 over-accrual adjustment which has not yet been reversed in YTD-19, has been eliminated.

Refer to the table below which presents the components of this adjustment:

Revised trade promotions						
	As at			Average		
$'000	31-Dec-17	31-Dec-18	25-May-19	FY17	FY18	TTM P5-19
NWC impact, sell-side adjustment						
2016 Trade promotions	-	-	-	763	-	-
2017 Trade promotions	2,600	-	-	217	1,871	788
2018 Trade promotions	-	2,000	1,500	-	167	958
Sell-side adjustment	**2,600**	**2,000**	**1,500**	**979**	**2,038**	**1,746**
NWC impact, buy-side adjustment						
2016 Trade promotions	-	-	-	763	-	-
2017 Trade promotions	2,600	-	-	1,408	1,871	788
2018 Trade promotions	-	500	-	-	271	385
Buy-side adjustment	**2,600**	**500**	**-**	**2,171**	**2,142**	**1,173**
Revision required	**-**	**(1,500)**	**(1,500)**	**1,192**	**104**	**(573)**

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

Net working capital (6/11) – Buy-side adjustments (continued)

Net working capital

$'000		31-Dec-17 (As at)	31-Dec-18 (As at)	25-May-19 (As at)	FY17 (Average)	FY18 (Average)	TTM P5-19 (Average)
Current assets							
Accounts receivable		33,267	32,803	33,280	35,023	35,143	36,267
Inventory		86,207	96,248	88,109	82,009	91,644	94,105
Prepaid expenses		188	1,061	1,323	765	2,239	1,698
Intercompany receivables		116,744	53,626	17,778	154,465	126,200	56,816
Total current assets		**236,406**	**183,738**	**140,491**	**272,262**	**255,226**	**188,886**
Current liabilities							
Accounts payable		(26,393)	(33,107)	(24,160)	(26,501)	(30,716)	(29,603)
Accrued expenses		(14,376)	(14,412)	(13,041)	(12,436)	(15,063)	(15,331)
Income & withholding taxes		(638)	(18)	(47)	(1,011)	(116)	(44)
Other current liabilities		(494)	(509)	(207)	(541)	(1,343)	(337)
Intercompany payables		(149,408)	(67,358)	(30,243)	(182,751)	(156,382)	(84,066)
Total current liabilities		**(191,310)**	**(115,404)**	**(67,699)**	**(223,240)**	**(203,620)**	**(129,381)**
Net working capital, Management reported	**A**	**45,096**	**68,334**	**72,792**	**49,022**	**51,606**	**59,505**
As % of TTM reported net sales		*16.5%*	*25.0%*	*26.7%*	*18.0%*	*18.9%*	*21.8%*
Total Management adjustments		37,632	18,571	15,831	31,195	33,414	31,213
Net working capital, Management adjusted	**B**	**82,728**	**86,906**	**88,624**	**80,217**	**85,021**	**90,718**
As % of TTM adjusted net sales		*30.4%*	*32.1%*	*32.9%*	*29.5%*	*31.4%*	*33.7%*
Total sell-side diligence adjustments		5,658	4,901	3,286	3,490	5,207	3,780
Net working capital, sell-side diligence adjusted	**C**	**88,386**	**91,807**	**91,910**	**83,706**	**90,227**	**94,498**
As % of TTM adjusted net sales		*32.5%*	*33.9%*	*34.1%*	*30.8%*	*33.3%*	*35.1%*
Buy-side diligence adjustments							
18 Revised trade promotions		-	(1,500)	(1,500)	1,192	104	(573)
19 Include derivative balances in NWC		(310)	434	232	(101)	322	268
20 Remove rent deposit payable		90	102	95	91	95	95
21 Revised CLH withholding taxes		-	(1,126)	-	-	(94)	(94)
22 Revised sardine sales to Bumble Bee		295	152	1,086	910	654	708
23 Include Innovation AR & AP		-	88	100	-	(0)	41
24 Fishing lease re-allocation		-	(33)	-	-	(0)	14
Total buy-side diligence adjustments		75	(1,883)	13	2,091	1,082	460
Net working capital, buy-side diligence adjusted	**D**	**88,460**	**89,923**	**91,923**	**85,797**	**91,309**	**94,958**
As % of TTM adjusted net sales		*32.5%*	*33.2%*	*34.1%*	*31.5%*	*33.7%*	*35.2%*

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

D. Buy-side diligence adjustments (continued)

19. Include derivative balances in NWC: This adjustment reverses NWC adjustment #2 proposed by Management on the basis that the derivative-related balances are part of the ongoing trade / operations of the business. Refer to the table below for a breakdown.

Include derivative balances in NWC

$'000	31-Dec-17 (As at)	31-Dec-18 (As at)	25-May-19 (As at)	FY17 (Average)	FY18 (Average)	TTM P5-19 (Average)
Fair value of swaps & caps	-	-	-	-	28	-
Fair value of FX forward contracts	-	530	320	161	451	349
Fair value of commodity contracts	43	-	-	16	7	-
Derivative asset balances	**43**	**530**	**320**	**178**	**487**	**349**
Fair value of FX forward contracts	(353)	-	-	(263)	(87)	(12)
Fair value of commodity contracts	(0)	(96)	(88)	(16)	(77)	(69)
Derivative liability balances	**(353)**	**(96)**	**(88)**	**(279)**	**(164)**	**(81)**
Net derivative assets / (liabilities)	**(310)**	**434**	**232**	**(101)**	**322**	**268**

Source: Mgmt provided TBs; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

20. Remove rent deposit payable: This adjustment removes a deposit for last month's rent payable to Cooke Aquaculture on the basis it is non-operating in nature and includes it in net debt.

21. Revised CLH withholding taxes: This adjustment reverses NWC adjustment #17 on the basis that interco withholding tax balances were not included in Management reported NWC. Refer to the net debt discussion where CLH withholding taxes are considered.

22. Revised sardine sales to BBF: The basis of the DSO calculation in NWC adjustment #14 is that the Company closes its financial records at the end of each calendar month. This adjustment revises the DSO calculation to reflect the Company's actual closing process in practice which follows the 4-4-5 structure. Further, Management's estimated DSO of 35 days used to calculate NWC adjustment #14 should be 48 days based on the adjusted average during the historical period. We have therefore revised this adjustment to reflect a DSO of 48 days.

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Net working capital (7/11) - Buy-side adjustments (continued)

Net working capital

$'000		As at			Average		
		31-Dec-17	31-Dec-18	25-May-19	FY17	FY18	TTM P5-19
Current assets							
Accounts receivable		33,267	32,803	33,280	35,023	35,143	36,267
Inventory		86,207	96,248	88,109	82,009	91,644	94,105
Prepaid expenses		188	1,061	1,323	765	2,239	1,698
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Total current assets		**236,406**	**183,738**	**140,491**	**272,262**	**255,226**	**188,886**
Current liabilities							
Accounts payable		(26,393)	(33,107)	(24,160)	(26,501)	(30,716)	(29,603)
Accrued expenses		(14,376)	(14,412)	(13,041)	(12,436)	(15,063)	(15,331)
Income & withholding taxes		(638)	(18)	(47)	(1,011)	(116)	(44)
Other current liabilities		(494)	(509)	(207)	(541)	(1,343)	(337)
Intercompany payables		(149,408)	(67,358)	(30,243)	(182,751)	(156,382)	(84,066)
Total current liabilities		**(191,310)**	**(115,404)**	**(67,699)**	**(223,240)**	**(203,620)**	**(129,381)**
Net working capital, Management reported	**A**	**45,096**	**68,334**	**72,792**	**49,022**	**51,606**	**59,505**
As % of TTM reported net sales		*16.5%*	*25.0%*	*26.7%*	*18.0%*	*18.9%*	*21.8%*
Total Management adjustments		37,632	18,571	15,831	31,195	33,414	31,213
Net working capital, Management adjusted	**B**	**82,728**	**86,906**	**88,624**	**80,217**	**85,021**	**90,718**
As % of TTM adjusted net sales		*30.4%*	*32.1%*	*32.9%*	*29.5%*	*31.4%*	*33.7%*
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Buy-side diligence adjustments							
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22 Revised sardine sales to Bumble Bee		295	152	1,086	910	654	708
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24 Fishing lease re-allocation		-	(33)	-	-	(0)	14
Total buy-side diligence adjustments		75	(1,883)	13	2,091	1,082	460
Net working capital, buy-side diligence adjusted	**D**	**88,460**	**89,923**	**91,923**	**85,797**	**91,309**	**94,958**
As % of TTM adjusted net sales		*32.5%*	*33.2%*	*34.1%*	*31.5%*	*33.7%*	*35.2%*

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

D. Buy-side diligence adjustments (continued)

23. **Include Innovation AR & AP:** Represents the reversal of NWC adjustment #15 on the basis that AR and AP balances related to international expansion and new product development are a normal part of business operations.

24. **Fishing lease re-allocation:** Reflects an incremental accrued liability balance related to the fishing quota lease throughout FY18, in accordance with QofE adjustment #17.

Net working capital (8/11) – Other considerations

Other considerations

The following includes a potential net working capital consideration identified during due diligence. This item relates to other potential business issues that should be considered in the overall evaluation of the business. In addition, this item may be subjective in nature and as a result, it has not been included in the net working capital schedule.

A. **Purchases from BBF:** Sell-side adjusted NWC includes the pro forma receivable for sardine sales to BBF, however, no consideration was given to finished goods purchases from BBF and corresponding accounts payable. As of the date of this report, we do not have sufficient details to quantify the potential impact, however, to the extent purchases from BBF continue post-transaction on a standalone basis, such adjustment would unfavourably impact target NWC.

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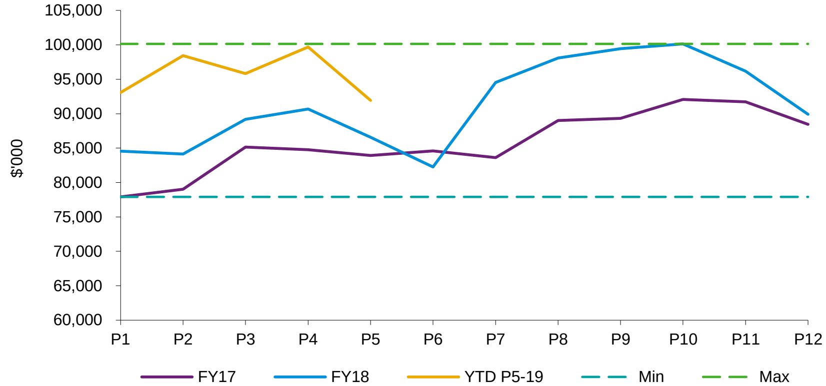
Net working capital (9/11) - Seasonality

During TTM P5-19, adjusted monthly working capital needs fluctuated by $17.9 million.

The increase in adjusted net working capital from P6-18 to P5-19 was mainly driven by rising inventory balances. According to Management, this trend was attributable to excess inventory build ups from higher than expected yield, which is expected to return to normal levels (i.e. prior to P6-18) going forward.

Net working capital seasonality, buy-side adjusted



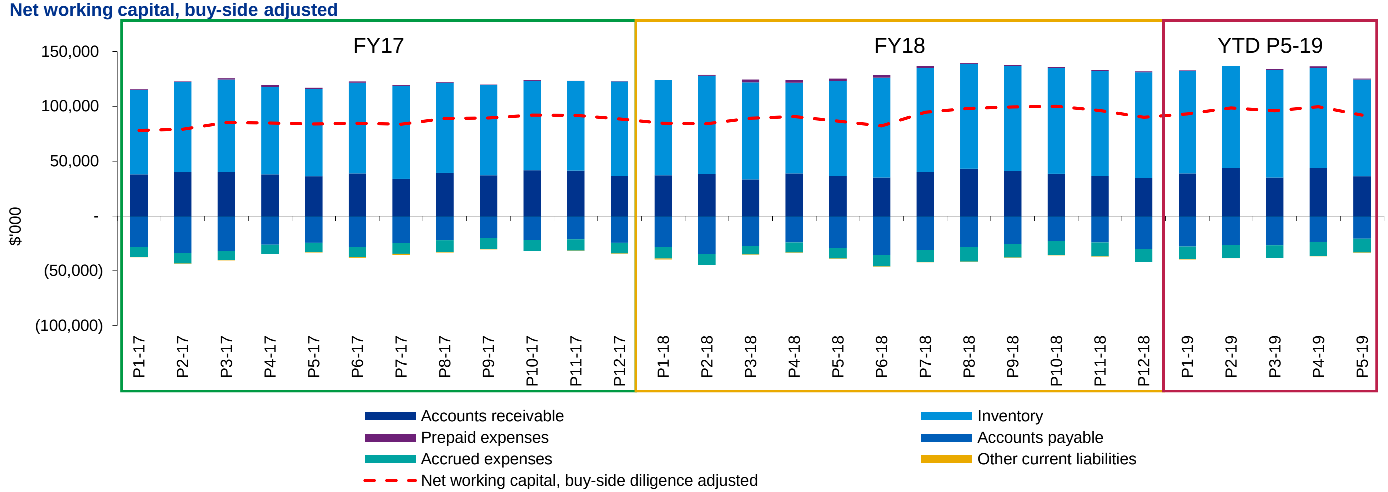
Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

NWC seasonality, buy-side adjusted

$'000	Minimum	Maximum	Range	Avg NWC
FY17	77,925	92,070	14,145	85,797
FY18	82,249	100,129	17,879	91,309
TTM P5-19	82,249	100,129	17,879	94,958

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

Net working capital, buy-side adjusted



Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

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Net working capital (10/11) - Seasonality

Average DSO and DPO remained relatively consistent between FY17 and TTM P5-19.

Average DIO increased from 135 days in FY17 to 152 days in TTM P5-19.

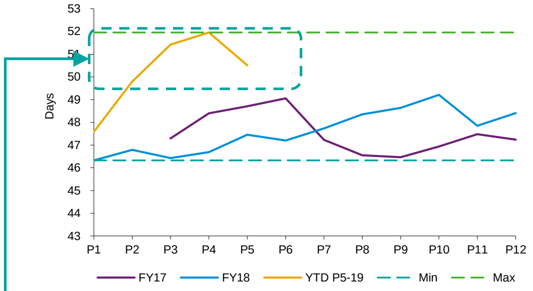
Working capital metrics, buy-side adjusted	FY17	FY18	TTM P5-19
DSO			
Max	49	49	52
Average	48	48	49
Min	46	46	47
Variance from high	*2*	*2*	*3*
Variance from low	*(1)*	*(1)*	*(2)*
DIO			
Max	140	160	160
Average	135	146	152
Min	126	136	142
Variance from high	*6*	*14*	*9*
Variance from low	*(9)*	*(10)*	*(10)*
DPO			
Max	38	38	38
Average	30	32	32
Min	24	24	27
Variance from high	*8*	*6*	*6*
Variance from low	*(6)*	*(8)*	*(5)*
Cash conversion cycle[1]			
Max	156	177	179
Average	152	162	169
Min	148	155	158
Variance from high	*3*	*15*	*11*
Variance from low	*(4)*	*(7)*	*(10)*

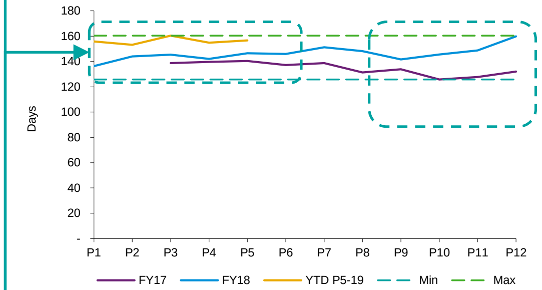
Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

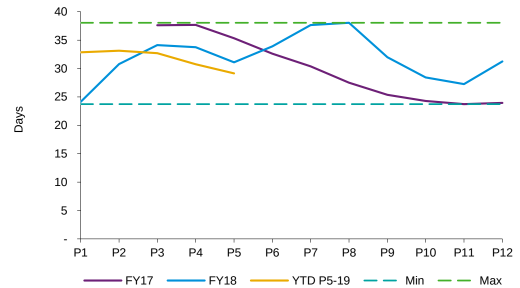
[1]Calculated using monthly DSO, DIO, and DPO metrics

Higher DSO from P2-19 to P5-19 was due to lower sardine and surimi sales driven by lapses in internal distributor management processes and slow to sell Polish-sourced sardines in Jamaica.

Higher DIO starting in the latter half of FY18 was due to excess inventory build ups from higher than expected fishing output.







Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

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Net working capital (11/11) - Sardine standard costing

The table below presents a breakdown of sardine standard costs throughout the historical period.

Sardine Standard Costs																		
	Oil						Water						Domestic Regular Stock					
	Brun Sard Oil Litho (US & Intl)			Brun Sard Oil Wrap (CDN Dom)			Brun Sard Water Litho			Brun Sard SW Wrap (Cdn Dom)			Brunswick Snack (Cdn Dom)			Average		
$	FY17	FY18	FY19	FY17	FY18	FY19	FY17	FY18	FY19	FY17	FY18	FY19	FY17	FY18	FY19	FY17	FY18	FY19
Cans & Packaging																		
Cans & Covers	18	18	20	17	18	19	18	18	20	17	18	19	20	21	23	18	19	20
Casing Material	1	1	1	2	3	3	1	1	1	2	3	3	3	3	3	2	2	2
Ingredients	1	2	1	1	2	1	-	-	-	-	-	-	0	0	0	1	1	1
Cans & Packaging total	20	21	22	21	22	23	19	19	20	20	20	22	23	24	27	21	21	23
Material																		
Fish Cost	24	20	18	18	17	18	24	20	18	18	17	18	22	23	24	21	20	19
Bait & Byproduct Credit	(3)	(5)	(5)	(5)	(5)	(5)	(3)	(5)	(5)	(5)	(5)	(5)	-	-	-	(3)	(4)	(4)
Total Fish	21	15	13	13	12	13	21	15	13	13	12	13	22	23	24	18	16	15
Conversion Costs																		
Direct Labour	8	8	8	8	8	8	8	8	8	8	8	8	6	7	6	7	8	8
Variable OH	5	5	6	5	5	6	5	5	6	5	5	6	5	5	6	5	5	6
Fixed OH	10	9	12	10	9	12	10	9	12	10	9	12	10	9	12	10	9	12
Total Conversion Costs	23	22	26	23	23	26	23	22	26	23	23	26	21	21	24	23	22	25
Grand total	64	58	60	57	57	62	63	56	59	56	55	60	66	69	75	61	59	63

Source: Management provided trial-balance, KPMG analysis

Actual average sardine COGS	61	61	62

Cans & Packaging costs have increased across all categories from FY17 to FY19.

Total fish costs decreased for the Oil and Water Litho categories from FY17 to FY19, and remained relatively consistent for the remaining categories.

Total conversion costs have increased for all categories from FY17 to FY19, with the exception of Domestic regular stock, which has decreased.

Standard costing methodology:

1. The Company records all sardine inventory (both purchased from external vendors and sourced through fishing operations) using a standard costing system which defers manufacturing variances throughout the year due to the seasonality of the fishery. Upon completion of the pack season in P9, an estimated Deferred MUV rate/units produced is forecasted based on total year production, and used to allocate the MUV variance balance between inventory and cost of sales. The portion attributable to cost of sales is released to the P&L on a monthly basis during Q4 of each fiscal year, with a final true-up occurring in P12.
2. Throughout the year, the Company records manufacturing variances on the P&L in account #540180. On a monthly basis, these manufacturing variances are deferred and capitalized to balance sheet account #128031. Subsequently, in Q4 of each year, these variances are released to the P&L through account #548000, to the extent that the related inventory has been sold. To the extent that the related inventory has not been sold, these variances are re-classified to balance sheet account #128030, and released to the P&L through account #548000 in the first quarter of the following year.
3. The standard costs utilized by the Company are updated on an annual basis in accordance with the new operating budget, and is implemented on January 1st of each year. The resulting revaluation of the annual update in standard costs is reflected onto the P&L through accounts #548000 and #549030.
4. Foreign exchange gains and losses of forward hedge contracts are deferred on balance sheet account #128070, for three months in order to be consistent with inventory turns.

Types of variances: The Company defers and subsequently adjusts inventory and cost of sales for the following variances;

1. **Material usage variance:** Usage variances from sardine process orders, expected amounts for by-product/bait sales, actual by-product/bait sales, and frozen fish mix.
2. **Purchase price variance:** Price variance on raw materials purchased and favorable/unfavorable variances on fresh fish.
3. **Under/over absorption:** Variance on conversion costs such as Direct Labour, Variable Overhead, and Fixed Overhead.

Net debt

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Net debt (1/6) - Overview

The Company's reported net debt as at 25-May-19 was $150.8 million.

This amount increased to $167.6 million after adjustments identified by Management and during due diligence.

Net debt

$'000		CBCLSC consol (As at 25-May-19)	CLH (As at 25-May-19)	CLH Elimco (As at 25-May-19)	CLH consol	On BS?
	Cash & cash equivalents	1	-	-	1	✓
	Intercompany notes receivable	180,790	105,336	(105,336)	180,790	✓
	Pension benefit asset	2,831	-	-	2,831	✓
	Term notes payable, net of DD/IC	(180,804)	-	-	(180,804)	✓
	Revolving credit facility, net of DD/IC	(25,749)	-	-	(25,749)	✓
	Capital leases & other debt	(442)	-	-	(442)	✓
	Intercompany notes payable	(105,336)	(126,866)	105,336	(126,866)	✓
	Other long-term liabilities	(581)	-	-	(581)	✓
Net cash / (debt), Management reported		**(129,291)**	**(21,530)**	**-**	**(150,820)**	
Management adjustments						
1a	Intercompany receivables	17,778	24,250	-	42,028	✓
1b	Intercompany payables	(30,243)	(12)	-	(30,255)	✓
2	Current portion of other payables	(3,377)	-	-	(3,377)	✓
3	Accrued interest	(341)	-	-	(341)	✓
4	Derivatives	320	-	-	320	✓
5	Bank overdrafts	(105)	-	-	(105)	✓
6	Financial instruments	(88)	-	-	(88)	✓
7	Accrued restructuring & other transition costs	(24)	-	-	(24)	✓
Total Management adjustments		(16,080)	24,238	-	8,158	
Net cash / (debt), Management adjusted		**(145,371)**	**2,708**	**-**	**(142,663)**	
Buy-side adjustments						
8	Remove IC receivables and payables	12,465	(24,238)	-	(11,773)	✓
9	Remove deferred financing costs	(7,376)	-	-	(7,376)	✓
10	One-off future separation costs	(2,608)	-	-	(2,608)	
11	Old Wharf removal	(1,500)	-	-	(1,500)	
12	Include income & withholding taxes	(47)	(1,061)	-	(1,107)	✓
13	Capitalize operating leases	(454)	-	-	(454)	✓
14	Remove derivative balances	(232)	-	-	(232)	✓
15	Include prepaid income taxes	296	8	-	304	✓
16	Other non-operating liabilities	(125)	-	-	(125)	✓
17	Include rent deposit	(95)	-	-	(95)	✓
18	Canadian antitrust claim	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
19	Transaction bonuses	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
20	Environmental testing & remediation	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
21	Remainder of restructuring costs to complete initiatives	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
Total buy-side adjustments		324	(25,290)	-	(24,966)	
Net cash / (debt), buy-side adjusted - n.q. items		**(145,047)**	**(22,582)**	**-**	**(167,629)**	

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

Basis of presentation

— The adjacent table summarizes reported net debt and debt-like items to be considered as at 25-May-19.

— Adjustments are discussed further on the following pages. Such proposed adjustments are not deemed to be all inclusive. The validity of these adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on your valuation model.

Although these items may not be liabilities for accounting purposes, given Bolton would be assuming these future costs post-transaction, they should be considered net debt items.

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Net debt (2/6) - Management reported net debt

Net debt

$'000		As at 25-May-19 CBCLSC consol	CLH	CLH Elimco	CLH consol	On BS?
	Cash & cash equivalents	1	-	-	1	✓
	Intercompany notes receivable	180,790	105,336	(105,336)	180,790	✓
	Pension benefit asset	2,831	-	-	2,831	✓
	Term notes payable, net of DD/IC	(180,804)	-	-	(180,804)	✓
	Revolving credit facility, net of DD/IC	(25,749)	-	-	(25,749)	✓
	Capital leases & other debt	(442)	-	-	(442)	✓
	Intercompany notes payable	(105,336)	(126,866)	105,336	(126,866)	✓
	Other long-term liabilities	(581)	-	-	(581)	✓
Net cash / (debt), Management reported		**(129,291)**	**(21,530)**	**-**	**(150,820)**	
Management adjustments						
1a	Intercompany receivables	17,778	24,250	-	42,028	✓
1b	Intercompany payables	(30,243)	(12)	-	(30,255)	✓
2	Current portion of other payables	(3,377)	-	-	(3,377)	✓
3	Accrued interest	(341)	-	-	(341)	✓
4	Derivatives	320	-	-	320	✓
5	Bank overdrafts	(105)	-	-	(105)	✓
6	Financial instruments	(88)	-	-	(88)	✓
7	Accrued restructuring & other transition costs	(24)	-	-	(24)	✓
Total Management adjustments		(16,080)	24,238	-	8,158	
Net cash / (debt), Management adjusted		**(145,371)**	**2,708**	**-**	**(142,663)**	
Buy-side adjustments						
8	Remove IC receivables and payables	12,465	(24,238)	-	(11,773)	✓
9	Remove deferred financing costs	(7,376)	-	-	(7,376)	✓
10	One-off future separation costs	(2,608)	-	-	(2,608)	
11	Old Wharf removal	(1,500)	-	-	(1,500)	
12	Include income & withholding taxes	(47)	(1,061)	-	(1,107)	✓
13	Capitalize operating leases	(454)	-	-	(454)	✓
14	Remove derivative balances	(232)	-	-	(232)	✓
15	Include prepaid income taxes	296	8	-	304	✓
16	Other non-operating liabilities	(125)	-	-	(125)	✓
17	Include rent deposit	(95)	-	-	(95)	✓
18	Canadian antitrust claim	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
19	Transaction bonuses	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
20	Environmental testing & remediation	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
21	Remainder of restructuring costs to complete initiatives	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
Total buy-side adjustments		324	(25,290)	-	(24,966)	
Net cash / (debt), buy-side adjusted - n.q. items		**(145,047)**	**(22,582)**	**-**	**(167,629)**	

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

Management reported net debt

Management reported net debt consists of the following components:

- **Cash & cash equivalents:** The Company's bank account balances are swept daily as part of the treasury management of BBF. $1k is kept on hand for petty cash.
- **Intercompany notes receivable:** Long-term related party note between CLSS and CBCLSC. Management represents this balance will be settled prior to close.
- **Pension benefit asset:** The Company operates both defined benefit and defined contribution pension plans which are managed by Sun Life Financial. This balance represents the net asset position. Refer to Appendix 16 for further details.
- **Term notes payable, net of DD/IC:** Represents term debt that was arranged in Aug-17 and is presented net of debt discount and issuance costs. The amount was transferred by intercompany note receivable to CLSS.
- **Revolving credit facility, net of DD/IC:** Represents a revolving credit facility with Wells Fargo and is presented net of debt discount and issuance costs.
- **Capital leases & other debt:** Relates to a loan from Atlantic Canada Opportunities Agency (ACOA) received in Oct-18.
- **Intercompany notes payable:** Represents a long-term related party note between CLSS and CLH. Management represents that this balance will be settled prior to close and there are no related change of control provisions.
- **Interest swap & cap, non-current:** Represents a long-term liability balance on an interest rate swap.

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Net debt (3/6) - Management adjustments

Net debt

$'000	CBCLSC consol	CLH	CLH Elimco	CLH consol	On BS?
	As at 25-May-19				
Cash & cash equivalents	1	-	-	1	✓
Intercompany notes receivable	180,790	105,336	(105,336)	180,790	✓
Pension benefit asset	2,831	-	-	2,831	✓
Term notes payable, net of DD/IC	(180,804)	-	-	(180,804)	✓
Revolving credit facility, net of DD/IC	(25,749)	-	-	(25,749)	✓
Capital leases & other debt	(442)	-	-	(442)	✓
Intercompany notes payable	(105,336)	(126,866)	105,336	(126,866)	✓
Other long-term liabilities	(581)	-	-	(581)	✓
Net cash / (debt), Management reported	**(129,291)**	**(21,530)**	**-**	**(150,820)**	
Management adjustments					
1a Intercompany receivables	17,778	24,250	-	42,028	✓
1b Intercompany payables	(30,243)	(12)	-	(30,255)	✓
2 Current portion of other payables	(3,377)	-	-	(3,377)	✓
3 Accrued interest	(341)	-	-	(341)	✓
4 Derivatives	320	-	-	320	✓
5 Bank overdrafts	(105)	-	-	(105)	✓
6 Financial instruments	(88)	-	-	(88)	✓
7 Accrued restructuring & other transition costs	(24)	-	-	(24)	✓
Total Management adjustments	(16,080)	24,238	-	8,158	
Net cash / (debt), Management adjusted	**(145,371)**	**2,708**	**-**	**(142,663)**	
Buy-side adjustments					
8 Remove IC receivables and payables	12,465	(24,238)	-	(11,773)	✓
9 Remove deferred financing costs	(7,376)	-	-	(7,376)	✓
10 One-off future separation costs	(2,608)	-	-	(2,608)	
11 Old Wharf removal	(1,500)	-	-	(1,500)	
12 Include income & withholding taxes	(47)	(1,061)	-	(1,107)	✓
13 Capitalize operating leases	(454)	-	-	(454)	✓
14 Remove derivative balances	(232)	-	-	(232)	✓
15 Include prepaid income taxes	296	8	-	304	✓
16 Other non-operating liabilities	(125)	-	-	(125)	✓
17 Include rent deposit	(95)	-	-	(95)	✓
18 Canadian antitrust claim	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
19 Transaction bonuses	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
20 Environmental testing & remediation	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
21 Remainder of restructuring costs to complete initiatives	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
Total buy-side adjustments	324	(25,290)	-	(24,966)	
Net cash / (debt), buy-side adjusted - n.q. items	**(145,047)**	**(22,582)**	**-**	**(167,629)**	

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

Management adjustments

Management removed the following balances from NWC and included them in net debt as definitional adjustments.

1. **Intercompany:** Mainly represents short-term balances with BBF. According to Management, these balances will be settled prior to close.
2. **Current portion of other payables:** Relates to the short-term component of the term debt.
3. **Accrued interest:** Represents accrued interest on both the term debt and revolving credit facility.
4. **Derivatives:** Represents the fair value of FX forward contracts.
5. **Bank overdrafts:** Relates to overdrawn bank balances.
6. **Financial instruments:** Represents the fair value of commodity contracts.
7. **Accrued restructuring & other transition costs:** To be consistent with NWC adjustment #7, restructuring accruals are included in net debt as they relate to costs that are not incurred in the normal course of business.

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Net debt (4/6) - Buy-side adjustments

Net debt

$'000	CBCLSC consol	CLH	CLH Elimco	CLH consol	On BS?
	As at 25-May-19				
Cash & cash equivalents	1	-	-	1	✓
Intercompany notes receivable	180,790	105,336	(105,336)	180,790	✓
Pension benefit asset	2,831	-	-	2,831	✓
Term notes payable, net of DD/IC	(180,804)	-	-	(180,804)	✓
Revolving credit facility, net of DD/IC	(25,749)	-	-	(25,749)	✓
Capital leases & other debt	(442)	-	-	(442)	✓
Intercompany notes payable	(105,336)	(126,866)	105,336	(126,866)	✓
Other long-term liabilities	(581)	-	-	(581)	✓
Net cash / (debt), Management reported	**(129,291)**	**(21,530)**	**-**	**(150,820)**	
Management adjustments					
1a Intercompany receivables	17,778	24,250	-	42,028	✓
1b Intercompany payables	(30,243)	(12)	-	(30,255)	✓
2 Current portion of other payables	(3,377)	-	-	(3,377)	✓
3 Accrued interest	(341)	-	-	(341)	✓
4 Derivatives	320	-	-	320	✓
5 Bank overdrafts	(105)	-	-	(105)	✓
6 Financial instruments	(88)	-	-	(88)	✓
7 Accrued restructuring & other transition costs	(24)	-	-	(24)	✓
Total Management adjustments	(16,080)	24,238	-	8,158	
Net cash / (debt), Management adjusted	**(145,371)**	**2,708**	**-**	**(142,663)**	
Buy-side adjustments					
8 Remove IC receivables and payables	12,465	(24,238)	-	(11,773)	✓
9 Remove deferred financing costs	(7,376)	-	-	(7,376)	✓
10 One-off future separation costs	(2,608)	-	-	(2,608)	
11 Old Wharf removal	(1,500)	-	-	(1,500)	
12 Include income & withholding taxes	(47)	(1,061)	-	(1,107)	✓
13 Capitalize operating leases	(454)	-	-	(454)	✓
14 Remove derivative balances	(232)	-	-	(232)	✓
15 Include prepaid income taxes	296	8	-	304	✓
16 Other non-operating liabilities	(125)	-	-	(125)	✓
17 Include rent deposit	(95)	-	-	(95)	✓
18 Canadian antitrust claim	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
19 Transaction bonuses	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
20 Environmental testing & remediation	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
21 Remainder of restructuring costs to complete initiatives	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
Total buy-side adjustments	324	(25,290)	-	(24,966)	
Net cash / (debt), buy-side adjusted - n.q. items	**(145,047)**	**(22,582)**	**-**	**(167,629)**	

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

Buy-side adjustments

The following net debt adjustments were identified during due diligence:

8. **Remove IC receivables and payables:** This adjustment reverses Management adjustments #1a and 1b. Management represents that these intercompany balances are a result of daily transactions with BBF (including sardine sales and other operational charges to and from) as well as short-term cash advances. As such, it is our understanding these balances relate to normal course trading activity and have been addressed in NWC adjustments #9, 10, 14, and 22. No such impact should be included in net debt.
9. **Remove deferred financing costs:** Reported net debt includes term debt and revolving credit facilities that are recorded net of capitalized discounts and issuance costs. We have excluded these deferred financing costs to present the cash outflow the Company is liable to pay.

Remove deferred financing costs

$'000	CBCLSC consol	CLH	CLH Elimco	CLH consol
	As at 25-May-19			
Deferred financing costs in term notes payable	(6,839)	-	-	(6,839)
Deferred financing costs in revolver	(537)	-	-	(537)
Total	**(7,376)**	**-**	**-**	**(7,376)**

Source: Management provided trial balances

10. **One-off future separation costs:** Represents estimated one-time IT and non-IT costs that will result from the transaction. This estimate consists of A) Management's estimated total of $1.4 million for one-time IT and non-IT costs, and B) an incremental $1.2 million estimate from EY for the same costs pools, resulting in a total impact of $2.6 million.
11. **Old Wharf removal:** Management estimates future environmental clean-up costs of $1.5 million will be borne by the Company in relation to the removal of the Old Wharf. These costs are non-operating in nature and should be considered debt-like in your valuation model.

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Net debt (5/6) – Buy-side adjustments (continued)

Net debt						
		As at 25-May-19				
$'000		CBCLSC consol	CLH	CLH Elimco	CLH consol	On BS?
	Cash & cash equivalents	1	-	-	1	✓
	Intercompany notes receivable	180,790	105,336	(105,336)	180,790	✓
	Pension benefit asset	2,831	-	-	2,831	✓
	Term notes payable, net of DD/IC	(180,804)	-	-	(180,804)	✓
	Revolving credit facility, net of DD/IC	(25,749)	-	-	(25,749)	✓
	Capital leases & other debt	(442)	-	-	(442)	✓
	Intercompany notes payable	(105,336)	(126,866)	105,336	(126,866)	✓
	Other long-term liabilities	(581)	-	-	(581)	✓
Net cash / (debt), Management reported		**(129,291)**	**(21,530)**	**-**	**(150,820)**	
Management adjustments						
1a	Intercompany receivables	17,778	24,250	-	42,028	✓
1b	Intercompany payables	(30,243)	(12)	-	(30,255)	✓
2	Current portion of other payables	(3,377)	-	-	(3,377)	✓
3	Accrued interest	(341)	-	-	(341)	✓
4	Derivatives	320	-	-	320	✓
5	Bank overdrafts	(105)	-	-	(105)	✓
6	Financial instruments	(88)	-	-	(88)	✓
7	Accrued restructuring & other transition costs	(24)	-	-	(24)	✓
Total Management adjustments		(16,080)	24,238	-	8,158	
Net cash / (debt), Management adjusted		**(145,371)**	**2,708**	**-**	**(142,663)**	
Buy-side adjustments						
8	Remove IC receivables and payables	12,465	(24,238)	-	(11,773)	✓
9	Remove deferred financing costs	(7,376)	-	-	(7,376)	✓
10	One-off future separation costs	(2,608)	-	-	(2,608)	
11	Old Wharf removal	(1,500)	-	-	(1,500)	
12	Include income & withholding taxes	(47)	(1,061)	-	(1,107)	✓
13	Capitalize operating leases	(454)	-	-	(454)	✓
14	Remove derivative balances	(232)	-	-	(232)	✓
15	Include prepaid income taxes	296	8	-	304	✓
16	Other non-operating liabilities	(125)	-	-	(125)	✓
17	Include rent deposit	(95)	-	-	(95)	✓
18	Canadian antitrust claim	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
19	Transaction bonuses	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
20	Environmental testing & remediation	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
21	Remainder of restructuring costs to complete initiatives	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
Total buy-side adjustments		324	(25,290)	-	(24,966)	
Net cash / (debt), buy-side adjusted - n.q. items		**(145,047)**	**(22,582)**	**-**	**(167,629)**	

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

Buy-side adjustments (continued)

12. **Include income & withholding taxes:** Income and withholding taxes payable are definitional items in net debt, however, it was not included in Management reported net debt nor as a Management adjustment.

13. **Capitalize operating leases:** In accordance with the new rules set out in IFRS 16, the Company will be required to recognize capital lease assets and corresponding lease obligations for its operating leases. We have estimated the present value of minimum lease payments of the Company's operating leases on its offices in Markham, ON and Saint John, NB to represent the liability that will be recorded on the balance sheet. This liability is capital in nature and should be classified as debt on closing. Refer to the table below for a breakdown by office.

Estimated lease obligation			
$'000	Term	Monthly payment	Estimated lease obligation[1]
Markham, ON	Nov-13 to Oct-20	(17)	(278)
Saint John, NB	May-18 to Apr-23	(4)	(175)
Total		**(20)**	**(454)**

Source: Operating lease agreements provided by Management; KPMG analysis
Note 1: Lease obligations were discounted using the 10-year treasury bill yields at the end of Dec-18 per the Bank of Canada

14. **Remove derivative balances:** Net derivative balances were removed from net debt and included in NWC as per NWC adjustment #19 on the basis they relate to P&L activity that is recognized in the normal trading of the business.

15. **Include prepaid income taxes:** Prepaid income taxes are definitional items in net debt, however, they were not included in Management reported net debt nor as a Management adjustment.

16. **Other non-operating liabilities:** This adjustment includes the impact of certain top-side entries in net debt that mainly relate to Lux SG&A expenses. On the basis that Lux is excluded from the transaction perimeter, all corresponding balances should be the responsibility of Seller and treated as net debt as closing.

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Net debt (6/6) - Buy-side adjustments (continued)

Net debt						
		As at 25-May-19				
$'000		CBCLSC consol	CLH	CLH Elimco	CLH consol	On BS?
	Cash & cash equivalents	1	-	-	1	✓
	Intercompany notes receivable	180,790	105,336	(105,336)	180,790	✓
	Pension benefit asset	2,831	-	-	2,831	✓
	Term notes payable, net of DD/IC	(180,804)	-	-	(180,804)	✓
	Revolving credit facility, net of DD/IC	(25,749)	-	-	(25,749)	✓
	Capital leases & other debt	(442)	-	-	(442)	✓
	Intercompany notes payable	(105,336)	(126,866)	105,336	(126,866)	✓
	Other long-term liabilities	(581)	-	-	(581)	✓
Net cash / (debt), Management reported		**(129,291)**	**(21,530)**	**-**	**(150,820)**	
Management adjustments						
1a	Intercompany receivables	17,778	24,250	-	42,028	✓
1b	Intercompany payables	(30,243)	(12)	-	(30,255)	✓
2	Current portion of other payables	(3,377)	-	-	(3,377)	✓
3	Accrued interest	(341)	-	-	(341)	✓
4	Derivatives	320	-	-	320	✓
5	Bank overdrafts	(105)	-	-	(105)	✓
6	Financial instruments	(88)	-	-	(88)	✓
7	Accrued restructuring & other transition costs	(24)	-	-	(24)	✓
Total Management adjustments		(16,080)	24,238	-	8,158	
Net cash / (debt), Management adjusted		**(145,371)**	**2,708**	**-**	**(142,663)**	
Buy-side adjustments						
8	Remove IC receivables and payables	12,465	(24,238)	-	(11,773)	✓
9	Remove deferred financing costs	(7,376)	-	-	(7,376)	✓
10	One-off future separation costs	(2,608)	-	-	(2,608)	
11	Old Wharf removal	(1,500)	-	-	(1,500)	
12	Include income & withholding taxes	(47)	(1,061)	-	(1,107)	✓
13	Capitalize operating leases	(454)	-	-	(454)	✓
14	Remove derivative balances	(232)	-	-	(232)	✓
15	Include prepaid income taxes	296	8	-	304	✓
16	Other non-operating liabilities	(125)	-	-	(125)	✓
17	Include rent deposit	(95)	-	-	(95)	✓
18	Canadian antitrust claim	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
19	Transaction bonuses	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
20	Environmental testing & remediation	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
21	Remainder of restructuring costs to complete initiatives	*n.q.*	*n.q.*	*n.q.*	*n.q.*	
Total buy-side adjustments		324	(25,290)	-	(24,966)	
Net cash / (debt), buy-side adjusted - n.q. items		**(145,047)**	**(22,582)**	**-**	**(167,629)**	

Source: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

Buy-side adjustments (continued)

17. **Include rent deposit:** To be consistent with NWC adjustment #20, the deposit for last month's rent payable to Cooke Aquaculture is non-operating and considered a debt-like item.
18. **Canadian antitrust claim:** The Company was named a defendant in an antitrust claim along with two other major tuna producers. The plaintiff was seeking to recover from the defendants (i) damages or compensation not to exceed $250 million; and (ii) punitive, exemplary, and aggravated damages in the amount of $25 million. You should consider potential cash outlays – and corresponding legal costs – that may result post-transaction.
19. **Transaction bonuses:** According to Management, it is likely that bonuses will be paid to senior leadership in the event the transaction closes, however, no bonus plan has been formalized. You should consider these non-recurring bonuses to be a debt-like item.
20. **Environmental testing & remediation:** We understand that the Company hired two consulting firms to perform environmental testing at three different sites, the results for which have not been provided to us as at the date of this report. To the extent it is determined that the Company is liable for future costs due to environmental events and conditions that existed pre-transaction, these costs be classified as net debt.
21. **Remainder of restructuring costs to complete initiatives:** To the extent the Company's restructuring initiatives are not completed by closing, any future costs that are incurred post-transaction should be the responsibility of the Seller. Although these future costs have not been quantified in our analysis, they should be considered in net debt.

Standalone cost analysis

Standalone cost analysis - Assumptions and limitations

Purpose

- The standalone cost analysis provides an overview of the estimated incremental standalone costs required to operate the target business as a standalone entity. KPMG also reviewed Management's and EY's view on one-time costs and potential synergies.

Approach

- The observations and views presented in this report are based on the following key sources of information:
  - Documentation provided by Management via data room (e.g., Management presentations, Management diligence HR census file, EY diligence report, etc.);
  - Meetings and calls with Management and EY to discuss preliminary diligence questions;
  - Industry benchmarks of key operational metrics; and
  - Trailing twelve month May 2019 (TTM P5-19) and Fiscal year 2018 (FY18) financials.
- We have reviewed the information provided by Management and performed a review of the cost allocations, management fees, rationale, assumptions and methodologies used by Management and EY in their build up of their estimated incremental standalone costs, as well as one-time costs and synergies.
- We have used available resources, including industry benchmarks and prior deal experience, to develop a view on the information provided by Management in relation to the estimated incremental standalone costs.
- The analysis has been structured on a "low", "high" and "base" case basis in order to incorporate the full potential range of annual run-rate costs. The low case and high case represent minimum and maximum estimated incremental costs, respectively. The base case represents the average of estimated incremental costs.

Assumptions and limitations

- The underlying analysis, observations, and views presented in this report are based on the following core assumptions about the business:
  - Fully standalone – business will operate on a fully standalone basis without any support from Seller post-TSA period;
  - Dedicated staff – All currently dedicated direct employees will transfer with the transaction;
  - Incremental FTEs – the compensation of all incremental FTEs is estimated based on salary benchmarks;
  - All existing dedicated agreements will be re-assigned to Buyer or be re-negotiated to ensure continuity of operations;
  - Intercompany transactions with other subsidiaries of the Parent are executed at arm's length with prices at fair market value;
  - Only the TTM P5-19 and FY18 periods are considered in the analysis, as the cost base in previous years are out of scope;
  - Estimated incremental standalone run-rate costs may differ depending on future volumes, growth, etc.;
  - Corporate allocations and Management fees may not be reflective of actual costs required to support the carve-out business due to allocation methodology used and therefore have been adjusted; and
  - Analysis is based on limited time with Management team and EY.

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Parent support and corporate cost allocations (1/5)

Operational and financial dependencies on Parent

We understand that the Target relies on the Parent for a large part of the back office support. All Parent employees supporting the Target are located in the USA. This may present a risk to the business at Deal Close as material effort may be required to replace these functions in time. Based on the analysis completed, we advise that IT will likely be the most complex.

- **Management fee:**
  - The Parent's management cross-charge includes two types of services to Target - strategic services and administrative services. Intercompany management fee totaled $2.5 million in FY18 – which Management splits approximately as $1 million for general management and $1.5 million for IT.
  - The administrative services include advisory services, legal, accounting, planning, treasury, risk management, and tax services. The amount is calculated based on the underlying compensation allocated to Canada reviewed yearly and was 15% in FY18 with a mark-up of 5%.
- **Executives:**
  - FTEs: Strategic services are provided by the officers of the company such as the CEO, CFO, and other executives. The amount is calculated based on the underlying compensation allocated to Canada reviewed yearly and was 12% in FY18 with a mark-up of 10%. Historically, the Parent's executives dedicated between 10% to 20% of their time on overseeing the Target.

Target dependencies on Parent

Support functions	People	Processes	Assets	Contracts	Technology	In TSA
Executives	Medium	Medium	Minimal		Medium	
Finance	Minimal	Medium	Minimal	High		✓
HR	Medium	Medium	Minimal	Minimal		
Legal	High	High	Minimal	High		✓
Procurement	High	High	Minimal	High	High	✓
Marketing/Sales	Minimal	Minimal	Minimal	Minimal	Medium	
IT	High	High	High	High	High	✓
QA & Tech	High	High	High	High		✓
Sustainability	High	High	Minimal	High	High	✓
Risk & Insurance		High	Minimal	High		✓

Legend: Level of dependency on Parent Minimal Medium High n.a.

Corporate allocations

$'000		FY16	FY17	FY18	TTM May-19	FY19B
1	Intercompany management fee	2,548	2,563	2,562	2,476	2,800
2	Procurement fees	1,204	1,299	1,424	1,432	1,512
3	Insurance costs	1,119	963	884	852	979
4	Audit fees	320	335	206	122	185
5	Tax fees	6	108	89	109	60
6	Legal fees	153	121	184	187	161
7	R&D allocation	134	37	26	28	35
8	Quality allocation	463	696	789	787	796
9	Bank fees	271	226	180	168	214
Total		**6,218**	**6,348**	**6,343**	**6,160**	**6,741**

Source: 8.2.4_Project Emerald - Data book.xlsx

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Parent support and corporate cost allocations (2/5)

Operational and financial dependencies on Parent (continued)

- **Finance:**
  - FTEs: The Parent estimates 0.2 Treasury FTE and 0.2 Tax FTE support the Target, and are included in the general management fee. The Target employs a number of Finance personnel directly, e.g., Accountants, Controllers, CFO Canada, VP Finance Canada, and the AP Supervisor. According to Management, the Clover Leaf Markham office handles daily detail transactions/reconciliations, etc.
  - Audit & Tax: The Parent pays external providers and this charge is passed through to the Target.
  - Bank fees: The Parent manages the bank relationship centrally, but the actual charges are passed through to the Target.
  - TSA: Management is including treasury, banking, cash management, and hedge purchases into the $2,000/month corporate services TSA.
- **HR:**
  - FTEs: Parent estimates 0.1 of SVP HR support for the Target, which is covered by the general management fee. There are six direct HR FTEs at Target.
  - Payroll is operated locally through a service provider ADP.

Target dependencies on Parent

Support functions	People	Processes	Assets	Contracts	Technology	In TSA
Executives	Medium	Medium	Minimal	n.a.	Medium	
Finance	Minimal	Medium	Minimal	High	n.a.	✓
HR	Medium	Medium	Minimal	Minimal	n.a.	
Legal	High	High	Minimal	High	n.a.	✓
Procurement	High	High	Minimal	High	High	✓
Marketing/Sales	Minimal	Minimal	Minimal	Minimal	Medium	
IT	High	High	High	High	High	✓
QA & Tech	High	High	High	High	n.a.	✓
Sustainability	High	High	Minimal	High	High	✓
Risk & Insurance	n.a.	High	Minimal	High	n.a.	✓

Legend: Level of dependency on Parent — Minimal, Medium, High, n.a.

Corporate allocations

$'000	FY16	FY17	FY18	TTM May-19	FY19B
1 Intercompany management fee	2,548	2,563	2,562	2,476	2,800
2 Procurement fees	1,204	1,299	1,424	1,432	1,512
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9 Bank fees	271	226	180	168	214
Total	**6,218**	**6,348**	**6,343**	**6,160**	**6,741**

Source: 8.2.4_Project Emerald - Data book.xlsx

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Parent support and corporate cost allocations (3/5)

Operational and financial dependencies on Parent (continued)

- **Legal:**
  - FTEs: Parent Legal support is part of the general management fee. Parent Legal estimates 0.4 FTE of support for the Target which includes SVP General Counsel and Chief Compliance Officer. There are no Legal personnel at the Target.
  - Third party: Third-party legal costs are direct billings to the Target.
  - TSA: Management is including legal services into the $2,000/month corporate services TSA.
- **Procurement:**
  - All Target's Canadian sourcing of products has been historically done by the Parent. Activities include negotiating with vendors, issuing POs, managing ocean freight, maintaining books and records, reviewing invoices on behalf of the Target.
  - There is an agreement in place between Clover Leaf Seafoods Inc. (CLSI) and Bumble Bee Seafoods dated at 2001, which outlines a fee of 0.7% (which has since been revised to 0.9%) of the total of the invoice prices for products purchased on behalf of CLSI which have been approved for payment during the prior month.
  - TSA: Parent is offering to continue providing procurement services for 12 months post-transaction as part of the TSA at the fee of 0.9% of the product cost base, exclusive of ancillary costs to land product.
- **Marketing/Sales:**
  - FTEs: Target has a large sales teams covering both Canadian and International operations. One Director Sales supports Anova, a Parent-owned business. There are six Marketing personnel employed by the Target. Additionally, Marketing VP and Director Marketing would be involved in R&D activities.
  - IT: Parent provides access to the CRM software to specified employees of the Target.

Target dependencies on Parent

Support functions	People	Processes	Assets	Contracts	Technology	In TSA
Executives	Medium	Medium	Minimal	n.a.	Medium	
Finance	Minimal	Medium	Minimal	High	n.a.	✓
HR	Medium	Medium	Minimal	Minimal	n.a.	
Legal	High	High	Minimal	High	n.a.	✓
Procurement	High	High	Minimal	High	High	✓
Marketing/Sales	Minimal	Minimal	Minimal	Minimal	Medium	
IT	High	High	High	High	High	✓
QA & Tech	High	High	High	High	n.a.	✓
Sustainability	High	High	Minimal	High	High	✓
Risk & Insurance	n.a.	High	Minimal	High	n.a.	✓

Legend: Level of dependency on Parent — Minimal, Medium, High, n.a.

Corporate allocations

	$'000	FY16	FY17	FY18	TTM May-19	FY19B
1	Intercompany management fee	2,548	2,563	2,562	2,476	2,800
2	Procurement fees	1,204	1,299	1,424	1,432	1,512
3	Insurance costs	1,119	963	884	852	979
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7	R&D allocation	134	37	26	28	35
8	Quality allocation	463	696	789	787	796
9	Bank fees	271	226	180	168	214
Total		**6,218**	**6,348**	**6,343**	**6,160**	**6,741**

Source: 8.2.4_Project Emerald - Data book.xlsx

Parent support and corporate cost allocations (4/5)

Operational and financial dependencies on Parent (continued)

- **IT:**
  - All the Target's IT support has been historically provided by the Parent, including application hosting and support, network and data infrastructure management, and IT procurement.
  - Material contracts including SAP, Microsoft, and outsourced support vendors are currently held with the Parent, and will require renegotiation for the standalone entity.
  - TSA: Parent is offering to continue to provide support services for some specific applications such as SAP, CAS, and TraceMyCatch. However, specific detailed provisions for services such as end-user support services and access for the remaining systems required by the standalone entity are not defined.
- **Quality Assurance (QA) & Tech Services:**
  - FTEs: Quality inspects and verifies against specifications (packaging, ingredients, color etc.). There are 12 QA and 17 Quality Control (QC) direct FTEs employed by Target which are located in Canada. There's also Parent's QA team supporting Target's Canada and International operations. It is situated in Bangkok, Thailand. EY noted that approximately 4 Parent's QA FTEs support Target business. Current Bangkok office is leased and operated by the Parent and all the staff are Parent employees. Management noted that Parent receives a cross-charge for the work performed there on behalf of the Target, similar to other cross-charges for general management and IT support provided by the Parent.
  - Tech specialists monitor and manage food safety policies and initiatives, oversea product recalls, etc. Management estimates this is supported by 0.2 FTE of SVP Technical Services from USA, and may be absorbed by Target's Director Tech Services and Senior Manager Tech Services.
  - TSA: US$39,000/month to transition thermal process support and data to CBCLSC from the Parent's third-party provider, TechniCal, including facilitating introductions to TechniCal employees if CBCLSC would like to contract directly for interim- or long-term support.

Target dependencies on Parent

Support functions	People	Processes	Assets	Contracts	Technology	In TSA
Executives	Medium	Medium	Minimal	n.a.	Medium	
Finance	Minimal	Medium	Minimal	High	n.a.	✓
HR	Medium	Medium	Minimal	Minimal	n.a.	
Legal	High	High	Minimal	High	n.a.	✓
Procurement	High	High	Minimal	High	High	✓
Marketing/Sales	Minimal	Minimal	Minimal	Minimal	Medium	
IT	High	High	High	High	High	✓
QA & Tech	High	High	High	High	n.a.	✓
Sustainability	High	High	Minimal	High	High	✓
Risk & Insurance	n.a.	High	Minimal	High	n.a.	✓

Legend: Level of dependency on Parent   Minimal   Medium   High   n.a.

Corporate allocations

$'000	FY16	FY17	FY18	TTM May-19	FY19B
1 Intercompany management fee	2,548	2,563	2,562	2,476	2,800
2 Procurement fees	1,204	1,299	1,424	1,432	1,512
3 Insurance costs	1,119	963	884	852	979
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6 Legal fees	153	121	184	187	161
7 R&D allocation	134	37	26	28	35
8 Quality allocation	463	696	789	787	796
9 Bank fees	271	226	180	168	214
Total	**6,218**	**6,348**	**6,343**	**6,160**	**6,741**

Source: 8.2.4_Project Emerald - Data book.xlsx

Parent support and corporate cost allocations (5/5)

Operational and financial dependencies on Parent (continued)

- **Sustainability:**
  - Currently Sustainability is done by the Parent's VP in USA with approximately 20% of time allocated to the Target matters.
  - Target uses Parent's TraceMyCatch domain name and website.
  - TSA: Parent prices TSA at $3,000 per month for 18 months post-transaction.
- **Risk & Insurance:**
  - Management indicated that insurance policies are negotiated globally and then allocated by facilities. Insurance coverage includes general liability, umbrella liability, protection and indemnity (P&I) for watercrafts, property, hull & machinery, premises pollution, auto.
  - D&O and Export Development Canada (EDC) insurance expenses are incurred directly.
  - Management indicated that there have been no claims for Canada since 2016.
  - TSA: Management is including risk and insurance management services into the $2,000/month corporate services TSA.
- **Assets:**
  - Facilities: Management indicated that there are no shared facilities between the Parent and the Target.
- **IP**
  - Management states that the trademarks owned by Bumble Bee will be licensed to the Target pursuant to a short-term licensing agreement, which is to be negotiated.
  - Management states that two domain names will be licensed to the Target.

Target dependencies on Parent

Support functions	People	Processes	Assets	Contracts	Technology	In TSA
Executives	Medium	Medium	Minimal	n.a.	Medium	
Finance	Minimal	Medium	Minimal	High	n.a.	✓
HR	Medium	Medium	Minimal	Minimal	n.a.	
Legal	High	High	Minimal	High	n.a.	✓
Procurement	High	High	Minimal	High	High	✓
Marketing/Sales	Minimal	Minimal	Minimal	Minimal	Medium	
IT	High	High	High	High	High	✓
QA & Tech	High	High	High	High	n.a.	✓
Sustainability	High	High	Minimal	High	High	✓
Risk & Insurance	n.a.	High	Minimal	High	n.a.	✓

Legend: Level of dependency on Parent *Minimal* *Medium* *High* *n.a.*

Corporate allocations

$'000		FY16	FY17	FY18	TTM May-19	FY19B
1	Intercompany management fee	2,548	2,563	2,562	2,476	2,800
2	Procurement fees	1,204	1,299	1,424	1,432	1,512
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9	Bank fees	271	226	180	168	214
Total		**6,218**	**6,348**	**6,343**	**6,160**	**6,741**

Source: 8.2.4_Project Emerald - Data book.xlsx

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Standalone cost analysis – IT incremental costs

IT incremental standalone costs						
	Mgmt. estimate	EY estimate	KPMG total IT standalone estimate			KPMG adj. to EY (base case)
$'000	Opex	Opex	Low case	High case	Base case	
IT FTE						
IT Standalone Resource Costs	1,500	1,516	1,720	2,062	1,918	402
Total IT FTE	1,500	1,516	1,720	2,062	1,918	402
IT Non-FTE						
SAP Support Costs (Offshore)	133	160	160	168	160	-
SAP Maintenance Costs	310	80	150	200	175	95
SAP Hosting Costs	527	632	632	664	648	16
CAS (Trade Promotions Management) Costs	132	159	159	167	163	4
VIM (Vendor Invoice Management) Costs	11	13	13	14	13	-
Automate Admin Tool Costs	0.4	0.5	0.5	0.5	0.5	-
EDI VAN Costs	16	19	19	20	19	-
EDI (Separate License Costs)	275	329	329	346	329	-
EDI (Separate Server / Database) Costs	34	41	41	43	41	-
Wilkie Thorton Costs	50	60	60	63	60	-
Security Management (Firewall Costs)	160	192	192	201	192	-
Phone Costs (ShoreTel On Premise)	7	8	8	8	8	-
Office 365 costs	-	18	25	26	25	7
Other Azure costs	-	182	182	191	187	5
Other Application's License & Maintenance costs	-	40	40	42	41	1
WAN costs	-	21	21	22	22	1
Laptop / PC refresh (4-year cycle)	-	-	30	42	36	36
IT Software and Middleware		-	30	70	50	50
IT Monitoring	-	-	21	53	37	37
Contingency	-	-	-	-	-	-
Total IT Non-FTE	1,654	1,953	2,111	2,339	2,204	251
Total IT on-going costs	**3,154**	**3,469**	**3,831**	**4,400**	**4,122**	**653**

Source: Management provided information; KPMG analysis

IT Incremental FTEs						
			KPMG FTE estimate			KPMG FTE adj. to EY (base)
$'000	Mgmt. estimate	EY estimate	Low case	High case	Base case	
IT Management						
VP IT	1	1	1	1	1	-
IT Manageer (Applications)	1	1	1	1	1	-
IT Manager (Operations)	1	1	1	1	1	-
Total IT Management	3	3	3	3	3	-
IT Applications						
EDI Analyst	1	1	1	1	1	-
SAP BI Analyst	1	1	1	1	1	-
SAP FI/CO Analyst	1	1	1	1	1	-
SAP PP/QM/WM Analyst	1	1	1	1	1	-
SAP MM/PP/DMS/EHS Analyst	1	1	1	1	1	-
SAP APO Analyst	1	1	1	1	1	-
SAP ABAP Programmer	1	1	1	1	1	-
Total IT Applications	7	7	7	7	7	-
IT Infrastructure						
Offshore SAO Engagement Manager	1	1	1	1	1	-
Sr. Netwok Egineer	1	1	1	1	1	-
System Administrator	1	1	1	1	1	-
Infrastructure Analyst	-	-	1	3	2	2
End User Support	1	1	1	2	2	1
Total IT Infrastructure	4	4	5	8	7	3
IT Security						
Security Analyst	-	-	1	1	1	1
Total IT Security	-	-	1	1	1	1
Total	**14**	**14**	**16**	**19**	**18**	**4**

Source: Management provided information; KPMG analysis

IT incremental costs

- **IT FTE costs**
  - **IT Infrastructure FTEs:** There appears to be some potential roles missing in the EY estimates, including in the areas of IT security, end-user support, and infrastructure management, which may require additional FTEs.
  - **SAP FTEs**: The majority of identified IT FTEs are SAP analysts. The standalone model presented includes outsourced SAP support from NTT.
- **IT Non-FTE costs**
  - **End User Devices:** Based on the conversation with Management and experience from prior deals, we made an adjustment to account for the potential replacement of a subset of end-user devices to be replaced on a yearly basis.
  - **License Costs:** From an analysis of potential end-user requirements, Management's estimated application licenses counts appear low compared to benchmarks for a business of this size and industry. Based on that, we adjusted SAP maintenance and Office 365 costs, as the remaining application licensing structures do not appear to be primarily user driven.
  - **SAP:** There are some material differences in the total SAP hosting and maintenance costs estimated by EY and Management. The SAP hosting cost include increased cloud adoption which may represent challenges depending on current levels of integration.
  - **IT Software and Monitoring:** The current EY estimates do not appear to include costs for incremental IT infrastructure and applications areas such as hardware, including, monitoring tools, middleware, and IT help desk which may be required to support the standalone business.

IT one-time costs

- There are some potential considerations for adjustments for IT one-time costs including SAP licensing costs, end-user devices and setup, and network configuration. Management estimates a total of $1.1 million in IT one-time costs. EY estimates a total of $2.4 million in total IT one-time costs. Additional diligence would be required to better understand the assumptions behind these estimates.

KPMG

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Standalone cost analysis – Non-IT incremental costs (1/4)

Non-IT incremental standalone costs

$'000	Management's estimate Comp	Non-comp	Total Cost	EY estimate Adj.	Total Cost	KPMG total cost estimate Low case	High case	Base case	KPMG adj. to EY (base)
Management Fee	-	-	-	-	-	-	-	-	-
FTEs									
Procurement	400	80	480	-	480	476	689	564	84
Quality Assurance	375	60	435	-	435	455	583	554	119
Finance	-	-	-	-	-	-	238	200	200
Human Resources	120	30	150	-	150	123	172	145	(5)
Legal	-	-	-			-	252	193	193
Sustainability	120	30	150	-	150	195	300	235	85
Risk Management	-	-	-	-	-	-	125	105	105
FTEs total	1,015	200	1,215	-	1,215	1,250	2,359	1,996	781
Non-FTEs									
Bank fees	-	214	214	(40)	174	174	198	186	12
Insurance	-	1,076	1,076	-	1,076	1,076	1,542	1,309	233
Tax	-	200	200	(100)	100	97	157	127	27
Audit	-	300	300	(100)	200	226	275	251	51
Legal fees	-	250	250	-	250	203	250	250	-
Product sourcing	-	-	-	-	-	*n.q.*	*n.q.*	*n.q.*	*n.q.*
Freight	-	-	-	-	-	*n.q.*	*n.q.*	*n.q.*	*n.q.*
Non-FTEs total	-	2,040	2,040	(240)	1,800	1,777	2,422	2,123	323
Total	**1,015**	**2,240**	**3,255**	**(240)**	**3,015**	**3,027**	**4,780**	**4,119**	**1,104**

Source: Management provided information; KPMG analysis

Non-IT incremental standalone FTEs

	Mgmt estimate	EY adj.	EY estimate	KPMG FTE estimate Low case	High case	Base case	KPMG adj. to EY (base)
Procurement	3	-	3	3	3	3	-
Quality Assurance	4	-	4	4	4	4	-
Finance	-	-	-	-	2	2	2
Human Resources	1	-	1	1	1	1	-
Legal	-	-	-	-	1	1	1
Sustainability	1	-	1	1	1	1	-
Risk Management	-	-	-	-	1	1	1
Total	**9**	**-**	**9**	**9**	**13**	**13**	**4**

Source: Management provided information; KPMG analysis

Non-IT incremental costs

- **Management fee:** No management fee will be required on a standalone basis.
- **FTE costs**: A total of approximately $2 million in incremental employee costs is estimated to be needed to support the operations of Target on a standalone basis in the base case. This is $0.8 million higher than Management's and EY's estimate.
  - **FTE compensation:** A total of $1.5 million in incremental salary, benefits and bonus expenses was estimated by KPMG. According to Management and EY, FTE compensation estimates include burden rate of 20%. From our review of the FTE costs, proprietary benchmarks and past deals, Management's estimate of FTE costs appears to exclude bonus and benefits, resulting in potentially understated FTE costs. For a business of this size, benefits would be in the range of 15% to 25%, which we applied on top of annual salaries (except for QA).
  - Based on review of the census file it is noted that Supervisors and above receive bonuses in the range of 10% to 35%. In base case we applied 15% on top of annual salaries for managers and above, and 25% for Sustainability Director.
  - Lastly, we adjusted base salaries based on localized benchmarks for professionals from companies of similar industry and size (except for QA). Although QA salaries in Bangkok appear high, we haven't adjusted them, as Management confirmed they are appropriate for the local market.

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Standalone cost analysis - Non-IT incremental costs (2/4)

Non-IT incremental standalone costs

$'000	Management's estimate Comp	Non-comp	Total Cost	EY estimate Adj.	Total Cost	KPMG total cost estimate Low case	High case	Base case	KPMG adj. to EY (base)
Management Fee	-	-	-	-	-	-	-	-	-
FTEs									
Procurement	400	80	480	-	480	476	689	564	84
Quality Assurance	375	60	435	-	435	455	583	554	119
Finance	-	-	-	-	-	-	238	200	200
Human Resources	120	30	150	-	150	123	172	145	(5)
Legal	-	-	-			-	252	193	193
Sustainability	120	30	150	-	150	195	300	235	85
Risk Management	-	-	-	-	-	-	125	105	105
FTEs total	1,015	200	1,215	-	1,215	1,250	2,359	1,996	781
Non-FTEs									
Bank fees	-	214	214	(40)	174	174	198	186	12
Insurance	-	1,076	1,076	-	1,076	1,076	1,542	1,309	233
Tax	-	200	200	(100)	100	97	157	127	27
Audit	-	300	300	(100)	200	226	275	251	51
Legal fees	-	250	250	-	250	203	250	250	-
Product sourcing	-	-	-	-	-	*n.q.*	*n.q.*	*n.q.*	*n.q.*
Freight	-	-	-	-	-	*n.q.*	*n.q.*	*n.q.*	*n.q.*
Non-FTEs total	-	2,040	2,040	(240)	1,800	1,777	2,422	2,123	323
Total	**1,015**	**2,240**	**3,255**	**(240)**	**3,015**	**3,027**	**4,780**	**4,119**	**1,104**

Source: Management provided information; KPMG analysis

Non-IT incremental standalone FTEs

	Mgmt estimate	EY adj.	EY estimate	KPMG FTE estimate Low case	High case	Base case	KPMG adj. to EY (base)
Procurement	3	-	3	3	3	3	-
Quality Assurance	4	-	4	4	4	4	-
Finance	-	-	-	-	2	2	2
Human Resources	1	-	1	1	1	1	-
Legal	-	-	-	-	1	1	1
Sustainability	1	-	1	1	1	1	-
Risk Management	-	-	-	-	1	1	1
Total	**9**	**-**	**9**	**9**	**13**	**13**	**4**

Source: Management provided information; KPMG analysis

Non-IT incremental costs (continued)

- **Additional FTE:** The general proposed structure of the organization appears reasonable. However, based on the activities and functions that we identified as missing, below are a few additional areas that may potentially be considered:
  - Finance – A treasury analyst may be required to perform daily reconciliations, cash management, currency settlements. A Master Data Analyst may be required to coordinate assembly and set-up of all data changes in SAP.
  - Legal – A regulatory and government relations manager may be required to manage regulatory risks, manage import / export risks, and relations with government bodies.
  - Risk Management – A risk management analyst may be required to manage foreign currency exposures.
- **FTE non-compensation:** A total of $0.5 million in incremental non-compensation expenses was estimated by KPMG, based on the Management's estimates, benchmarks and bottom-up build. Management included $15,000-30,000 of T&E expenses for certain employees, which we adjusted according to positions' travel needs. The estimates didn't include payroll fees, membership dues, and learning and development (L&D), which we layered in. Please note that QA includes Management's estimate for $60,000 of Bangkok office rent estimate, which we included in our estimates as well.
- **Number of incremental FTEs:** Our analysis of the incremental resources required to support the carve-out business suggests that a potential of 13 incremental FTEs may be needed in base case. This is 4 FTEs higher than Management's and EY's estimates.

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Standalone cost analysis - Non-IT incremental costs (3/4)

Non-IT incremental standalone costs									
	Management's estimate			EY estimate		KPMG total cost estimate			KPMG
		Non-	Total		Total	Low	High	Base	adj. to
$'000	Comp	comp	Cost	Adj.	Cost	case	case	case	EY (base)
Management Fee	-	-	-	-	-	-	-	-	-
FTEs									
Procurement	400	80	480	-	480	476	689	564	84
Quality Assurance	375	60	435	-	435	455	583	554	119
Finance	-	-	-	-	-	-	238	200	200
Human Resources	120	30	150	-	150	123	172	145	(5)
Legal	-	-	-			-	252	193	193
Sustainability	120	30	150	-	150	195	300	235	85
Risk Management	-	-	-	-	-	-	125	105	105
FTEs total	1,015	200	1,215	-	1,215	1,250	2,359	1,996	781
Non-FTEs									
Bank fees	-	214	214	(40)	174	174	198	186	12
Insurance	-	1,076	1,076	-	1,076	1,076	1,542	1,309	233
Tax	-	200	200	(100)	100	97	157	127	27
Audit	-	300	300	(100)	200	226	275	251	51
Legal fees	-	250	250	-	250	203	250	250	-
Product sourcing	-	-	-	-	-	*n.q.*	*n.q.*	*n.q.*	*n.q.*
Freight	-	-	-	-	-	*n.q.*	*n.q.*	*n.q.*	*n.q.*
Non-FTEs total	-	2,040	2,040	(240)	1,800	1,777	2,422	2,123	323
Total	**1,015**	**2,240**	**3,255**	**(240)**	**3,015**	**3,027**	**4,780**	**4,119**	**1,104**

Source: Management provided information; KPMG analysis

Non-IT incremental costs (continued)

- **Non-FTE Costs:** A total of approximately $2 million in incremental non-employee costs is estimated to be needed to support the operations of Target on a standalone basis in the base case. This is based on the Management's and EY's estimates, corporate cost allocations, and benchmarks. This is $0.3 million higher than EY's estimate.
  - Bank fees: Around $186,000 may be needed in incremental annual bank fees in base case.
  - Insurance: Target may be incurring around $1.3 million in annual incremental insurance expenses in base case.
  - Tax: Target may need to annually spend around $127,000 in tax fees in base case.
  - Audit: Around $261,000 may be required to cover annual audit fees in base case.
  - Legal: It appears EY's estimate of $250,000 in annual incremental legal fees is within expected range of benchmarks for a business of similar size. Management noted that this would entail contract reviews, trademark defense (bulk of activity), and general litigation.
  - Product sourcing: There may be diseconomies of scale, which would be dependent on the terms of negotiated contracts.
  - Freight: There may be diseconomies of scale, which would be dependent on the terms of negotiated contracts.

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Standalone cost analysis – Non-IT incremental costs (4/4)

Non-IT incremental standalone costs

$'000	Management's estimate Comp	Non-comp	Total Cost	EY estimate Adj.	Total Cost	KPMG total cost estimate Low case	High case	Base case	KPMG adj. to EY (base)
Management Fee	-	-	-	-	-	-	-	-	-
FTEs									
Procurement	400	80	480	-	480	476	689	564	84
Quality Assurance	375	60	435	-	435	455	583	554	119
Finance	-	-	-	-	-	-	238	200	200
Human Resources	120	30	150	-	150	123	172	145	(5)
Legal	-	-	-			-	252	193	193
Sustainability	120	30	150	-	150	195	300	235	85
Risk Management	-	-	-	-	-	-	125	105	105
FTEs total	1,015	200	1,215	-	1,215	1,250	2,359	1,996	781
Non-FTEs									
Bank fees	-	214	214	(40)	174	174	198	186	12
Insurance	-	1,076	1,076	-	1,076	1,076	1,542	1,309	233
Tax	-	200	200	(100)	100	97	157	127	27
Audit	-	300	300	(100)	200	226	275	251	51
Legal fees	-	250	250	-	250	203	250	250	-
Product sourcing	-	-	-	-	-	*n.q.*	*n.q.*	*n.q.*	*n.q.*
Freight	-	-	-	-	-	*n.q.*	*n.q.*	*n.q.*	*n.q.*
Non-FTEs total	-	2,040	2,040	(240)	1,800	1,777	2,422	2,123	323
Total	**1,015**	**2,240**	**3,255**	**(240)**	**3,015**	**3,027**	**4,780**	**4,119**	**1,104**

Source: Management provided information; KPMG analysis

Non-IT incremental costs (continued)

- **Non-FTE Costs:** A total of approximately $2 million in incremental non-employee costs is estimated to be needed to support the operations of Target on a standalone basis in the base case. This is based on the Management's and EY's estimates, corporate cost allocations, and benchmarks. This is $0.3 million higher than EY's estimate.
  - Payroll: Management and EY indicated that no additional charges for payroll would be incurred as it is currently operated locally through a service provider (ADP). Based on prior experience, we estimate that incremental payroll expenses may be incurred to support incremental FTEs. Necessary adjustments were made in FTE non-compensation section.
  - Facilities: Management indicated that, except for QA specialists in Bangkok, the business will be able to support incremental FTEs into current facilities through reconfiguration. We confirmed that head office in Markham has enough capacity to accommodate our estimated number of incremental FTEs. EY indicated that Target currently co-locates with Parent for packing facilities in Asia and the additional $60,000 is needed to set up a separate facility and the associated rent, etc. However, Management mentioned that this estimate is not for a packing facility, it is the estimated share of rent for office space in the existing BBS office, assuming continued co-habitation.

Potential operational risks and upsides (1/2)

In addition to the standalone considerations quantified in this report, we identified potential business risks below.

Key risks

Topic	Observation	Likelihood	Magnitude
One-time costs	Management estimates that total non-IT one-time costs would be around $0.3 million, which represents hiring costs calculated as 30% of the salary of each incremental FTE required. EY adjusted this downward to 20% ($0.2 million) according to its hiring costs benchmarks. Based on KPMG prior experience, this estimate is understated and misses other costs, e.g., moving, re-branding, third-party separation advisory, separation-related travel costs, and employee retention. New hires will need training, onboarding and support after the separation.		
Product sourcing	There may be diseconomies of scale on procuring salmon products (total spend of $30 million) for Target as a standalone business. Target has very specific quality requirements (color, firmness, watermarks etc.) which limits the supply available. Target also buys long in the odd years and adjusts their pricing strategy to the market depending on the supply outlook.		*n.a.*
Freight from Asia	Target works with an American brokerage company on freight and Management has indicated low costs and quality service from this provider. There may be diseconomies of scale on freight rates on the lane from Southeast Asia to North America.		
IP	There are a number of trademarks that are owned by Bumble Bee (56 international and 4 Canadian). Three international and one Canadian marks are excluded from transaction and being transferred back to Bumble Bee (Brunswick in USA and Puerto Rico, Beach Cliff in USA and Canada). Management noted that trademarks owned by Bumble Bee that are part of the transaction will be licensed to a buyer pursuant to a short-term licensing agreement, which is to be negotiated. There may be accretive costs depending on the arrangement. Note, that there are a number of Target-owned trademarks expiring in 2019 that haven't been renewed yet. Also, two domain names will be licensed by Bumble Bee to Target. One of them is expiring Jul 11th, 2019.		

Maximum High Moderate Limited Minimum

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Potential operational risks and upsides (2/2)

In addition to the standalone considerations quantified in this report, we identified potential business upsides below.

Key upsides

Topic	Observation	Likelihood	Magnitude
Merger synergies	In the event of a merger with a company that has an established corporate shared services office, the incremental requirements of the back office for Target would be substantially reduced. EY estimates that total potential annual run-rate synergies (excludes IT, as it wasn't estimated by EY) would be around $1.9 million. EY assumed a 10% decrease in bank fees and insurance, 50% decrease in audit, tax and legal, and full elimination of incremental standalone needs for HR, Sustainability and Procurement. EY also estimates a 50% synergy saving in Target's direct Finance and HR employee eliminations. Management and EY did not have any particular company size, industry or location in mind when estimating synergies. Buyer is advised to assess these estimates comparative to their financials and operations.	*n.a.*	*n.a.*
Properties	Target owns a number of properties that do not appear to be necessary for the core business operations. Sale of these assets would result in one-time capital gains and annual run-rate savings associated with property tax, utilities, maintenance, etc.		
Bangkok office	Management estimated $60,000 of annual incremental office expenses to accommodate four incremental QA employees. According to average commercial lease rates in Bangkok, this estimate may be in the range of $2,000-3,000 annually instead.		

Maximum High Moderate Limited Minimum

Appendices

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Engagement letter procedures (1/3)

FINANCIAL DUE DILIGENCE

Unless otherwise noted, our work will concentrate on the financial information of Target for the last two fiscal years ended December 31, 2017 ("FY17") and 2018 ("FY18") and the most recent available financial information for the fiscal year in progress ("current trading").

1. Overview

a) Obtain and read EY's Quality of Earnings report which has been prepared on a non-reliance basis; and

b) Summarize and comment on Target's:

i. Transaction perimeter;

ii. Internal reporting segments and any intra-segment relationships;

iii. Financial reporting framework, including financial statement close process, cut-off processes, differences between year-end and interim procedures, team composition and qualifications, finance system used and reliance on parent company, etc.;

iv. Significant accounting policies (i.e. inventory costing methodology, revenue recognition policies, etc.) and accounting estimates (i.e. allowances for doubtful accounts, inventory provisions, accruals, customer rebates, etc.); and

v. Recent or contemplated changes in accounting principles, procedures, or estimates.

2. Quality of earnings

Propose potential adjustments to historical earnings before interest, taxes, depreciation, and amortization ("EBITDA"), considering:

a) Management's adjustments, if any;

b) Impact of provisions, management estimates, or adjusting entries on the reported results;

c) Impact of any significant new or lost customers;

d) Impact of any significant new product launches or discontinued products;

e) Impact of any significant price list changes;

f) Impact of foreign currency translation gains/losses;

g) Any other unusual or non-recurring events; and

h) Other potential items discovered in the due diligence process, such as pro forma standalone costs post-separation from Seller.

Supporting analyses to quality of earnings procedures

A. Sales and margins

Obtain and read an analysis of Target's sales and margins and inquire about:

a) Sales and profitability by dollars and units by:

i. Key product lines (i.e. Tuna, Salmon, Sardines, Oysters, Shrimp, etc.);

ii. Customers, including individual significant customers and customer types (i.e. conventional, mass, distributors, etc.); and

iii. Geographic region, if applicable.

b) Length of relationships with key customers;

c) Pricing strategy used by Target (e.g. standard price list, commodity based, etc.);

d) Trade discounts and allowances (e.g. off-invoice, co-op, volume incentives, business development funds, out-of-code products, etc.);

e) Impact of new product launches (including ramp-up effects) and/or discontinued products;

f) Revenue seasonality;

g) Components of manufactured cost of product (i.e. materials, direct labour, overheads);

h) Purchases by supplier;

i) Breakdown of overheads between fixed and variable; and

j) Capacity and utilization by product line.

B. Personnel costs

Obtain and read an analysis of the Target's personnel costs and inquire about:

a) Personnel organizational structure chart;

b) Employee benefits plans;

c) Senior management cost structure;

d) Headcount and average compensation costs; and

e) Employee bonus/incentive plans.

C. Operating expenses

Obtain and read an analysis of the Target's operating expenses and inquire about:

a) General and administrative;

b) Selling and marketing;

c) Research and development; and

d) Terms of brokers (commissions) expenses.

3. Working capital

Obtain details on Target's working capital and comment on:

a) Monthly working capital trends, including seasonality;

b) Historical trends in key working capital metrics (DSO, DIO, DPO); and

c) Items that may have distorted the current or historical working capital position.

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Engagement letter procedures (2/3)

Supporting analyses to working capital procedures

A. Accounts receivable

Obtain and read an analysis of the Target's accounts receivable and inquire and comment on:

a) Aging analysis;

b) Trade and non-trade balances;

c) Allowance for uncollectible accounts and write-offs; and

d) Credit terms (including special terms).

B. Inventory

Obtain and read an analysis of Target's inventory and inquire and comment on:

a) Inventory turnover;

b) Components of inventory (e.g. raw material, finished goods);

c) Aging, slow-moving, excess, and obsolete inventory, if applicable;

d) Purchasing procedures; and

e) Vendor allowances and charge backs.

C. Prepaid expenses and other

Prepare a summary of other assets (including prepaid expenses) and comment on unusual items, significant fluctuations and significant balances.

D. Accounts payable and accruals

Obtain and read an analysis of Target's accounts payable and accrued liabilities and inquire about:

a) Terms of trade with major suppliers, days payables outstanding and trade payables aging analysis;

b) Accrued liabilities; and

c) Other current and non-current liabilities.

4. Net debt

Obtain information and comment on the potential net debt items that may be included in the Transaction:

a) Summarize and comment on net debt items presented by management;

b) Consider whether elements of working capital are debt-like in nature, and if so, summarize the potential impact of these adjustments on working capital and net debt; and

c) Consider the definition of net debt (per the draft SPA) and whether there are other items that may be included within the net debt calculation.

5. Capital assets and expenditures

Obtain and read an analysis of Target's capital assets and expenditures and inquire about:

a) Existing capital asset base, including purchase date and net book value of Target's equipment listing;

b) Historical capital expenditures divided between growth and maintenance; and

c) Capitalization/expense methodology.

6. Commitments and contingencies

Inquire about significant commitments and contingent liabilities and comment on:

a) Supplier volume/term commitments (e.g. materials, freight, etc.);

b) Committed capital expenditures;

c) Pending or threatened litigation or investigations;

d) Incentive compensation;

e) Purchase commitments; and

f) Off-balance sheet transactions.

7. Independent auditor's working paper review

If applicable, obtain access to and read the independent auditor's working papers supporting the audit opinions issued on the relevant sets of Target's financial statements for the last two fiscal years (if available) and:

a) Discuss any significant issues identified;

b) Inquire of any disagreements with management; and

c) Comment on the nature and volume of any differences/adjustments noted, use of accounting estimates, and any changes in accounting policies/methodologies and their implication.

8. Separation and standalone due diligence

Highlight key separation risks and estimate the incremental ongoing costs required by the Target to operate independently from Seller.

A. Separation dependencies

a) Obtain and read EY prepared Target standalone analysis.

b) Discuss operational dependencies existing between Target and Seller in all main business functions across the following areas: people, process, property, assets and technology.

c) Identify corporate recharges and cost allocations.

d) Identify services recharged at cost and services recharged under allocation mechanism.

e) Identify any supply/client relationships between Target and Seller which would suggest the potential need for a short or long term agreement.

B. Standalone costs

a) Review and comment on detailed estimate of the standalone costs, the incremental run rate costs required operate Target on a standalone basis.

b) Highlight potential risks and upsides.

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Engagement letter procedures (3/3)

TAX DUE DILIGENCE

Canadian Tax Due Diligence

Our Canadian tax due diligence procedures will be performed with respect to the following Canadian companies – Clover Leaf Holdings Company, Connors Bros. Clover Leaf Seafoods Company, Connors Bros. Seafoods Company, 6162410 Canada Limited, K.C.R. Fisheries Ltd. (collectively "Target"). This Work Plan assumes that the due diligence services described below will only be performed on the above companies. If additional services will be provided on additional target entities, there will be additional fees.

Unless otherwise specifically noted below, our scope of work will be restricted to the periods FY14 – FY18 and year-to-date ("YTD") FY19 (hereinafter termed as "period under investigation "). References to accounts and associated data are for these periods.

Due diligence procedures will be undertaken through discussions with management, and where applicable, Target's tax advisors, and through reading limited documents as described below.

Our Canadian tax due diligence procedures for the period under investigation consist of the following:

1. General

a) Inquire with Target management and/or their tax advisors about:

i. Overview of Canadian and foreign business operations;

ii. Structuring of significant transactions (including strategies, acquisitions, dispositions, and reorganizations) and tax treatment thereof;

iii. Nature and extent of tax planning arrangements;

iv. Results of significant tax audits including jurisdictions subject to audit, quantum of known or proposed audit adjustments and, status of current/pending audits (income tax and transfer pricing);

v. Historical tax positions taken including the quantum of reserves for uncertain tax positions included in the financial statements and the basis for those reserves;

vi. Nature of systems to ensure compliance with tax laws (in applicable jurisdictions including sales tax, and payroll); and

vii. The nature and extent of Scientific Research & Development claims, as applicable.

b) Obtain and read copies of correspondence with Canadian tax authorities in respect of completed, ongoing and pending tax audits and in respect of the Voluntary Disclosure for Provincial Sales Tax.

c) Obtain and read correspondence from internal and external tax advisors with respect to significant tax matters, including the cross-border financing arrangement, acquisitions, restructurings, and tax strategies.

2. Income and withholding tax

a) Target's income and withholding tax compliance status, including internal procedures related to income and withholding tax compliance and use of external tax preparers and advisors.

b) Obtain and read Canadian corporate tax returns (including applicable T106 Information Return of Non-Arm's Length Transactions with Non-Residents and SR&ED tax filings, if applicable) filed by Target and related legal entity financial statements.

c) Obtain and read NR4 "Amounts Paid to Non-Residents" returns.

d) Obtain and read schedules of tax basis of significant assets of Target and unused loss carry overs by jurisdiction (if any), including date of expiration and applicable restrictions on use. Consider implications of an acquisition of control of Target on the availability of unused losses, and tax basis of material assets.

e) Obtain and read a summary of the components of future (deferred) tax accounts and analysis of uncertain tax positions for the last two taxation years.

3. Transfer pricing

a) Interview Target management and outside advisors regarding quantum of non-arm's length transactions including basis of pricing/valuation, type of transaction and documentation available to support the transaction.

b) Obtain and read transfer pricing studies and cost allocation schedules.

4. Employment tax

a) Inquire with Target management and/or their tax advisors about:

i. Target's payroll tax compliance status, including internal procedures related to payroll tax compliance;

ii. Payments to key employees that are contingent on closing of the Transaction; and

iii. The nature and extent of use of individual independent contractors.

b) Obtain and read details of share option and/or bonus programs for key employees and/or shareholders, as applicable.

5. Indirect tax

a) Inquire with Target management and/or their tax advisors about:

i. Target's indirect tax compliance status, including internal procedures related to indirect tax compliance;

ii. Indirect tax status of Target's revenue, e.g. taxable/non-taxable supplies and recovery of input tax credits; and

iii. Restrictions on recovery of input tax credits.

b) Obtain and read a sample (e.g. 1 per quarter) of GST/HST/QST/PST returns and remittances for the past two years and supporting working papers.

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Consolidating P&L

Consolidating P&L — Unaudited — FY18

$'000	CBCLSC	KCR	Elimco	Other top-side adj	CBCLSC consol	CLH	CLH Elimco	Net CLH	CLH consol
Gross trade sales	369,001	12,391	(12,261)	(20,539)	348,591	-	-	-	348,591
Trade allowances	(75,435)	-	-	-	(75,435)	-	-	-	(75,435)
Net sales	293,566	12,391	(12,261)	(20,539)	273,157	-	-	-	273,157
Cost of goods	(232,385)	(11,939)	12,261	20,721	(211,342)	-	-	-	(211,342)
Warehousing cost	(4,469)	-	-	-	(4,469)	-	-	-	(4,469)
Transportation	(4,565)	-	-	-	(4,565)	-	-	-	(4,565)
Cost of sales	(241,419)	(11,939)	12,261	20,721	(220,376)	-	-	-	(220,376)
Gross profit	**52,147**	**451**	**-**	**182**	**52,780**	**-**	**-**	**-**	**52,780**
Operating expenses									
Selling expenses	(6,188)	-	-	(274)	(6,463)	-	-	-	(6,463)
G&A operating expenses	(5,861)	-	-	-	(5,861)	(4)	-	(4)	(5,865)
Amortization	(3,471)	-	-	-	(3,471)	-	-	-	(3,471)
NVSP	(1,857)	-	-	-	(1,857)	-	-	-	(1,857)
Brokerage / drayage	(1,733)	-	-	-	(1,733)	-	-	-	(1,733)
Advertising	(2,051)	-	-	-	(2,051)	-	-	-	(2,051)
SG&A depreciation	(174)	-	-	-	(174)	-	-	-	(174)
Total operating expenses	(21,335)	-	-	(274)	(21,609)	(4)	-	(4)	(21,613)
Operating income	**30,813**	**451**	**-**	**(93)**	**31,172**	**(4)**	**-**	**(4)**	**31,167**
Net interest expense	(14,211)	0	-	-	(14,211)	53	-	53	(14,159)
Other (income) expense	(4,105)	(17)	(200)	(51)	(4,373)	-	-	-	(4,373)
Restructuring & other transition costs	(446)	-	(13,191)	-	(13,637)	-	-	-	(13,637)
Income taxes	(3,567)	(138)	-	-	(3,705)	(14)	-	(14)	(3,719)
Net income / (loss)	**8,483**	**297**	**(13,391)**	**(144)**	**(4,754)**	**34**	**-**	**34**	**(4,720)**
Add back / (deduct)				-	-				
Net interest expense	14,211	(0)	-	-	14,211	(53)	-	(53)	14,159
Income taxes	3,567	138	-	-	3,705	14	-	14	3,719
Depreciation	3,193	175	-	-	3,368	-	-	-	3,368
Amortization	3,471	-	-	-	3,471	-	-	-	3,471
EBITDA	**32,926**	**609**	**(13,391)**	**(144)**	**20,000**	**(4)**	**-**	**(4)**	**19,996**
Restructuring & other transition costs	446	-	13,191	-	13,637	-	-	-	13,637
Adjusted EBITDA	**33,372**	**609**	**(200)**	**(144)**	**33,637**	**(4)**	**-**	**(4)**	**33,633**

TTM P5-19

$'000	CBCLSC	KCR	Elimco	Other top-side adj	CBCLSC consol	CLH	CLH Elimco	Net CLH	CLH consol
Gross trade sales	368,655	11,977	(11,915)	(20,881)	347,836	-	-	-	347,836
Trade allowances	(75,168)	-	-	-	(75,168)	-	-	-	(75,168)
Net sales	293,487	11,977	(11,915)	(20,881)	272,668	-	-	-	272,668
Cost of goods	(231,202)	(11,513)	11,915	20,920	(209,879)	-	-	-	(209,879)
Warehousing cost	(4,693)	-	-	-	(4,693)	-	-	-	(4,693)
Transportation	(4,459)	-	-	-	(4,459)	-	-	-	(4,459)
Cost of sales	(240,353)	(11,513)	11,915	20,920	(219,031)	-	-	-	(219,031)
Gross profit	**53,134**	**464**	**-**	**40**	**53,637**	**-**	**-**	**-**	**53,637**
Operating expenses									
Selling expenses	(6,256)	-	-	(274)	(6,529)	-	-	-	(6,529)
G&A operating expenses	(5,982)	-	-	-	(5,982)	(9)	-	(9)	(5,992)
Amortization	(3,327)	-	-	-	(3,327)	-	-	-	(3,327)
NVSP	(1,831)	-	-	-	(1,831)	-	-	-	(1,831)
Brokerage / drayage	(1,677)	-	-	-	(1,677)	-	-	-	(1,677)
Advertising	(928)	-	-	-	(928)	-	-	-	(928)
SG&A depreciation	(186)	-	-	-	(186)	-	-	-	(186)
Total operating expenses	(20,188)	-	-	(274)	(20,461)	(9)	-	(9)	(20,470)
Operating income	**32,946**	**464**	**-**	**(234)**	**33,176**	**(9)**	**-**	**(9)**	**33,167**
Net interest expense	(15,040)	0	-	-	(15,039)	53	-	53	(14,987)
Other (income) expense	(3,981)	(2)	(200)	(30)	(4,213)	-	-	-	(4,213)
Restructuring & other transition costs	(2,216)	-	(5,078)	-	(7,294)	-	-	-	(7,294)
Income taxes	(3,967)	(148)	-	-	(4,116)	(14)	-	(14)	(4,130)
Net income / (loss)	**7,742**	**313**	**(5,278)**	**(264)**	**2,514**	**29**	**-**	**29**	**2,543**
Add back / (deduct)				-	-				
Net interest expense	15,040	(0)	-	-	15,039	(53)	-	(53)	14,987
Income taxes	3,967	148	-	-	4,116	14	-	14	4,130
Depreciation	3,286	176	-	-	3,462	-	-	-	3,462
Amortization	3,327	-	-	-	3,327	-	-	-	3,327
EBITDA	**33,362**	**637**	**(5,278)**	**(264)**	**28,458**	**(9)**	**-**	**(9)**	**28,449**
Restructuring & other transition costs	2,216	-	5,078	-	7,294	-	-	-	7,294
Adjusted EBITDA	**35,579**	**637**	**(200)**	**(264)**	**35,752**	**(9)**	**-**	**(9)**	**35,743**

Source: Management provided trial balances

Appendix 3

Adjusted P&L

The P&L presented below reflects adjusted EBITDA after incorporating all Management, Sell-side, Buy-side, and Stand-alone QofE adjustments.

	Unadjusted			Mgmt., Sell-side, Buy-side adj.			Adjusted			Stand-alone adjustments			Stand-alone adjusted		
Adjusted IS															
$'000	**FY17**	**FY18**	**TTM P5-19**	**FY17**	**FY18**	**TTM P5-19**	**FY17**	**FY18**	**TTM P5-19**	**FY17**	**FY18**	**TTM P5-19**	**FY17**	**FY18**	**TTM P5-19**
Gross trade sales	348,427	348,591	347,836	21,038	18,714	19,700	369,465	367,305	367,535	-	-	-	369,465	367,305	367,535
Trade allowances	(75,546)	(75,435)	(75,168)	1,200	(2,200)	(2,909)	(74,346)	(77,635)	(78,076)	-	-	-	(74,346)	(77,635)	(78,076)
Net sales	272,881	273,157	272,668	22,238	16,513	16,791	295,119	289,670	289,459	-	-	-	295,119	289,670	289,459
Cost of goods	(204,928)	(211,342)	(209,879)	(17,996)	(15,679)	(16,920)	(222,924)	(227,021)	(226,799)	922	968	955	(222,001)	(226,053)	(225,844)
Warehousing cost	(3,987)	(4,469)	(4,693)	65	61	61	(3,922)	(4,408)	(4,632)	-	-	-	(3,922)	(4,408)	(4,632)
Transportation	(4,736)	(4,565)	(4,459)	240	114	43	(4,496)	(4,451)	(4,416)	-	-	-	(4,496)	(4,451)	(4,416)
Cost of sales	(213,651)	(220,376)	(219,031)	(17,691)	(15,504)	(16,816)	(231,342)	(235,880)	(235,847)	922	968	955	(230,420)	(234,912)	(234,892)
Gross profit	**59,230**	**52,780**	**53,637**	**4,547**	**1,009**	**(25)**	**63,777**	**53,790**	**53,612**	**922**	**968**	**955**	**64,699**	**54,758**	**54,567**
Operating expenses															
Selling expenses	(6,531)	(6,463)	(6,529)	-	-	-	(6,531)	(6,463)	(6,529)	-	-	-	(6,531)	(6,463)	(6,529)
G&A operating expenses	(6,444)	(5,865)	(5,992)	-	-	-	(6,444)	(5,865)	(5,992)	2,863	2,813	2,730	(3,582)	(3,053)	(3,262)
Amortization	(3,890)	(3,471)	(3,327)	3,890	3,471	3,327	-	-	-	-	-	-	-	-	-
NVSP	(1,794)	(1,857)	(1,831)	-	-	-	(1,794)	(1,857)	(1,831)	-	-	-	(1,794)	(1,857)	(1,831)
Brokerage / drayage	(1,851)	(1,733)	(1,677)	-	-	-	(1,851)	(1,733)	(1,677)	-	-	-	(1,851)	(1,733)	(1,677)
Advertising	(1,593)	(2,051)	(928)	-	-	-	(1,593)	(2,051)	(928)	-	-	-	(1,593)	(2,051)	(928)
SG&A depreciation	(176)	(174)	(186)	176	174	186	-	-	-	-	-	-	-	-	-
Total Operating expenses	(22,280)	(21,613)	(20,470)	4,066	3,645	3,513	(18,213)	(17,968)	(16,957)	2,863	2,813	2,730	(15,351)	(15,156)	(14,227)
Operating income	**36,951**	**31,167**	**33,167**	**8,613**	**4,654**	**3,488**	**45,564**	**35,822**	**36,655**	**3,785**	**3,781**	**3,684**	**49,349**	**39,602**	**40,340**
Net interest expense	(11,667)	(14,159)	(14,987)	11,667	14,159	14,987	-	-	-	-	-	-	-	-	-
Other (income) expense	(1,947)	(4,373)	(4,213)	174	835	715	(1,773)	(3,538)	(3,498)	2,563	2,562	2,476	790	(976)	(1,022)
Restructuring & other transition costs	(182)	(13,637)	(7,294)	166	13,469	7,126	(16)	(168)	(168)	(6,484)	(8,241)	(8,241)	(6,501)	(8,409)	(8,409)
Income taxes	(6,356)	(3,719)	(4,130)	6,356	3,719	4,130	-	-	-	-	-	-	-	-	-
Net income / (loss)	**16,799**	**(4,720)**	**2,543**	**26,976**	**36,836**	**30,446**	**43,775**	**32,116**	**32,989**	**(137)**	**(1,898)**	**(2,081)**	**43,638**	**30,218**	**30,908**

Source: Management provided trial balances
Note: The table above reflects intercompany sales and costs to BBF

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Consolidating BS

Consolidating balance sheet

Unaudited — As at 31-Dec-18

$'000	CBCLSC (2001)	KCR (2201)	Elimco (2990)	Other top-side adj	Company sub total	CLH (3001)	CLH elimco (3931)	Net CLH	Consolidated
Assets									
Cash & cash equivalents	-	1	-	-	1	-	-	-	1
Accounts receivable	32,748	55	-	-	32,803	1,126	(1,126)	-	32,803
Inventories	96,248	-	-	-	96,248	-	-	-	96,248
Prepaid expenses & other current assets	1,061	-	-	-	1,061	5	-	5	1,066
Intercompany receivables	41,520	12,106	(0)	-	53,626	19,978	-	19,978	73,604
Current assets	171,577	12,162	(0)	-	183,739	21,108	(1,126)	19,983	203,722
Construction in progress	2,801	-	-	-	2,801	-	-	-	2,801
PP&E, net	33,386	739	-	-	34,125	-	-	-	34,125
Intercompany notes receivable	168,213	-	(12,586)	-	155,627	105,336	(105,336)	-	155,627
Pension benefit asset	2,642	-	-	-	2,642	-	-	-	2,642
Goodwill	13,017	-	848	-	13,865	-	-	-	13,865
Trademarks	48,293	-	-	-	48,293	-	-	-	48,293
Other intangible assets, net	56,946	-	-	-	56,946	-	-	-	56,946
Other long-term assets	2,508	-	(1,272)	-	1,236	77,039	(77,039)	-	1,236
Total assets	**499,384**	**12,901**	**(13,010)**	**-**	**499,275**	**203,484**	**(183,501)**	**19,983**	**519,257**
Liabilities & equity									
Accounts payable	(32,707)	(399)	-	-	(33,107)	-	1,126	1,126	(31,981)
Accrued expenses	(14,330)	(83)	-	-	(14,412)	-	-	-	(14,412)
Income & withholding taxes	-	(18)	-	-	(18)	(1,126)	-	(1,126)	(1,144)
Other current liabilities	(505)	(4)	-	-	(509)	-	-	-	(509)
Intercompany payables	(55,669)	(11,689)	-	-	(67,358)	-	-	-	(67,358)
Current liabilities	(103,211)	(12,193)	-	-	(115,404)	(1,126)	1,126	-	(115,404)
Term notes payable, net of DD/IC	(184,995)	-	-	-	(184,995)	-	-	-	(184,995)
Revolving credit facility, net of DD/IC	607	-	-	-	607	-	-	-	607
Subordinated notes, net of DD/IC	-	-	-	-	-	-	-	-	-
Capital leases & other debt	(212)	-	-	-	(212)	-	-	-	(212)
Intercompany notes payable	(105,336)	-	-	-	(105,336)	(123,040)	105,336	(17,703)	(123,040)
Deferred income taxes	(4,853)	(129)	-	-	(4,982)	(2,128)	-	(2,128)	(7,110)
Other long-term liabilities	-	-	-	(144)	(144)	-	-	-	(144)
Total liabilities	(398,001)	(12,322)	-	(144)	(410,466)	(126,294)	106,462	(19,832)	(430,298)
Equity	(101,383)	(579)	13,010	144	(88,809)	(77,190)	77,039	(151)	(88,959)
Total liabilities & equity	**(499,384)**	**(12,901)**	**13,010**	**-**	**(499,275)**	**(203,484)**	**183,501**	**(19,983)**	**(519,257)**

Unaudited — As at 25-May-19

$'000	CBCLSC (2001)	KCR (2201)	Elimco (2990)	Other top-side adj	Company sub total	CLH (3001)	CLH elimco (3931)	Net CLH	Consolidated
Assets									
Cash & cash equivalents	-	1	-	-	1	-	-	-	1
Accounts receivable	33,269	11	-	-	33,280	-	-	-	33,280
Inventories	88,109	-	-	-	88,109	-	-	-	88,109
Prepaid expenses & other current assets	1,221	102	-	-	1,323	8	-	8	1,332
Intercompany receivables	17,425	353	(0)	-	17,778	24,250	-	24,250	42,028
Current assets	140,025	467	(0)	-	140,492	24,258	-	24,258	164,750
Construction in progress	1,756	-	-	-	1,756	-	-	-	1,756
PP&E, net	33,849	684	-	-	34,533	-	-	-	34,533
Intercompany notes receivable	191,071	-	(10,281)	-	180,790	105,336	(105,336)	-	180,790
Pension benefit asset	2,831	-	-	-	2,831	-	-	-	2,831
Goodwill	13,017	-	848	-	13,865	-	-	-	13,865
Trademarks	48,293	-	-	-	48,293	-	-	-	48,293
Other intangible assets, net	55,643	-	-	-	55,643	-	-	-	55,643
Other long-term assets	1,945	-	(1,272)	-	673	77,039	(77,039)	-	673
Total assets	**488,430**	**1,151**	**(10,706)**	**-**	**478,876**	**206,633**	**(182,375)**	**24,258**	**503,134**
Liabilities & equity									
Accounts payable	(24,015)	(145)	-	-	(24,160)	-	-	-	(24,160)
Accrued expenses	(12,974)	(68)	-	-	(13,041)	-	-	-	(13,041)
Income & withholding taxes	(40)	(7)	-	-	(47)	(1,061)	-	(1,061)	(1,107)
Other current liabilities	(203)	(4)	-	-	(207)	-	-	-	(207)
Intercompany payables	(30,025)	(218)	-	-	(30,243)	(12)	-	(12)	(30,255)
Current liabilities	(67,258)	(441)	-	-	(67,699)	(1,073)	-	(1,073)	(68,771)
Term notes payable, net of DD/IC	(180,804)	-	-	-	(180,804)	-	-	-	(180,804)
Revolving credit facility, net of DD/IC	(25,749)	-	-	-	(25,749)	-	-	-	(25,749)
Subordinated notes, net of DD/IC	-	-	-	-	-	-	-	-	-
Capital leases & other debt	(442)	-	-	-	(442)	-	-	-	(442)
Intercompany notes payable	(105,336)	-	-	-	(105,336)	(126,866)	105,336	(21,530)	(126,866)
Deferred income taxes	(4,809)	(129)	-	-	(4,938)	(1,495)	-	(1,495)	(6,433)
Other long-term liabilities	(581)	-	-	(125)	(706)	-	-	-	(706)
Total liabilities	(384,979)	(570)	-	(125)	(385,673)	(129,433)	105,336	(24,097)	(409,771)
Equity	(103,452)	(581)	10,706	125	(93,203)	(77,200)	77,039	(160)	(93,363)
Total liabilities & equity	**(488,430)**	**(1,151)**	**10,706**	**-**	**(478,876)**	**(206,633)**	**182,375**	**(24,258)**	**(503,134)**

Source: Management provided trial balances

Appendix 5

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P&L reconciliation to sell-side report

EBITDA reconcilliation to EY's databook (CBCLSC consolidated)	FY17			FY18		
$'000	Per TBs	Variance	Per EY databook	Per TBs	Variance	Per EY databook
CBCLSC consol net income, reported	16,666	(14,399)	2,267	(4,754)	(9,575)	(14,329)
Add/(deduct)						
Interest expense / (income)	11,719	9,003	20,723	14,211	6,516	20,727
Income taxes	6,322	1,258	7,580	3,705	910	4,615
Depreciation & amortization	7,229	-	7,229	6,839	-	6,839
CBCLSC consol EBITDA, reported	**41,937**	**(4,138)**	**37,799**	**20,000**	**(2,149)**	**17,851**
Management adjustments	166	4,138	4,304	13,637	2,148	15,786
CBCLSC consol EBITDA, Management adj	**42,102**	**1**	**42,103**	**33,637**	**(0)**	**33,637**

The adjacent table presents a reconciliation between Management adjusted EBITDA from the trial balances that were provided by Management to the reported and Management adjusted EBITDA as presented in the sell-side financial due diligence report dated 3-May-19.

Variance summary			
$'000	Entity related to transaction:	FY17	FY18
CLSS Elimination (3946) - IC Note receivable	CLSS	-	2,148
CLH (3001) - Sea Value sale	BBHSCA	16	-
BBHSCA (3325) - refinancing costs	CLSS	813	-
CLSS (3340) - business consulting services	CLSS	22	-
CLSS (3340) - Tax services	CLSS	36	-
CLSS (3340) - Sea Value sale	CLSS	(3,438)	-
BBF Sarl elimination (3990) - Menon transfer	BBFS	6,689	-
Total variance		**4,138**	**2,148**

Sources for all tables above: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

The differences in the reported EBITDA balances as well as the total management adjustments balances are attributable to transactions incurred by other financial entities not relevant to the transaction.

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BS reconciliation to sell-side report

Balance sheet reconciliation to EY's databook (CBCLSC consolidated)	As at 31-Dec-17			As at 31-Dec-18		
$'000	Per TBs	Variance	Per EY databook	Per TBs	Variance	Per EY databook
Cash and cash equivalents	1	-	1	1	-	1
Accounts receivable	33,267	-	33,267	32,803	-	32,803
Intercompany	(32,664)	-	(32,664)	(13,731)	-	(13,731)
Inventories	86,207	-	86,207	96,248	-	96,248
Prepaid expenses & other current assets	188	-	188	1,061	133	1,194
Deferred income taxes	-	-	-	-	-	-
Current assets	86,999	-	86,999	116,382	133	116,514
PP&E, net	30,833	-	30,833	36,926	-	36,926
Investments in subsidiaries	-	-	-	-	-	-
Intercompany notes receivable	182,411	-	182,411	155,627	-	155,627
Capitalized debt issuance cost	-	-	-	-	-	-
Total other long-term assets	2,181	-	2,181	3,878	-	3,878
Goodwill	13,865	-	13,865	13,865	-	13,865
Trademarks	48,293	-	48,293	48,293	-	48,293
Other intangible assets, net	49,397	-	49,397	56,946	-	56,946
Deferred income taxes	-	-	-	-	-	-
Total long-term assets	326,980	-	326,980	315,536	-	315,536
Total assets	**413,979**	**-**	**413,979**	**431,917**	**133**	**432,050**
Current portion of capital leases & other	(1,800)	-	(1,800)	(2,692)	-	(2,692)
Accounts payable	(24,593)	-	(24,593)	(30,415)	-	(30,415)
Accrued expenses	(14,376)	-	(14,376)	(14,412)	-	(14,412)
Income taxes payable	(638)	-	(638)	(18)	-	(18)
Deferred income taxes	-	-	-	-	-	-
Total other current liabilities	(494)	-	(494)	(509)	-	(509)
Current liabilities	(41,902)	-	(41,902)	(48,046)	-	(48,046)
Term notes payable, net of dd/ic	(171,243)	-	(171,243)	(184,995)	-	(184,995)
Revolving credit facilty, net of dd/ic	756	-	756	607	-	607
Subordinated notes, net of dd/ic	-	-	-	-	-	-
Capital leases and other debt	-	-	-	(212)	-	(212)
Intercompany notes payable	(103,884)	-	(103,884)	(105,336)	-	(105,336)
Deferred income taxes	(4,868)	-	(4,868)	(4,982)	(105)	(5,087)
Pension and other long-term obligations	(315)	315	-	(144)	144	-
Long-term liabilities	(279,555)	315	(279,239)	(295,062)	39	(295,024)
Total equity	(92,523)	(315)	(92,838)	(88,809)	(171)	(88,980)
Total liabilities and equity	**(413,979)**	**-**	**(413,979)**	**(431,917)**	**(133)**	**(432,050)**

The tables adjacent and below represents reconciliations from the trial balances that were provided by Management to the balance sheet and Management reported NWC as presented in the sell-side financial due diligence report dated 3-May-19.

At the time the sell-side report was being prepared, the Company's tax filings and year-end tax entries were still being calculated. As such, the "variances" shown in these tables represent additional entries that were recorded subsequent to the sell-side report being issued once the Company's tax position was finalized.

Management reported NWC reconciliation	As at 31-Dec-17			As at 31-Dec-18			FY17 average			FY18 average		
$'000	Per TBs	Variance	Per EY report	Per TBs	Variance	Per EY report	Per TBs	Variance	Per EY report	Per TBs	Variance	Per EY report
Current assets												
Accounts receivable	33,267	-	33,267	32,803	-	32,803	35,023	-	35,023	35,143	-	35,143
Inventory	86,207	-	86,207	96,248	-	96,248	82,009	-	82,009	91,644	-	91,644
Prepaid expenses	188	-	188	1,061	133	1,194	765	-	765	2,239	11	2,250
Intercompany receivables	116,744	(149,408)	(32,664)	53,626	(67,358)	(13,731)	154,465	(182,751)	(28,285)	126,200	(156,382)	(30,182)
Total current assets	236,406	(149,408)	86,998	183,738	(67,225)	116,513	272,262	(182,751)	89,512	255,226	(156,371)	98,856
Current liabilities												
Accounts payable	(26,393)	-	(26,393)	(33,107)	-	(33,107)	(26,501)	-	(26,501)	(30,716)	-	(30,716)
Accrued expenses	(14,376)	-	(14,376)	(14,412)	-	(14,412)	(12,436)	-	(12,436)	(15,063)	-	(15,063)
Income taxes payable	(638)	-	(638)	(18)	-	(18)	(1,011)	-	(1,011)	(116)	-	(116)
Other current liabilities	(494)	-	(494)	(509)	-	(509)	(541)	-	(541)	(1,343)	-	(1,343)
Intercompany payables	(149,408)	149,408	-	(67,358)	67,358	-	(182,751)	182,751	-	(156,382)	156,382	-
Total current liabilities	(191,310)	149,408	(41,902)	(115,404)	67,358	(48,046)	(223,240)	182,751	(40,489)	(203,620)	156,382	(47,238)
Net working capital, Management repor	**45,096**	**-**	**45,096**	**68,334**	**133**	**68,467**	**49,022**	**-**	**49,022**	**51,606**	**11**	**51,617**

Sources for all tables above: Management provided trial balances; Sell-Side Financial Diligence report dated 03-May-19; KPMG analysis

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VPC reconciliation to consolidated trial balance

Net sales reconciliation - VPC to consolidated trial balance				TTM
$'000		**FY17**	**FY18**	**P5-19**
Net sales per VPC, unadjusted	A	**259,938**	**258,954**	**258,413**
Items not included in VPC				
Plant sales		8,331	10,799	
Australia sales (FFG)		4,530	1,826	
Coupons / slotting		(335)	24	
International merchandise funds not in VPC		(990)	(1,069)	
Domestic merchandise funds reversal		1,500	2,600	
Other adjustments (unsaleable adj, customer pick up)		(93)	22	
Total reconciling items	B	12,943	14,202	14,255
Net sales per VPC, adjusted for reconciling items above	C = A+B	**272,881**	**273,156**	**272,668**
Net sales per consolidated trial balance	D	272,881	273,157	272,668
Difference	E = C-D	**(0)**	**(1)**	**-**

Gross profit reconciliation - VPC to consolidated trial balance				TTM
$'000		**FY17**	**FY18**	**P5-19**
Net sales per VPC, unadjusted		259,938	258,954	258,413
COGS per VPC, unadjusted		(196,413)	(197,811)	(199,459)
Gross profit per VPC, unadjusted	F	**63,526**	**61,143**	**58,954**
Items not included in VPC - Clover Leaf				
Distribution		(4,640)	(5,333)	
Merchandise funds reversal		1,500	2,600	
Coupon / slotting base		(335)	24	
Coupon / slotting growth		-	-	
QA		(1,127)	(940)	
FX hedge gains / losses		242	811	
Markup interco purchases		(107)	(102)	
Customer pickup		(35)	(40)	
Recycling		(418)	(383)	
Balance sheet adjustments		179	102	
Sardine reval		188	28	
PPV / other		(102)	(12)	
Total Clover Leaf reconciling items	G	(4,657)	(3,246)	
Items not included in VPC - International				
Distribution		(3,205)	(3,017)	
Merchandise funds international		(1,014)	(1,069)	
QA		(520)	(515)	
Markup interco purchases		(206)	(202)	
Unsaleables		(1)	(10)	
Sardine reval		-	-	
PPV / other		(109)	(117)	
Total International reconciling items	G	(5,055)	(4,930)	
Items not included in VPC - Plant				
Distribution		(201)	(451)	
By product sales		202	451	
Manufacturing variances		4,142	(1,400)	
Total Plant reconciling items	G	4,143	(1,400)	
Items not included in VPC - Corporate / other				
Distribution		(677)	(470)	
Aus / NZ sales		238	155	
Sardine transfers to BBF		1,682	1,344	
Sales adjustment / other		-	3	
Total Corporate / other reconciling items	G	1,243	1,032	
Total adjustments	H = ∑G	**(4,326)**	**(8,544)**	**(5,316)**
Gross profit per VPC, adjusted for reconciling items above	I = F+H	**59,199**	**52,599**	**53,637**
Gross profit per consolidated trial balance	J	59,230	52,780	53,637
Difference	K = I-J	**(31)**	**(182)**	**-**

Sources for all tables above: Mgmt provided TBs; Sell-side databook

The adjacent schedules reconcile net sales and gross profit from the VPC database – which contains sales and margin details by product and product category – to the consolidated trial balances provided by Management.

Plant by-product and bait sales are not included in VPC.

Sales related to the supply agreement for Australia are not included in VPC.

VPC reconciling details for TTM P5-19 have not been provided as at the date of this report.

Appendix 8

Intra-group and related party balances

Short-term intra-group and related party balances

$'000	Nature of balance	As at 31-Dec-18 CBCLSC (2001)	KCR (2201)	Elimco (2990)	CLH (3001)	CLH elimco (3931)	CLH consol	As at 25-May-19 CBCLSC (2001)	KCR (2201)	Elimco (2990)	CLH (3001)	CLH elimco (3931)	CLH consol	Balance sheet mapping: Caption	Category
BBF	Related party	n.p.	n.p.	n.p.	n.p.	n.p.	n.p.	11,652	-	-	-	-	11,652	Intercompany	Current assets / liabilities
KCR	Intra-group	n.p.	n.p.	n.p.	n.p.	n.p.	n.p.	(135)	135	-	-	-	(0)	Intercompany	Current assets / liabilities
ANOVA	Related party	n.p.	n.p.	n.p.	n.p.	n.p.	n.p.	93	-	-	-	-	93	Intercompany	Current assets / liabilities
CLH	Intra-group	n.p.	n.p.	n.p.	n.p.	n.p.	n.p.	(24,238)	-	-	24,238	-	(0)	Intercompany	Current assets / liabilities
6162410 Canada Ltd.	Related party	n.p.	n.p.	n.p.	n.p.	n.p.	n.p.	(0)	-	-	-	-	(0)	Intercompany	Current assets / liabilities
ANOVA Tech	Related party	n.p.	n.p.	n.p.	n.p.	n.p.	n.p.	(13)	-	-	-	-	(13)	Intercompany	Current assets / liabilities
Bumble Bee Holdings	Related party	n.p.	n.p.	n.p.	n.p.	n.p.	n.p.	13	-	-	-	-	13	Intercompany	Current assets / liabilities
FX revaluation	n.a.	n.p.	n.p.	n.p.	n.p.	n.p.	n.p.	29	-	-	-	-	29	Intercompany	Current assets / liabilities
Total short-term intra-group and related party balances	A	**(14,148)**	**417**	**(0)**	**19,978**	**-**	**6,246**	**(12,600)**	**135**	**-**	**24,238**	**-**	**11,773**		

According to Management, balances outstanding with related parties will be settled prior to close.

Intra-group notes

$'000	GL #	As at 31-Dec-18 CBCLSC (2001)	KCR (2201)	Elimco (2990)	CLH (3001)	CLH elimco (3931)	CLH consol	As at 25-May-19 CBCLSC (2001)	KCR (2201)	Elimco (2990)	CLH (3001)	CLH elimco (3931)	CLH consol	Balance sheet mapping: Caption	Category
Intra-group notes between CLH and CBCLSC															
I/C Note Payable To Clhc	266080	(103,884)	-	-	-	103,884	-	(103,884)	-	-	-	103,884	-	Intercompany notes payable	Non-current liabilities
Interco note (principal)	165080	-	-	-	103,884	(103,884)	-	-	-	-	103,884	(103,884)	-	Intercompany notes receivable	Non-current assets
I/C Note Payable To Clhc Non-Int	266079	(1,452)	-	-	-	1,452	-	(1,452)	-	-	-	1,452	-	Intercompany notes payable	Non-current liabilities
I/C NOTE RECEIVABLE FROM CBCLSC NON-INT	165079	-	-	-	1,452	(1,452)	-	-	-	-	1,452	(1,452)	-	Intercompany notes receivable	Non-current assets
Total intra-group notes	A	**(105,336)**	**-**	**-**	**105,336**	**-**	**-**	**(105,336)**	**-**	**-**	**105,336**	**-**	**-**		

Related party notes

$'000	GL #	As at 31-Dec-18 CBCLSC (2001)	KCR (2201)	Elimco (2990)	CLH (3001)	CLH elimco (3931)	CLH consol	As at 25-May-19 CBCLSC (2001)	KCR (2201)	Elimco (2990)	CLH (3001)	CLH elimco (3931)	CLH consol	Balance sheet mapping: Caption	Category
Related party note between BBF and CBCLSC															
Principal	165081	-	-	-	-	-	-	18,826	-	(48)	-	-	18,778	Intercompany notes receivable	Non-current assets
Interest	165082	-	-	-	-	-	-	17	-	0	-	-	17	Intercompany notes receivable	Non-current assets
Related party note receivable from BBF		**-**	**-**	**-**	**-**	**-**	**-**	**18,843**	**-**	**(48)**	**-**	**-**	**18,795**		
Related party note between CLSS and CLH															
Principal	266081	-	-	-	(103,884)	-	(103,884)	-	-	-	(103,884)	-	(103,884)	Intercompany notes payable	Non-current liabilities
Interest	266082	-	-	-	(19,155)	-	(19,155)	-	-	-	(22,981)	-	(22,981)	Intercompany notes payable	Non-current liabilities
Related party note payable to CLSS		**-**	**-**	**-**	**(123,040)**	**-**	**(123,040)**	**-**	**-**	**-**	**(126,866)**	**-**	**(126,866)**		
Related party note between CLSS and CBCLSC															
Principal	165089	150,032	-	(11,687)	-	-	138,345	147,887	-	(9,542)	-	-	138,345	Intercompany notes receivable	Non-current assets
Interest	165090	18,182	-	(899)	-	-	17,282	24,342	-	(692)	-	-	23,650	Intercompany notes receivable	Non-current assets
Related party note receivable from CLSS		**168,213**	**-**	**(12,586)**	**-**	**-**	**155,627**	**172,229**	**-**	**(10,234)**	**-**	**-**	**161,995**		
Total related party notes	A	**168,213**	**-**	**(12,586)**	**(123,040)**	**-**	**32,588**	**191,071**	**-**	**(10,281)**	**(126,866)**	**-**	**53,924**		

Reconciliation to consolidated BS		31-Dec-18 CBCLSC (2001)	KCR (2201)	Elimco (2990)	CLH (3001)	CLH elimco (3931)	CLH consol	25-May-19 CBCLSC (2001)	KCR (2201)	Elimco (2990)	CLH (3001)	CLH elimco (3931)	CLH consol
Intercompany receivables	BBCL18AB	41,520	12,106	(0)	19,978	-	73,604	17,425	353	(0)	24,250	-	42,028
Intercompany payables	BBCL18AC	(55,669)	(11,689)	-	-	-	(67,358)	(30,025)	(218)	-	(12)	-	(30,255)
Intercompany notes receivable	BBCL31	168,213	-	(12,586)	105,336	(105,336)	155,627	191,071	-	(10,281)	105,336	(105,336)	180,790
Intercompany notes payable	BBCL76	(105,336)	-	-	(123,040)	105,336	(123,040)	(105,336)	-	-	(126,866)	105,336	(126,866)
Sub total		**48,729**	**417**	**(12,586)**	**2,274**	**-**	**38,834**	**73,135**	**135**	**(10,281)**	**2,708**	**-**	**65,697**
Sum of A		48,729	417	(12,586)	2,274	-	38,834	73,135	135	(10,281)	2,708	-	65,697
Difference		-	-	-	-	-	-	-	-	-	-	-	-

Sources for all tables above: Management provided trial balances; Loan agreements; Summary of interco balances provided by Management; KPMG analysis

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Gross margin analysis (1/4) - Sardines

In aggregate, the Sardine business experienced an increase in gross profit from FY17 to FY18, followed by a decline from FY18 to TTM P5-19.

This FY17 fluctuation was driven by the Value Sardines and Premium Sardines segments.

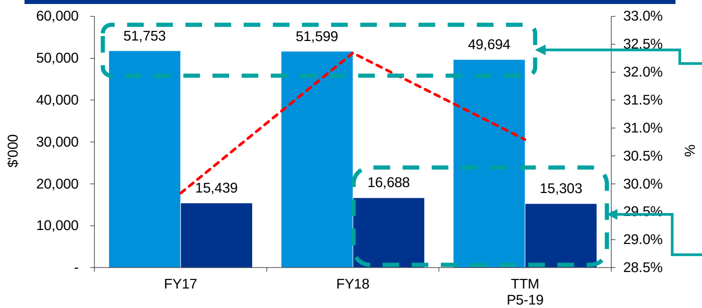
The supply for Seafood Snacks has been provided exclusively by the Blacks Harbour plant, the supply for Premium Sardines is provided exclusively by external vendors, and the supply for Value Sardines is provided by a mixture of both.

See below for a summary of segment sales volume:

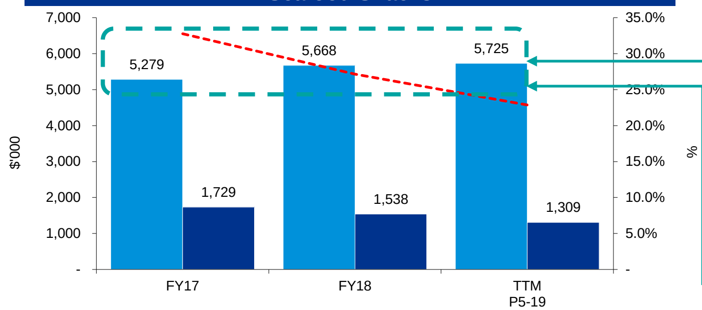
Sales volume			
'000	FY17	FY18	TTM P5-19
Value sardines	593	575	556
Seafood snacks	50	56	59
Premium sardines	10	10	10
Total	**653**	**642**	**625**

Source: Management provided information; KPMG analysis

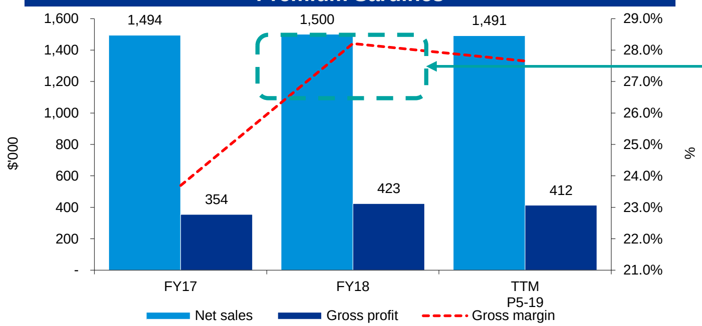
Value Sardines



Seafood Snacks



Premium Sardines



Source: Management provided information; KPMG analysis

Value Sardines net sales and sales volume decreased from FY17 to TTM P5-19 due to supply issues, as indicated by a 50% volume decrease in external value sardine purchases from FY17 to FY18. Gross profit per case increased from FY17 to FY18 due to a strategic decision to reduce promotional spending, and decreased from FY18 to TTM P5-19 due to higher standard costs from Blacks Harbour relating to cans, covers, and OH absorption rates.

Value sardines are sourced both locally through Blacks Harbour as well as through external vendors. Outside supplier prices also increased from FY18 to TTM P5-19, further aggravating the decrease in gross profit discussed above.

Seafood Snacks net sales has increased steadily from FY17 to TTM P5-19. This was driven by an increase in volume during the same period which was partially offset by a decrease in net sales per case from $105/EC in FY17 to $98/EC in TTM P5-19. Management represents that this decrease in net sales per case is the result of strategic promotional/discount deals on Seafood Snacks, which were intended to drive volume.

Gross margin per case declined from FY17 to TTM P5-19, which was driven by an increase in COGS per case (Increase from $70.8/EC from FY17 to $75.3/EC in TTM P5-19) attributable to supply issues, as well as the promotional pricing discussed above.

Premium Sardines gross profit increased from FY17 to FY18, driven by favorable FX rates towards the end of 2017. Additionally, product promotions were cancelled due to low product supply. The decrease in gross profit from FY18 to TTM P5-19 is driven by a combination of unfavorable FX rates and increased product promotion/discount initiatives.

Historically, the supply for Premium Sardines has been provided by Thai Union Poland and Midav Sardines.

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Gross margin analysis (2/4) - Tuna

In aggregate, the Tuna segment experienced an increase in net sales from FY17 to TTM P5-19, along with a decrease in gross margin and gross margin per case across the same period.

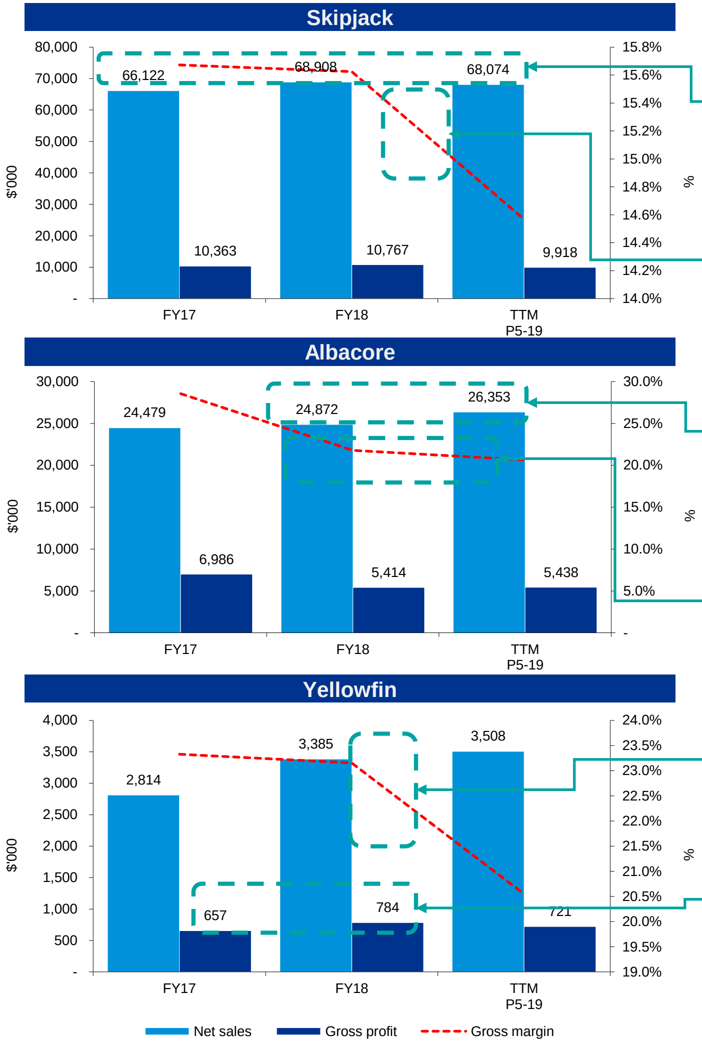
These gross margins declines from FY17 to TTM P5-19 were due to increased product costs, unfavorable FX rates, and product enhancements as a part of the "All Natural" marketing initiative.

See below for a summary of segment sales volume:

Volume

'000	FY17	FY18	TTM P5-19
Skipjack	1,501	1,429	1,420
Albacore	255	270	274
Yellowfin	37	40	41
Total	**1,793**	**1,739**	**1,735**

Source: Management provided information; KPMG analysis



Source: Management provided information; KPMG analysis

Skipjack net sales increased from FY17 to FY18 as a result of price increases which were partially offset by declining volume, and decreased from FY18 to TTM P5-19 due to slightly unfavorable pricing negotiations with certain customers.

Skipjack gross margin decreased from FY18 to TTM P5-19 as a result of increased COGS per case, unfavorable FX rates, and product enhancements made as a part of the "All Natural" advertising campaign.

Albacore net sales increased each period from FY17 to TTM P5-19. The increase from FY17 to FY18 was driven by additional volume generated through promotional pricing. The increase from FY18 to TTM P5-19 was driven by a reduction in such promotional initiatives. A price increase is planned for Jun-19 to further improve margins.

Albacore gross profit has declined from FY17 to TTM P5-19 as a result of steadily increasing COGS per case driven by higher product costs (from $68.7/EC in FY17 to $76.4/EC in TTM P5-19), unfavorable FX rates, and product enhancements made as a part of the "All Natural" advertising campaign.

Yellowfin gross profit per case decreased from FY18 to TTM P5-19 as a result of an increase in COGS per case (from $65.0/EC in FY18 to $67.3/EC in TTM P5-19), driven by higher supplier costs and unfavorable FX rates.

Yellowfin gross profit per case increased from FY17 to FY18 as a result of price increases, which were partially offset by an increase in COGS per case in the same periods (from $58.2/EC in FY17 to $65.0/EC in TTM P5-19).

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Gross margin analysis (3/4) - Salmon

In aggregate, the Salmon segment experienced an decrease in net sales per case from FY17 to FY18 and an increase from FY18 to TTM P5-19.

Overall gross margins declined from FY17 to FY18 due to increased product costs which were partially mitigated by price increases in TTM P5-19.

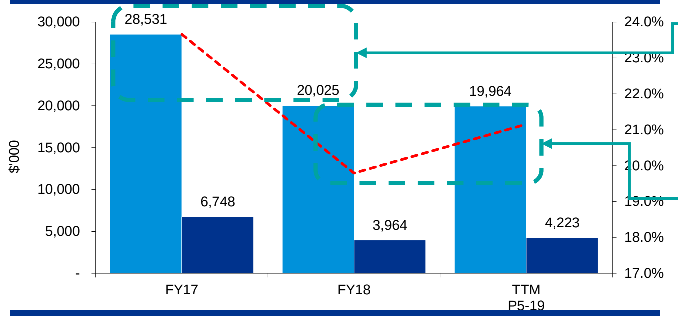
In order to mitigate future supply variability relating to fresh salmon, the Company has begun sourcing frozen canned salmon from Russia (processing in Thailand) as part of the Red Tide Initiative.

See below for a summary of segment sales volume:

Volume			
'000	FY17	FY18	TTM P5-19
Red	28,531	20,025	19,964
Pink	156	167	150
Atlantic	6	5	5
Total	**28,693**	**20,197**	**20,118**

Source: Management provided information; KPMG analysis

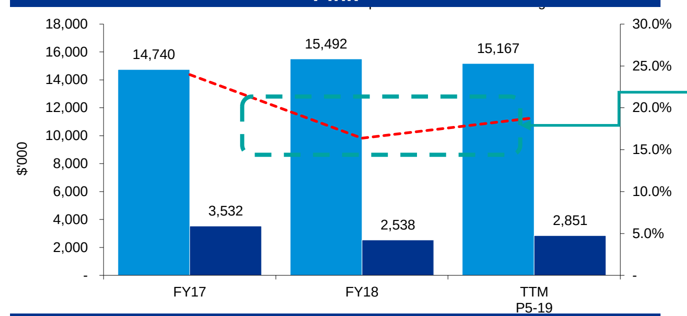
Red



Red salmon's decrease in net sales from FY17 to FY18 was driven by declining sales volume stemming from the reduction in supply.

Red salmon gross margin declined in FY18 due to an increase in COGS per case (from $104.5/EC in FY17 to $114.1/EC in FY18), driven by reduced Alaskan supply. As Alaskan suppliers transition away from canning and focus on frozen salmon processing, these costs are expected to continue increasing. In order to mitigate these costs, a price increase was implemented in P2-19, which resulted in an increase in gross margin in TTM P5-19.

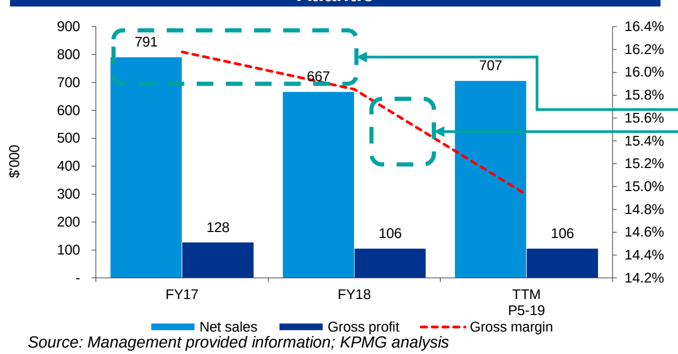
Pink



Pink salmon gross profit per case decreased from FY17 to FY18 as a result of increased COGS per case (from $71.2/EC in FY17 to $76.8/EC in FY18), and increased from FY18 to TTM P5-19 as a result of price increases. Supplier costs for this product fluctuate markedly on a two-year cycle, with costs expected to continue increasing throughout the new FY19 cycle.

Atlantic salmon represents one of two niche products in this species segment, with the other being Keta Salmon. The results of Keta Salmon, an item sold only in Quebec, are not presented due to its lower gross margin per case as compared to other product categories.

Atlantic



Source: Management provided information; KPMG analysis

Atlantic salmon's decrease in net sales from FY17 to FY18 was driven by declining volume.

Atlantic salmon's declining gross margin per case throughout the historical period was due to higher supplier costs as well as unfavorable FX rate fluctuations.

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Gross margin analysis (4/4) - Other

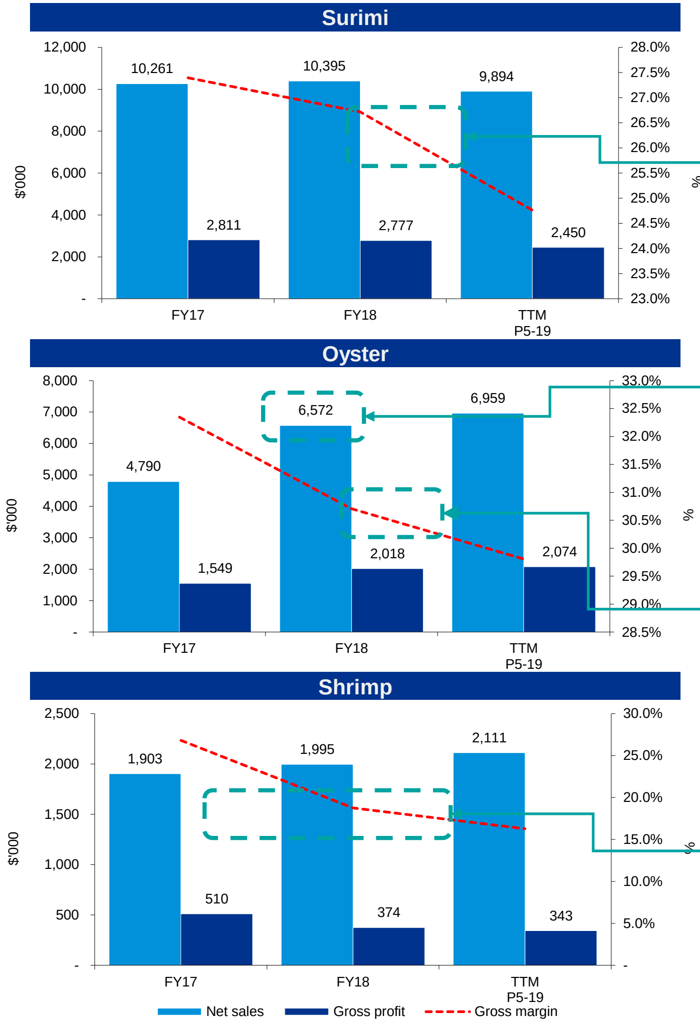
The Company's product portfolio consists of a variety of other products outside of the three previously discussed primary segments. Oyster, Shrimp, and Surimi are among the largest other products in terms of gross margin contribution.

Overall, each of these three product lines experienced declining gross margins throughout the historical period, driven by a combination of price discounts and increasing supplier costs.

See below for a summary of segment sales volume:

Volume			
'000	FY17	FY18	TTM P5-19
Surimi	240	247	228
Oyster	40	65	62
Shrimp	10	10	10
Total	**290**	**322**	**301**

Source: Management provided information; KPMG analysis



Source: Management provided information; KPMG analysis

Surimi consists of the following product lines; Bulk Pack, Club Pack, Delectables, Private Label FS, Private Label Retail, and Surimi Salad. The aggregate decrease in Surimi gross margin from FY18 to TTM P5-19 is primarily attributable to the Bulk Pack, Club Pack, and Private Label Retail product lines, all of which experienced cost increases and unfavorable FX fluctuations.

Oyster net sales increased from FY17 to FY18 as a result of a new listing at Costco, through which the Company offered aggressive price discounts and ultimately achieved increased sales volume.

Oyster gross margin decreased from FY17 to TTM P5-19 as a result of a combination of decreased net sales per case and increased COGS per case. The fluctuations in COGS were attributable to increased supplier costs as well as unfavorable FX rate changes.

Shrimp gross margin decreased from FY17 to TTM P5-19 as a result of increased product costs from suppliers (from \$142.4/EC in FY17 to \$168.5/EC in TTM P5-19).

Appendix 10

Capex analysis

The tables below outlines historical capex spending and budgeted capex spending by type, as well as capital spend commitments as at P5-2019.

Capital expenditures as at P5-2019							
$'000	**FY17**	**FY18**	**FY19B**	**FY20P**	**FY21P**	**FY22P**	**FY23P**
Maintenance/ infrastructure	1,796	2,748	1,039	2,500	2,500	2,500	2,500
Safety/ environmental/ regulatory	789	641	595	-	-	-	-
Cost reduction	-	5,683	1,241	-	-	-	-
Total capex	**2,585**	**9,072**	**2,875**	**2,500**	**2,500**	**2,500**	**2,500**
Total capex as a % of net sales	*0.9%*	*3.3%*	*1.0%*	*0.8%*	*0.7%*	*0.7%*	*0.6%*
Estimated growth capex							
Fundy Monarch	-	5,009	-	-	-	-	
Fishmeal Dryer	-	674	627	-	-	-	-
Overwrap Packaging Line	707	646	-	-	-	-	-
Total estimated growth capex	**707**	**6,329**	**627**		**-**	**-**	**-**
Maintenance capex estimate	**1,879**	**2,743**	**2,247**	**2,500**	**2,500**	**2,500**	**2,500**
Total maintenance capex as a % of net sales	*0.7%*	*1.0%*	*0.8%*	*0.8%*	*0.7%*	*0.7%*	*0.6%*

Source: Management information; KPMG analysis

Note: Net sales is presented as reported net sales for FY17, FY18; and projected net sales from the Confidential Information Memorandum for FY19B - FY23P.

Management represents that there is no expected safety/environmental/regulatory or cost reduction capex from FY20 to FY23 because there are no planned capital spend projects.

Management budgeted $215k in plant automation capex in FY19B, and as a result expects lower FTE requirements in the future.

The increase in total capex spend in FY18 was driven by growth capex in the form of a sardine seiner (Fundy Monarch), Fishmeal dryer, and packaging line upgrade.

Appendix 11

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Top customers

Top 5 customers					
		Net sales		As a % of revenue	
$'000	Country	FY17	FY18	FY17	FY18
Loblaw Companies Ltd	Canada	51,492	51,030	*18.9%*	*18.7%*
Walmart	Canada	34,950	37,130	*12.8%*	*13.6%*
Sobeys	Canada	33,629	31,822	*12.3%*	*11.6%*
Facey	Jamaica	21,849	20,689	*8.0%*	*7.6%*
Metro Richelieu Quebec	Canada	13,101	13,526	*4.8%*	*5.0%*
Top 5 customers		155,021	154,198	*56.8%*	*56.5%*
All other customers		104,917	104,756	*38.4%*	*38.4%*
Total		259,938	258,954	*95.3%*	*94.8%*
Adjustment[1]		12,943	14,202	*4.7%*	*5.2%*
Net sales, reported		**272,881**	**273,156**	***100.0%***	***100.0%***

Source: Management provided information, KPMG analysis

[1] Total sales is adjusted for categories not included in the sales data. Refer to Appendix 7 for reconciliation of this adjustment.

Top customers

- Sales are concentrated on the top 5 customers, which represent 56.8% and 56.5% of net sales in FY17 and FY18 respectively.
- The company has a long-standing relationship with many of its top customers, including Loblaw Group, Sobeys Group, and Metro, Canada's three largest grocers. The company was previously owned by Loblaw Group, which accounted for 18.7% of FY18 net sales.
- Target has maintained relationships with top customers for 20+ years. Relatively newer customers are managed by long-standing account managers.
- There were no significant new or lost customers in the past year.

Pricing strategy

- The Company regularly adjusts pricing based on changes in product supply, product cost, competitive pressures, market share objectives, and gross profit objectives.
- The Company considers historical performance as a reference, but primarily prices products based on current and expected market dynamics.

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Accounts receivable

AR aging summary						
$'000	Current	0-30 days	31-60 days	61-90 days	Over 90 days	Total
31-Dec-17	28,928	2,697	724	88	-	32,437
% of total	*89.2%*	*8.3%*	*2.2%*	*0.3%*	-	*100.0%*
31-Dec-18	29,273	2,269	-	-	-	31,542
% of total	*92.8%*	*7.2%*	-	-	-	*100.0%*
27-Apr-19	37,950	1,985	149	-	-	40,084
% of total	*94.7%*	*5.0%*	*0.4%*	-	-	*100.0%*

Source: Management provided information, KPMG analysis

AR aging by customer							
	27-Apr-19						
$'000	Current	0-30 days	31-60 days	61-90 days	Over 90 days	Total	*As % of total*
Loblaws Inc	10,856	16	-	-	-	10,872	*27.1%*
Wal-Mart Canada Corp	4,193	-	-	-	-	4,193	*10.5%*
Facey Commodity Co. Ltd.	2,977	498	-	-	-	3,476	*8.7%*
Alstons Marketing Co Ltd	3,097	-	-	-	-	3,097	*7.7%*
Sobeys	2,093	478	-	-	-	2,571	*6.4%*
Metro	1,493	-	-	-	-	1,493	*3.7%*
Bryden Stokes Ltd	1,358	-	-	-	-	1,358	*3.4%*
Productos Importados Americanos	1,159	-	-	-	-	1,159	*2.9%*
Distribuidora 2000, Sa	483	298	-	-	-	781	*1.9%*
Beepats	597	-	-	-	-	597	*1.5%*
Top 10 Customers	28,307	1,291	-	-	-	29,598	*73.8%*
Other Customers	9,643	694	149	-	-	10,486	*26.2%*
Total	**37,950**	**1,985**	**149**	**-**	**-**	**40,084**	***100.0%***

Source: Management provided information, KPMG analysis
Note: Total A/R presented in the table above excludes all intercompany balances, including those from Bumble Bee.

Allowance for doubtful accounts			
	Average		
$'000	FY17	FY18	TTM P5-19
Allowance for doubtful accounts	(29)	(39)	(47)
Net Sales	272,881	273,157	272,668
AFDA as a % net sales	*0.011%*	*0.014%*	*0.017%*

Source: Management provided information, KPMG analysis

Accounts receivable management

- Accounts receivable were primarily concentrated in the top 10 customers, driven by an increase in the current receivables from customer Loblaws Inc. in the current period (27.1%) as compared to FY18 (19.3%).
- There were no accounts receivable balances aged over 90 days.
- Payment terms in the top 20 accounts vary by customer from 2% 10, net 30 to 2% 30, net 40, for domestic customers and vary from 30 to 60 days after arrival, for international customers. In FY18, the average DSO was 48 days and the max DSO was 49 days.
- Bad debt expense in FY18 was $42k. Receivables are set up as bad debt after failure of collection attempts or receipt of bankruptcy documents. Average allowance for bad debt has increased as a percentage of net sales from 0.011% in FY17 to 0.017% in TTM P5-19.
- There are no significant historical or ongoing disputes.

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Top suppliers

Top 5 suppliers							
		Purchases		*As a % net sales*		*As a % total*	
$'000 USD	Country	FY17	FY18	FY17	FY18	FY17	FY18
ISA		22,671	20,693	*8.3%*	*7.6%*	*18.4%*	*15.5%*
R S Cannery Co Ltd		18,608	22,222	*6.8%*	*8.1%*	*15.1%*	*16.6%*
Pataya Food Industries Ltd		15,412	14,217	*5.6%*	*5.2%*	*12.5%*	*10.7%*
Thai Union Manufacturing Co Ltd		12,800	4,769	*4.7%*	*1.7%*	*10.4%*	*3.6%*
Trident Seafoods Corp		8,692	8,836	*3.2%*	*3.2%*	*7.0%*	*6.6%*
Top 5 suppliers		78,183	70,736	*28.7%*	*25.9%*	*63.4%*	*53.0%*
All other suppliers		45,229	62,731	*16.6%*	*23.0%*	*36.6%*	*47.0%*
Total		**123,412**	**133,467**	*45.2%*	*48.9%*	*100.0%*	*100.0%*

Source: Management provided information, KPMG analysis

Top suppliers

- Sales are concentrated on the top 5 suppliers which represent 53% of FY18 payments, down from 63.4% in FY17.
- Relationships with ISA, RS Cannery Co Ltd., Pataya Food Industries Ltd, and Trident Seafoods Corp. have been in place for 20+ years.

Purchasing process

- Finished goods procurement for domestic goods is managed by the BBF's Procurement department in San Diego.
- Potential suppliers are reviewed against various criteria, including: materials, pricing, sourcing practices, social responsibility, business health, risk, corruption, and FDA/CFIA issues.
- Inventory is received at CBCLSC's six distribution center locations and is recorded in SAP. Invoices are processed once approved by the department head and are paid by BBF's Treasury department.
- International finished goods are procured and shipped through the following methods: directly from overseas production facilities to customers (~56%), directly from Blacks Harbour sardine plant to customers (~39%), from Bumble Bee US distribution center network to customers (~5%).

Appendix 14

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Accounts payable

AP aging summary

$'000	Current	1-30 days	31-60 days	> 60 days	Total
31-Dec-17	(11,695)	(1,239)	(101)	(64)	(13,099)
% of total	*89.3%*	*9.5%*	*0.8%*	*0.5%*	*100.0%*
31-Dec-18	(15,817)	(2,344)	42	(31)	(18,151)
% of total	*87.1%*	*12.9%*	*(0.2%)*	*0.2%*	*100.0%*
27-Apr-19	(14,700)	(910)	(1)	(124)	(15,734)
% of total	*93.4%*	*5.8%*	*0.0%*	*0.8%*	*100.0%*

Source: Management provided information, KPMG analysis

AP aging by supplier

	28-Apr-19					
$'000	Current	1-30 days	31-60 days	> 60 days	Total	*As % of total*
Pataya Food Industries Ltd	(4,790)	-	-	-	(4,790)	*30.4%*
R S Cannery Co Ltd	(2,496)	-	-	-	(2,496)	*15.9%*
ISA	(1,101)	-	-	-	(1,101)	*7.0%*
Unicord Public Co Ltd	(1,084)	(2)	(1)	-	(1,087)	*6.9%*
Icicle Seafoods Inc	(914)	-	-	-	(914)	*5.8%*
Thai Union Manufacturing Co Ltd	(897)	-	-	-	(897)	*5.7%*
Minister Of Finance	(659)	(2)	-	-	(660)	*4.2%*
Tropical Consolidated Corp	(622)	-	-	-	(622)	*4.0%*
Trident Seafoods Corp	(389)	-	-	-	(389)	*2.5%*
Graal S.A.	(365)	-	-	-	(365)	*2.3%*
Top 10 vendors	(13,317)	(4)	(1)	-	(13,321)	*84.7%*
Total other vendors	(1,383)	(906)	0	(124)	(2,413)	*15.3%*
Total	**(14,700)**	**(910)**	**(1)**	**(124)**	**(15,734)**	***100.0%***

Source: Management provided information, KPMG analysis

Note: The total A/P presented in the table above excludes all intercompany balances, including those owed to Bumble Bee.

Accounts payable management

- Accounts payable were primarily concentrated in the top 10 suppliers, driven by an increase in the current payables from Pataya Food Industries Ltd. in the current period (30.4%) as compared to FY18.
- Payment terms vary by supplier up to 60 days net.
- There are no significant historical or ongoing disputes.

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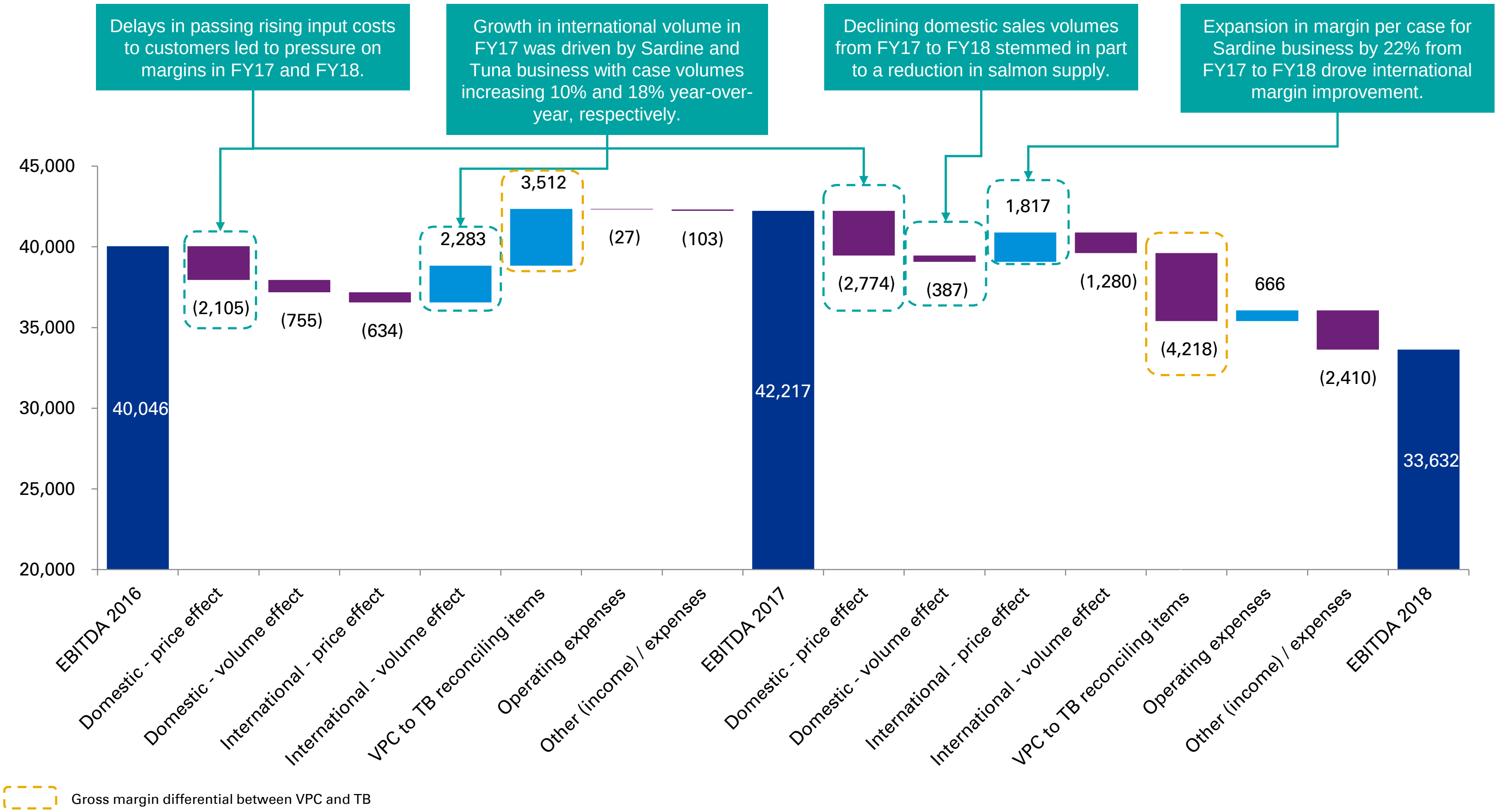
CLH EBITDA bridge - Management adjusted



Source: Management provided information, KPMG analysis

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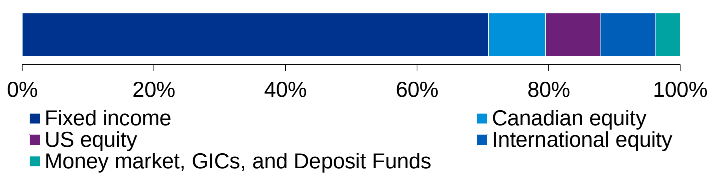
Employee benefits - Pensions

Overview

- The Company operates both defined benefit and defined contribution pension plans which are managed by Sun Life Financial:
  - **Defined benefit pension plans:**
    - Two plans: salaried workers and hourly workers.
    - Plans closed to new members in April 2005, existing members given option to continue with plan or convert to defined contribution plan.
    - Plan assets of $31.7M at 31-Dec-18.
    - Fully funded with pension asset of $2.6M at 31-Dec-18.
    - Employer contributions of $910,000 for FY18. Mercer, the Company's pension consultant, estimates $612,000 in employer contributions for FY19.
    - Average service and interest cost of $1.1M / annum FY17-FY18.
  - **Defined contribution pension plan:**
    - Open to all workers since May 2005.
    - Employer contributions of $775k for FY18 (FY17: $744k).
    - Plan assets of $27.0M at FY18.

Aggregate asset allocation across all plans at 31-Dec-18:



Source: Management provided information, KPMG analysis

Summary of defined benefit pension plan funding status

$'000	FY17	FY18
Net periodic benefit cost	**43**	**36**
Fair value of plan assets [See (A)]	33,089	31,723
Benefit obligation [See (B)]	(31,584)	(29,081)
Funded status (fair value of plan assets less benefit obligation) at end of year	**1,506**	**2,642**

Fair value of plan assets (A)

$'000	FY17	FY18
Fair value of plan assets at beginning of year	33,162	33,089
Actual return on plan assets	1,412	(42)
Employer contributions to plan	992	910
Employee contributions to plan	17	13
Benefits paid from the plan	(2,493)	(2,248)
Fair value of plan assets at end of year	**33,089**	**31,723**

Benefit obligation (B)

$'000	FY17	FY18
Benefit obligation at beginning of year	31,924	31,584
Service cost	67	56
Interest cost	1,122	1,007
Employee contributions	17	13
Benefits paid from the plan	(2,493)	(2,248)
Actuarial (gain) / loss	947	(1,332)
Benefit obligation at end of year	**31,584**	**29,081**

Source: Management provided information, KPMG analysis

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Components of cost of sales

Cost of sales						As a % net sales		
$'000	Category	FY17	FY18	TTM P5-19		FY17	FY18	TTM P5-19
Cost of goods	Variable	(204,928)	(211,342)	(209,879)		(75.1)%	(77.4)%	(77.0)%
Warehousing cost	Semi-variable	(3,987)	(4,469)	(4,693)		(1.5)%	(1.6)%	(1.7)%
Transportation	Semi-variable	(4,736)	(4,565)	(4,459)		(1.7)%	(1.7)%	(1.6)%
Cost of sales		**(213,651)**	**(220,376)**	**(219,031)**		**(78.3)%**	**(80.7)%**	**(80.3)%**

Source: Management provided information, KPMG analysis

Cost of goods sold

The increase in cost of sales as a percentage of sales from FY17 to TTM P5-19 was primarily attributable to:

- Increased product cost caused by a shortage in the supply of salmon in FY18.
- Increases in direct labor and utility expenses driven by increased fishmeal and fish frozen volumes from P5-18 to P5-19.
- An increase of $561k in boat repair expenses in FY18 from FY17 due to the addition of a new boat (Fundy Monarch).
- An increase of $400k in lease expenses in FY18 from FY17 due to a new fishing quota lease.

Warehousing cost

Includes warehouse fill rate penalties which were $500k higher in FY18 than FY17, due to not meeting inventory holding requirements driven by supply shortages.

Appendix 18

Operating expenses

Consolidated operating expenses						%net sales		
$'000	Category	FY17	FY18	TTM P5-19		FY17	FY18	TTM P5-19
1 Payroll selling expenses	Fixed	(5,121)	(4,801)	(4,935)		1.9%	1.8%	1.8%
Misc operating expenses	Fixed	(437)	(279)	(279)		0.2%	0.1%	0.1%
Building lease & rent	Fixed	(209)	(207)	(209)		0.1%	0.1%	0.1%
2 Research & development	Fixed	-	(192)	(200)		-	0.1%	0.1%
Travel	Fixed	(138)	(197)	(172)		0.1%	0.1%	0.1%
Insurance	Fixed	(195)	(143)	(117)		0.1%	0.1%	0.0%
3 Other selling expenses	Fixed	(430)	(643)	(616)		0.2%	0.2%	0.2%
Selling expenses		**(6,531)**	**(6,463)**	**(6,529)**		2.4%	2.4%	2.4%
1 Payroll G&A operating expenses	Fixed	(3,535)	(3,017)	(3,257)		1.3%	1.1%	1.2%
4 Procurement fee transfer	Variable	(1,299)	(1,424)	(1,374)		0.5%	0.5%	0.5%
Insurance	Fixed	(258)	(265)	(281)		0.1%	0.1%	0.1%
5 Building lease & rent	Fixed	(266)	(231)	(231)		0.1%	0.1%	0.1%
6 External financial audit fees	Fixed	(320)	(194)	(140)		0.1%	0.1%	0.1%
3 Other G&A operating expenses	Fixed	(766)	(735)	(708)		0.3%	0.3%	0.3%
G&A operating expenses		**(6,444)**	**(5,865)**	**(5,992)**		2.4%	2.1%	2.2%
Amortization	Fixed	(3,890)	(3,471)	(3,327)		1.4%	1.3%	1.2%
NVSP	Fixed	(1,794)	(1,857)	(1,831)		0.7%	0.7%	0.7%
7 Brokerage / drayage	Variable	(1,851)	(1,733)	(1,677)		0.7%	0.6%	0.6%
8 Advertising	Fixed	(1,593)	(2,051)	(928)		0.6%	0.8%	0.3%
SG&A depreciation	Fixed	(176)	(174)	(186)		0.1%	0.1%	0.1%
Total operating expenses		**(22,280)**	**(21,613)**	**(20,470)**		**8.2%**	**7.9%**	**7.5%**

Source: Management provided trial-balance, KPMG analysis

The adjacent table presents a breakdown of historical operating expenses throughout the historical period.

1. **Payroll selling expenses/ Payroll G&A expenses:** Composed of salary, management incentive plan bonus (“MIP”), employer taxes, pension/401k match and benefits.

- **Salary:** Total salaries and wages as a percent of net sales was unchanged from FY17 to TTM P5-19.
- **Bonuses:** Management incentive plan is based on the following factors: (a) achieving original budgeted EBITDA (50%); (b) achieving business unit or departmental budgeted EBITDA (25%); and (c) achieving personal objectives (25%). Bonus opportunities are awarded on a declining scale of achievement of EBITDA targets, with a minimum performance against target of 90%.

2. **Research and development:** Includes costs related to market entry in China and “seafood analog” products, such as: chunk, minced, and fish Vienna sausage.
3. **Other selling expenses/other G&A:** Largest components include sales meetings, bank fees, and legal fees. Sales meetings grew 51.3% from FY17 to FY18 as the Company invested to attract new customers to the Tuna/Value-Add product lines.
4. **Procurement fee transfer**: Fee paid to Bumble Bee Foods for sourcing and procurement of products at 0.9% of cost.
5. **Building lease and rent:** Represents the rent paid on the Markham, ON and Saint John, NB offices.
6. **External Audit Fees:** Includes a monthly over-accrual for the FY18 audit which should have been $15k rather than $26k from Jan-18 to Sep-18.
7. **Brokerage/drayage:** Includes variable broker commissions for 6 brokers; monthly commission is <$25k/broker.
8. **Advertising/NVSP:** Composed of advertising spend to support marketing strategy. Increase in FY18 driven by national television/media campaign compared to FY17’s digital and print campaign.

Appendix 19

Salaries, wages, and benefits

Salaries vs. benefits, reported

$'000	FY17	FY18	TTM P5-19	As % of reported net sales FY17	FY18	TTM P5-19
Total salaries and wages	(23,792)	(23,336)	(23,849)	*8.7%*	*8.5%*	*8.7%*
Total benefits	(3,210)	(3,131)	(3,219)	*1.2%*	*1.1%*	*1.2%*
Bonuses	(2,183)	(517)	(892)	*0.8%*	*0.2%*	*0.3%*
Total salaries, benefits, and wages	**(29,185)**	**(26,984)**	**(27,960)**	***10.7%***	***9.9%***	***10.3%***
Average Headcount	489	428	384			
Total salaries, benefits, and wages per headcount	60	63	73			
Benefits as a % salaries and wages	*13.5%*	*13.4%*	*13.5%*			

Source: Management provided information, KPMG analysis
Note: Headcount is calculated as an average of total monthly Clover Leaf salaried, Blacks Harbour salaried, Blacks Harbour hourly, and KCR Fisheries hourly FTEs. Analysis excludes pension benefits.

Benefits include employee life insurance, extended health care, vision care, professional services, dental care, and long-term disability.

Bonuses were higher in FY17 due to the achievement of incentive targets which are based on company EBITDA, business unit EBITDA, and department objectives.

Compensation per headcount - By position

$'000	As at 31-May-2019 Annual salary	Bonus	Total compensation	Headcount	Total compensation per headcount
Finance	1,826	284	2,110	21	100
Plant	1,372	189	1,561	16	98
IT	262	41	303	2	152
Logistics/ customer service	1,435	189	1,624	17	96
President	558	419	977	1	977
Marketing	700	150	849	6	142
Technical services/ QA	369	43	413	4	103
Sales	3,322	717	4,039	29	139
Total	**9,844**	**2,031**	**11,875**	**96**	**124**

Source: Management provided census information, KPMG analysis
Note: Headcount excludes hourly employee FTEs.

Compensation per headcount - Management vs. employees salaried

$'000	As at 31-May-19 Annual salary	Bonus	Total compensation	Headcount	Total compensation per headcount
Management	2,422	1,074	3,496	10	350
Employees	7,422	957	8,379	86	97
Total	**9,844**	**2,031**	**11,875**	**96**	**124**

Source: Management provided census information, KPMG analysis
Note: Headcount excludes hourly employee FTEs.

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Plant capacity and utilization

Blacks Harbour capacity & utilization by line - 1 shift				
'000	Cases produced per shift	Annual capacity	% Utilization	Operating Budget FY19 Utilization
SAP	2.54	478	*86.5%*	413
Hermasa	1.40	263	*71.0%*	187
Scissors	0.77	145	*97.0%*	140
Value Sardines	4.71	885		740
Snack/Fillet/Premium	0.90	169	*65.0%*	110
Premium	0.90	169		110
BH Capacity	**5.61**	**1,055**		**850**

Source: Management provided information

- The Blacks Harbour facility has the following capabilities:
  - Total space: 250,000 square feet, including 11,500 square feet cold storage space.
  - 5 packing formats, 11 closing machines, 11 retorts, and 5 packaging lines.
  - 41.5% control of the Bay of Fundy sardines quota.
  - Certified by the Canadian Food Inspection Agency (CFIA-ACIA) and Safe Quality Food Program (SQF).

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Broker commissions

Domestic and international broker commissions - CAD only									
	Commissionable sales			Commission			Effective commission rate		
$'000	FY17	FY18	YTD P5-19	FY17	FY18	YTD P5-19	FY17	FY18	YTD P5-19
Vandewater	30,804	31,356	11,824	231	235	89	1%	1%	1%
JI International	3,062	3,405	2,111	77	85	52	3%	3%	2%
Freeman Signature	5,964	5,951	1,417	154	153	35	3%	3%	3%
Advantage Solutions West	4,238	4,076	1,789	72	66	27	2%	2%	2%
Advantage Solutions On	2,654	2,570	1,055	66	64	26	3%	3%	3%
Acosta Canada	374	412	154	15	16	5	4%	4%	3%
Advantage Solutions Atl	4,663	3,405	112	47	34	1	1%	1%	1%
Domestic	51,758	51,174	18,461	661	654	236	1%	1%	1%
Lightbourn Trading Co Ltd	1,158	1,105	381	58	55	19	5%	5%	5%
Motibhai	365	619	253	26	43	18	7%	7%	7%
Hutchinson (Antigua) Ltd	524	661	392	26	33	7	5%	5%	2%
Rams Emdee Montserrat	57	41	19	3	2	1	5%	5%	5%
Lumnat Distributors Ltd	348	351		17	18	-	5%	5%	0%
International	2,453	2,777	1,045	130	151	44	5%	5%	4%
Total	**54,211**	**53,952**	**19,506**	**791**	**805**	**280**	***1%***	***1%***	***1%***

Source: Management provided information

International broker commissions - USD only									
	Commissionable sales			Commission			Effective commission rate		
USD'000	FY17	FY18	YTD P5-19	FY17	FY18	YTD P5-19	FY17	FY18	YTD P5-19
Antonio Barletta Sa	8,214	6,612	2,629	291	217	93	4%	3%	4%
Motibhai	966	666	249	68	47	17	7%	7%	7%
George F Huggins & Co	476	516	122	48	52	12	10%	10%	10%
Coreas Distribution Ltd	466	403	118	23	20	6	5%	5%	5%
Wightman Crane & Stuart	125	154	50	6	8	3	5%	5%	5%
David Coury & Company Ltd	17	9	9	1	0	0	5%	5%	5%
Jamil Enterprises Inc	251	-	-	13	-	-	5%	0%	0%
Total	**10,516**	**8,359**	**3,177**	**450**	**343**	**132**	***4%***	***4%***	***4%***

Source: Management provided information

Total broker commissions - in CAD			
	Commission		
$'000	FY17	FY18	YTD P5-19
USD International broker commissions	584	445	176
CAD Domestic and international broker commissions	791	805	280
Total broker commissions	1,374	1250	456
Unreconciled difference[1]	477	483	164
Broker/drayage expense	**1,851**	**1,733**	**620**
Average period USD/CAD exchange rate - Bank of Canada	1.2986	1.2957	1.3342

Source: Management provided information, KPMG analysis

Note[1]: USD broker commissions are converted to CAD using the Bank of Canada historical rate for the period. We noted an unreconciled difference between total broker commissions and the total broker/drayage expense.

- The Company makes use of 5 unique domestic brokers and 11 unique international brokers.
- Overall broker effective commission rates remained constant in the historical period.

Appendix 22

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Headcount

Headcount by company			
	As at		
	31-Dec-17	31-Dec-18	25-May-19
General and administrative	21	22	23
Selling and marketing	22	22	22
International selling and selling admin	13	12	14
Technical services	4	4	4
Clover Leaf (excl. Blacks Harbour) - salaried	60	60	63
Admin Plant	17	16	16
Admin Accounting	8	8	8
Human Resources	5	6	5
Fish Acquiring (KCR Salary)	3	3	3
Blacks Harbour - salaried	33	33	32
Blacks Harbour - hourly*	380	313	223
KCR Fisheries - hourly*	15	21	4
Total full time equivalents (FTE)	**488**	**427**	**322**

Source: Management provided information, KPMG analysis

Note: Headcount is calculated as an average of total monthly Clover Leaf salaried, Blacks Harbour salaried, Blacks Harbour hourly, and KCR Fisheries hourly FTEs.

Blacks Harbour hourly employees' hours paid decreased by 18% from FY17 to FY18 due to a reduction in sardine operations production volume which in turn decreased headcount requirements.

KCR employees are paid by volume of fish caught, rather than hourly. The total full time equivalents for KCR fluctuates based on volume of fish caught.

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Summary of accounting function

Key personnel

- Gary Ware, Chief Financial Officer, Canada
- Dan Butto, Vice President Finance, Canada
- Marci Cooper, Director, Business Planning & Analysis
- Paolo Santiago, Controller, Canada

Financial systems

- SAP – ERP for processing financial transactions.
- Business Intelligence (BI) – used to prepare and format financial statements.
- Computer Aided Selling (CAS) – add-on used in order to cash process for sales opportunity and customer management.

Financial closing process

- Day 0: Sub-legers are closed in SAP by BBF accounting department.
- Day 1-4: Month end journal entries are prepared, reviewed, approved, and posted to the SAP G/L.
- Day 3: Monthly revaluation is run and reviewed by the Controller for errors and completeness. Variance analysis is performed monthly for profit and loss report which includes gross margin by SKU and species. Adjusting entries are posted to the G/L if consensus on variance results is not reached.
- Day 5: Balance sheet reconciliation is prepared and reviewed for fluctuations by the Controller (monthly). The CFO reviews VPC by category and SG&A comparative charts.

Reliance on parent company

- BBF monitors all cash activities for US and Canada, including daily revolver transactions, debt, hedging instruments, and covenant compliance.
- BBF has sole access to open and close periods and G/L accounts in SAP.

Significant accounting policies

- **Revenue recognition:** The Company recognizes domestic and international sales when the product changes title to the Customer, which is when the product leaves the shipping point. For goods shipped directly from a supplier to a customer, sales are recognized when placed on the ocean vessel.
- **Inventory costing:** All products except Sardine are costed using a moving average cost, calculated using purchase price plus landed costs. Sardines are costed using standard cost.
- **Allowance for doubtful accounts:** The Vice President Finance, Canada reviews the AR aging report with the Credit and Collections Analyst monthly to determine accounts at risk of default. After failure of collection attempts and sufficient approval, the full value of the receivable is considered a bad debt, and is written off within 90 days of establishing the bad debt reserve.
- **Inventory reserves:** Inventory reserves are calculated by review of product inventory and best before dates. For product categories with average inventory values of < $1.0 million, obsolete inventory is written off directly.
- **Customer rebates:** Customer rebates are taken by directly paying less than the invoiced amount or requesting a reimbursement. Rebates are tied to funding allocated to product trade promotions. Requests for additional payment are made to customers who take rebates in excess of funded trade promotions.

Significant changes in accounting policies, procedures, and estimates

- Prior to June 2016, foreign exchange gains and losses were recognized immediately. After June 2016, recognition of foreign exchange gains and losses on USD hedge contracts coincide with three month inventory turns.

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Organizational structure

Corporate Structure

- **Ron Schindler** – *EVP, Bumble Bee Foods and President, CLS*
  - **David Lomas** – *VP, Marketing & Bus, Dev. International*
    - **Linda Fiander-Walsh** – *Marketing Manager*
    - **Ryan Ferguson** – *Trade Marketing & Special Projects Manager*
  - **Heinz Schaerer** – *VP, International Sales*
    - **Krystal McQuade** – *Special markets Sales Manager*
    - **Chrtistina Maxwell** – *Manager, Business Analysis/ Sales Operations*
    - **Ricardo Paz** – *Territory Sales Manager Latin America*
    - **Jordan Tracey** – *Caribbean Territory Sales Manager*
  - **Gary Ware** – *VP, CFO Canada*
    - **Mariam Mall** – *Senior Manager Information Systems*
    - **Mark Robbins** – *Director of Logistics & Customer Service*
    - **Daniel Butto** – *Director of Accounting and Controller*
    - **Marci Cooper** – *Director Bus. Planning & Analysis*
  - **Doug Ohori** – *VP, Canadian Sales*
    - **Guy Boucher** – *Senior Director of Sales - Quebec*
    - **Greg Rinehart** – *Senior Director of Sales*
    - **Kevin Fong** – *Sales Planning Manager*
    - **Ed Praulins** – *Senior Director of Sales*
    - **David Marcovitch** – *Director of Sales – Special Sales*
    - **Dan Robbins** – *Senior Director of Sales - Calgary*
  - **Paul Gallagher** – *VP, Canadian Marketing*
    - **Mark Zagol** – *Director, Trade Marketing*
    - **Li Cao** – *Marketing Director*
  - **Renata Belkova** – *QA Director, Canada & International*
    - **Karen Yip-Chang** – *Senior Quality Manager, Canada*
    - **Camilo Matheus** – *Quality Assurance Specialist*
  - **(Vacant)** – *VP, Canadian Operations*
    - **David Giddens** – *General Manager*
    - **Tony Hooper** – *VP, Fish Resourcing N.E. Procurement, Sardines*

Source: Management provided information

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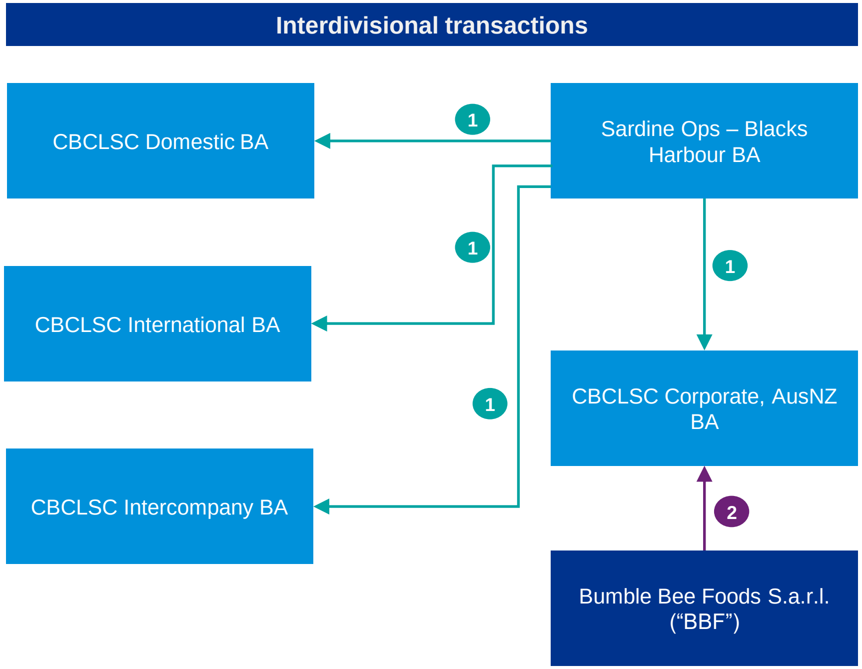
Interdivisional financials



Source: Management provided information, KPMG analysis

- Divisions included in the transaction perimeter
- Entities excluded from the transaction perimeter

Business unit overview

- **CBCLSC Domestic BA:** Domestic business unit which purchases and sells inventory directly from external suppliers and Blacks Harbour to customers in Canada, and represented 66% of net sales in TTM P5-19.
- **CBCLSC International BA:** International business unit which purchases and sells inventory directly from external suppliers and Blacks Harbour to international customers, and represented 29% of net sales in TTM P5-19. International BA does not hold inventory and all traded products are sold by directly from the supplier. For products purchased from Sardine Ops, inventory is held by the Sardine Ops business unit.
- **Sardine Ops – Blacks Harbour BA:** Sardine operations business unit which operates the sardine processing and fishing operations in Blacks Harbour, New Brunswick. This includes operation of fishing vessels, fishing crews, and control of the 41.5% total allowable catch quota in the Bay of Fundy. Sardine Ops sales consist of sale of by-products (fishmeal, bail, fish oil) to third party customers.
- **CBCLSC Corporate, AusNZ BA:** Business unit which includes administrative, head office, and support functions. Additionally, sales related to the supply agreement for BBF's Australia operations which expired in 2018 are recorded under Corporate.
- **Intercompany BA:** Intercompany sardine sales to BBF are recorded under Intercompany BA at COGS plus a markup of 7%.

Transactions:

1. Sardine Ops sales consist of sale of by-products (fishmeal, bail, fish oil) to third party customers and intercompany sales to each of the business units. There is no mark up on products produced at Blacks Harbour and transferred to these business units as these sales all flow through the CBCLSC legal entity.
2. Domestic BA, International BA, and Sardine Ops make use of shared operating expenses provided by BBF and recognized under the Corporate BA division.

Appendix 26

Other assets

Other assets	As at			Average		
						TTM
$'000	31-Dec-17	31-Dec-18	25-May-19	FY17	FY18	P5-19
Prepaid Insurance	16	25	17	18	12	17
Prepaid Softw are Maintenance	-	15	-	-	2	5
Prepaid Rent	44	44	44	44	44	44
Prepaid Marketing	-	-	-	-	124	-
Prepaid Property Tax	0	-	384	265	271	239
Miscellaneous Prepaids	68	78	263	240	366	302
Prepaid Expenses	128	162	708	566	819	607
Prepaid Income Taxes	17	374	304	23	942	749
Derivatives	43	530	320	178	487	349
Intercompany receivables	183,267	73,604	42,028	207,204	183,589	94,733
Construction in progress	1,543	2,801	1,756	863	3,338	2,007
Intercompany notes receivable	182,411	155,627	180,790	74,774	174,458	170,117
Pension benefit asset	1,506	2,642	2,831	1,586	1,937	2,387
Assets Held For Sale	675	673	673	681	675	674
Lt Fv Interest Sw ap & Cap - Asset	-	563	-	-	1,021	913
Total other assets	**369,590**	**236,976**	**229,408**	**285,875**	**367,265**	**272,535**

Source: Management provided information, KPMG analysis

Note: Analysis excludes: cash, accounts receivable, inventories, PP&E and intangible assets.

Primarily relates to prepaid property taxes on Blacks Harbour properties.

Miscellaneous prepaids includes: memberships, subscriptions, and other fees.

Derivatives includes the fair value of commodity contracts, swaps, and forward contracts subject to foreign exchange and market fluctuations.

The Company uses a USD hedging strategy to mitigate product cost increases due to use of the of the Canadian dollar in the domestic business. Hedge purchases are limited to a maximum of 75% of the historical monthly average USD requirements for the first three months, 50% for the following three months, and 25% for the following three months of the year.

The international business unit conducts 80% of sales in USD, acting as a natural hedge against FX-driven cost movements.

Additional hedges are held on aluminum and soybean oil. As at June 30, 2019, hedges on 288 MT of aluminum had an unrealized MTM loss of $64k and hedges on 312k lbs of soybean oil had an unrealized MTM loss of $2k.

Refer to Appendix 8 for a breakdown of intercompany payable balances.

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Fixed assets

Fixed assets as at 25-May-2019			
$'000	Cost	Accumulated depreciation	Net book value
Boats	15,519	(8,815)	6,725
Buildings	21,865	(12,773)	9,239
Construction in progress	2,515	-	1,469
Data Processing softw are	1,346	(1,346)	-
Data processing equipment	2,211	(2,117)	101
Furniture & Fixtures	24	(12)	12
Group Assets	-	-	-
Land	1,450	-	1,450
Land Improvements	4,907	(2,556)	2,342
Leasehold Improvements	674	(433)	241
Machinery & equipment	48,705	(36,407)	13,952
Office Equipment	352	(215)	137
Trucks/Trailers	1,493	(1,082)	411
Total fixed assets	**101,061**	**(65,757)**	**36,078**

Source: Management provided information, KPMG analysis

The Company capitalizes all acquired assets with a value of greater than $2,500 and a useful life of at least one year. Assets that do not meet this criteria are expensed.

Includes the Fundy Monarch boat which was purchased on May 27, 2018 (NBV $4.8 million).

Includes various Blacks Harbour buildings and repairs, including the salmon plant (NBV $813k), building #10 (NBV $2.2 million)

Includes Blacks Harbour fish plant lot (NBV $428k), Brunswick Street warehouse land (NBV $249k), Deadman's Harbour vacant land (NBV $351k) and additional warehouse and vacant lots.

Includes recent machinery and equipment, overwrap packaging line (NBV $1.3 million) purchased on January 27, 2019.

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Intangible assets

Intangible assets						
	As at			Average		
$'000	31-Dec-17	31-Dec-18	25-May-19	FY17	FY18	TTM P5-19
Goodwill	13,865	13,865	13,865	13,865	13,865	13,865
1 Trademarks	48,293	48,293	48,293	48,293	48,293	48,293
2 Slotting Rights	15,082	15,082	15,082	15,082	15,082	15,082
Accum Amort - Slotting	(10,617)	(12,125)	(12,753)	(9,926)	(11,434)	(12,062)
3 Customer Relationships	45,281	45,281	45,281	45,281	45,281	45,281
Accum Amort - Customer Relationships	(34,221)	(36,184)	(36,858)	(33,129)	(35,284)	(36,066)
4 Fishing Licenses	33,872	44,891	44,891	33,872	43,050	44,891
Other intangible assets, net	49,397	56,946	55,643	51,181	56,695	57,126
Total intangible assets	**111,556**	**119,104**	**117,802**	**113,339**	**118,854**	**119,285**

Source: Management provided information, KPMG analysis

The adjacent table presents a breakdown of historical intangibles on the balance sheet.

1. **Trademarks:** Indefinite life trademarks for Bumble Bee, Beach Cliff, Snows, Sweet Sue, Coral, Clover Leaf, and Brunswick brands. Management did not note any impairment factors with brands and brand reputation.
2. **Slotting rights:** A finite life asset based on one-time fees to customers to gain access to shelf space for new product introduction. Slotting rights are amortized over useful life (10 years) as shelf space values decrease as products are discontinued over time. There have been incremental slotting changes over the past few years in value-added and pouch segments. Management notes that slotting values have not diminished past the rate of amortization and there have been no indicators of impairment.
3. **Supply/customer relationships:** Key relationships include Kirkland brand albacore ($5mm) and Sweet Sue ($0.2mm). Kirkland and Sweet Sue's relationships have estimated useful lives of 10 years and 16 years, respectively. Customer relationships were acquired in the BBF LLC, Connors Bros. Clover Leaf and Anova acquisitions in December 2010 and December 2013, respectively.
4. **Fishing licenses:** Indefinite life license to 41.5% of the total herring catch in the Bay of Fundy. Management actively monitors the size of the total allowable catch ("TAC") and did not note any impairment factors in 2018.

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Other liabilities

Other liabilities						
	As at			Average		
						TTM
$'000	31-Dec-17	31-Dec-18	25-May-19	FY17	FY18	P5-19
Current Portion Of Capital Leases & Other	(1,800)	(2,692)	(3,377)	(717)	(1,926)	(2,441)
Trade Payables	(14,579)	(21,262)	(14,338)	(18,010)	(20,212)	(19,723)
Gr/Ir Clearing (Unmatched A/P)	(9,849)	(7,829)	(6,340)	(7,573)	(8,194)	(7,119)
Bank Overdrafts	(165)	(198)	(105)	(201)	(290)	(226)
Accrued Trade And Consumer Marketing	(6,971)	(8,850)	(8,854)	(7,178)	(9,055)	(9,386)
Accrued Payroll, Pr Tax & W/H	(1,153)	(1,029)	(903)	(1,476)	(1,436)	(1,410)
Accrued Bonuses	(2,247)	(695)	(929)	(1,384)	(869)	(693)
Accrued Employee Benefits	(111)	(58)	(37)	(69)	(71)	(76)
Accrued Professional Fees	(369)	(224)	(750)	(236)	(274)	(382)
Accrued Interest	(2,016)	(2,423)	(341)	(721)	(2,025)	(2,102)
Other Accrued Expenses	(1,514)	(1,133)	(1,227)	(1,372)	(1,332)	(1,282)
Accrued expenses	(14,382)	(14,412)	(13,041)	(12,437)	(15,063)	(15,331)
Income & withholding taxes	(1,765)	(1,144)	(1,107)	(1,105)	(1,235)	(961)
Other current liabilities	(494)	(509)	(207)	(541)	(1,222)	(337)
Intercompany payables	(182,854)	(67,358)	(30,255)	(206,976)	(188,409)	(96,947)
Term notes payable, net of DD/IC	(171,243)	(184,995)	(180,804)	(72,263)	(177,095)	(179,686)
Revolving credit facility, net of DD/IC	756	607	(25,749)	(37)	661	(2,928)
Subordinated notes, net of DD/IC	-	-	-	0	-	-
Capital leases & other debt	-	(212)	(442)	-	(53)	(211)
Intercompany notes payable	(133,528)	(123,040)	(126,866)	(129,040)	(132,223)	(130,240)
Deferred income taxes	(7,052)	(7,110)	(6,433)	(7,801)	(6,714)	(6,772)
Other long-term liabilities	(315)	(144)	(706)	(164)	(17)	(136)
Total other liabilities	**(510,878)**	**(398,317)**	**(385,611)**	**(430,365)**	**(521,372)**	**(433,548)**

Source: Management provided information, KPMG analysis
Note: Analysis excludes accounts payable.

Accrued trade and consumer marketing balances increased in FY18, driven by increased trade promotions attributed to the "All Natural" marketing campaign.

Accrued bonuses in FY17 were based on normal payout levels. Management bonuses are based on: a) achievement of original budget EBITDA (50%), achievement of business unit/departmental objectives (25%), and achievement of personal objectives (25%).

Refer to Appendix 8 for a breakdown of intercompany payable balances.

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Canadian tax compliance overview (1/2)

Status of tax years

Compliance status and audit history	FY14	FY15	FY16	FY17	FY18
CLH					
Federal corporate income tax	Normally closed year - not audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
Provincial corporate income tax	Normally closed year - not audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
Non-resident transactions	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
CBCLSC					
Federal corporate income tax	Normally closed year - not audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
Provincial corporate income tax	Normally closed year - audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
Non-resident transactions	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
Sales tax	Normally closed year - audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
Payroll	Normally closed year - audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
KCR					
Federal corporate income tax	Normally closed year - not audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
Provincial corporate income tax	Normally closed year - not audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
Sales tax	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
Payroll	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
CBSC					
Federal corporate income tax	Not applicable	Not applicable	Not applicable	Open year - not audited	Open year - not audited
Provincial corporate income tax	Not applicable	Not applicable	Not applicable	Open year - not audited	Open year - not audited
616 Ltd.					
Federal corporate income tax	Normally closed year - not audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited
Provincial corporate income tax	Normally closed year - not audited	Open year - not audited	Open year - not audited	Open year - not audited	Open year - not audited

Source: Discussions with Management and documents provided in the dataroom

Note: There is no statute of limitations for withholding taxes.

Open year - not audited
Open year - audited
Normally closed year - not audited
Normally closed year - audited
Not applicable

Tax compliance status

- Target's federal and provincial tax returns will, in general terms and subject to certain exceptions noted below, become statute-barred four years from the mailing date of their original NOA (i.e., the "normal reassessment period"). Based on the NOA's provided for Target, FY15 and onwards should remain open to reassessment for federal and provincial returns.
- Sales tax returns become normally closed 4 years after the later of the day the GST/HST/QST returns are filed and the day the returns are due to be filed.
- Taxation authorities may re-open a taxation year otherwise statute-barred when the taxpayer has made misrepresentations that are attributable to neglect, carelessness, or willful default, or has committed any fraud in filing a return for the year.
- Furthermore, all transactions with non-residents are open for reassessment for an additional three years after the original notice of assessment issuance date ("non-resident transactions"). Any unreported non-resident transactions, including failure to withhold taxes, remain open indefinitely.
- Payroll tax returns for Canada Pension Plan contributions become normally closed four years from the end of the calendar year and payroll tax returns for employment insurance premiums become normally closed three years from the end of the calendar year.
- A taxation year that has been audited may still be adjusted if the adjustments fall within the above time limits or a waiver extending the reassessment period has been signed. We requested but have not yet received a confirmation whether any such waivers have been signed.
- Management represented that Target has not taken any positions that could potentially be challenged by tax authorities.

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Canadian tax compliance overview (2/2)

Tax audit history

- CBCLSC was subject to a QST audit for FY11-FY14 that did not result in any significant adjustments.
- CBCLSC was subject to a provincial income tax audits in the provinces of Quebec and Alberta that did not result in any significant adjustments.
- CBCLSC was subject to a CRA pension audit for FY14-FY15 that did not result in any adjustments. However, CRA concluded that CBCLSC's two pension plans did not comply with certain requirements of the ITA in that the plan did not include the subsidiaries of CBCLSC, specifically KCR.

Third-party tax advisors

- Based on information obtained from the 'EY Tax Databook' and representations made by Management, the compliance roles and responsibilities as they pertain to Canadian tax for Target are as follows:

Tax compliance - roles and responsibilities	
	External advisor
Target	
Corporate tax compliance	✓ EY
Withholding tax compliance	×
Transfer pricing	✓ KPMG (FY15-FY17), EY (FY18)
Sales tax	×
Payroll	✓ ADP

Source: EY Tax Databook

Note: ✓ × = Involved / Internal only

Canadian transfer pricing compliance overview

Transfer pricing in Canada

- Transactions between related entities may invoke scrutiny by the tax authorities (e.g., the CRA) if one entity performs services, sells goods to or provides the use of property for another entity without charge or at a charge which does not reflect an "arm's length" price. Generally, an arm's length price for a transaction is the price that would be charged between independent parties under similar facts and circumstances.
- Generally, transfer pricing guidelines require that the "best" or "most appropriate" method be used to determine which transfer pricing methodology sets or tests the arm's length price of a given related party transaction. Transfer pricing is a significant area of focus by CRA auditors.

CBCLSC's transactions with BBF

- During the period under review, CBCLSC had a number of intercompany transactions with its US affiliate, BBF:

1) Sales of branded finished sardines for resale to the US market ($20 million-$34 million annually for FY14-FY18)

- The intercompany price of branded finished sardines is based on CBCLSC's total production costs plus a mark-up of approximately 7%. This transfer pricing policy (i.e. CBCLSC is earning a 7% markup on its total production costs) is benchmarked annually against comparable third party manufacturers and based on the FY15-FY17 and draft FY18 documentation provided, CBCLSC's operating results in respect of transaction 1 were within the arm's length range identified.
- We understand that on average approximately 37% of the finished sardines sold to BBF for resale in the US market is sold under the CBCLSC owned trademark, "Brunswick" but currently CBCLSC is not directly compensated for BBF's use of the Brunswick trademark.
- In an arm's length transaction, the owner of a consumer trademark would expect to be compensated for the other party's use of that trademark to generate sales. Based on a royalty rate of 2.5% applied to BBF's estimated sales of Brunswick products, we estimate the related income tax exposure for FY14-FY18 to be approximately C$500,000 including interest.
- The statute of limitation for transactions with non-arm's length related parties is 7 years from the date of the Notice of assessment for the relevant taxation year, thus additional exposures may exist in respect of FY12-FY13. This is a medium risk concern.

2) Purchase of inventories for resale by CBCLSC ($3 million-$7 million annually for FY14-FY18)

- The intercompany price of BBF-branded finished canned or packaged food products is based on BBF's total production costs plus a markup of approximately 7%. This transaction is considered akin to the transaction discussed above and is therefore tested using the same comparable third party manufacturers as those identified in respect of the sale of branded sardines from CBCLSC to BBF, but tested against the operating results of BBF in respect of the sales of inventories for resale by CBCLSC to mitigate the risk that CBCLSC is not paying above an arm's length price.

3) Management fees ($3.4 million-$5.1 million annually for FY14-FY18)

- BBF provides certain shared services to CBCLSC including quality control, procurement, IT and technology support and headquarter services (treasury, legal, finance, tax, HR and corporate strategy). Management represented the following with respect to these services:
  - Costs allocations to CBCLSC are based on fully-loaded labour costs (salaries, bonuses and overhead) and an estimate of time spent by the employees performing the above mentioned activities.
  - The cost allocation process and time estimate is evaluated on an annual basis.
  - Costs are allocated to CBCLSC with a mark-up applied. The mark-up percentage varies depending on the type of service provided by BBF to CBCLSC.
- Assuming none of the above services are duplicative of activities already performed by CBCLSC, the services provide a benefit to CBCLSC and the cost base identified accurately reflect the fully-loaded costs incurred by the service providers, the risk of any significant transfer pricing exposures relating to shared services appears to be low

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Canadian sales tax compliance overview (1/2)

GST/HST

Revenues

- Target's revenues generally consist of the sale of fish and fish products, which are considered 'basic groceries' for GST/HST purposes and as such are zero-rated. Accordingly, Target generally does not collect GST/HST on its revenues.
- Management indicated when new products are launched, they confirm the zero-rating status with outside counsel.
- Target earns incidental revenues on non-food sales, including the sub-lease of real property and stock room sales to employees, upon which GST/HST is collected.

Credits on Expenses

- Target claims input tax credits on its various expenses including plant operations, travel, transport, leasing and advertising. Management represented that all invoices for which Target claims input tax credits are in the name of respective Target entity.

Lunar Asset Purchase

- In 2018, Target acquired the business assets of Lunar Fishing (New Brunswick) Inc. ("Lunar NB") and Lunar Fishing (Nova Scotia) Inc. ("Lunar NS"). Target filed section 167 elections with the vendors in respect of these transactions.
- While Lunar NB had various business assets including a fishing vessel, equipment and a fishing license, Lunar NS only held a fishing license.
- The section 167 election is designed for single-vendor transactions and issues can arise where assets are being sold by multiple vendors. In addition, the asset sold by Lunar NS may not constitute a business, which is one of the requirements for the election to apply.
- In the event that the elections did not apply and GST/HST was collectible, there is a risk that Target may be liable to indemnify the vendors for interest and penalties under the purchase agreement.
- However, even in absence of the elections, GST/HST would likely not apply to the Lunar asset purchases in these circumstances, as fishing vessels and equipment generally qualify for zero-rating, and fishing licenses are covered by a special GST/HST rule that deems their purchase not to be subject to GST/HST. Thus, any related tax exposure appears to be a low risk concern.

Pension Plans

- Target has two defined-benefit pension plans. Management represented that various services are acquired with respect to operating the plans, as well as a small amount of employee time is devoted to their operation. Management represented that the amount of HST on actual related supplies in 2018 was approximately C$27,000, and this would represent the vast majority of total pension plan-related costs.
- The HST rules in relation to the supplies to the defined-benefit pension plans may result in double taxation at first instance as the rules apply to both actual supplies and deemed supplies unless certain steps are taken as discussed below.
- Management represented that where Target acquires services related to the pension plans, Target resupplies these services to the plans and collects HST on the actual supplies. However, Target does not account for HST on deemed supplies for the services provided by the employees nor the services acquired from the third parties, as is required.
- As Target does not account for HST on deemed supplies and does not issue tax adjustment notes ("TANs"), there may be a liability for HST on deemed supplies equal to the HST on actual supplies. However, this exposure could be potentially mitigated as Target may be able to issue TANs in respect of prior periods (so that any exposure is reduced to interest only) or retroactively file an election that would remove the requirement to collect HST on actual supplies, such that the HST previously collected on actual supplies would instead cover the exposure on deemed supplies.
- In either scenario, there would still be an exposure for HST on the value of Target employees' time spent on pension plan matters, however, this exposure is not expected to be significant. We recommend that Target's HST compliance procedures in relation to pension plans are reviewed and amended appropriately post-close to mitigate compliance deficiencies in the future.

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Canadian sales tax compliance overview (2/2)

QST

- Target's sales in Quebec are all zero-rated and accordingly no QST is collected.
- Management represented that QST credits are claimed on expenses incurred in Quebec.
- As a result of the FY14 QST audit of CBCLSC, certain insignificant credits were disallowed where credit restriction rules had not been applied. Management represented that subsequent to the audit, process changes were made to ensure the restrictions are applied going forward.

PST

- Management represented that Target currently does not have any operations in the PST provinces of British Columbia, Saskatchewan and Manitoba.
- Management represented that Target previously had an office in British Columbia, however this office closed in 2014.
- Accordingly, Target should not be subject to any PST compliance requirements.

Insurance taxes

- Management represented that Target's insurance coverage is generally overseen by its broker Marsh outside Canada. Most of the policies are placed via Canadian licensed brokers, such that applicable insurance taxes would already be collected.
- However, the D&O policy was placed via Marsh outside Canada, such that a 10% federal excise tax applies. Target filed federal excise tax returns for 2017 and 2018 to remit this tax. It is not clear whether returns were also filed in earlier years, however, the amounts in question do not appear to be significant. Management represented that provincial insurance taxes in respect of the D&O policy are collected and remitted by Marsh.

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Tax information read and outstanding (1/2)

Information read

- EY 'Tax Fact Book' dated April 24 2019
- Organizational chart as at January 14 2019
- FY14-FY18 616 Ltd. corporate returns
- FY14-FY18 CSCLSC corporate returns
- FY14-FY18 CBCLSC Quebec ("QC") provincial returns
- FY16-FY18 CBCLSC Alberta ("AB") provincial returns
- FY17-FY18 CBCLSC T1135
- FY17-FY18 CBSC corporate returns (formed in FY17)
- FY14-FY18 CLH corporate returns
- FY17 CLH T1134 Summary Form
- FY14-FY18 KCR corporate returns
- FY14- FY18 CBCLSC T106 Information Returns
- FY14-FY18 CLH T106 Information Returns
- FY14-FY18 616 Ltd. NOAs
- FY14-FY17 CBCLSC NOAs
- FY14-FY17 CBCLSC QC NOAs
- FY14-FY17 CBCLSC AB NOAs
- FY17-FY18 CBSC NOAs
- FY14-FY18 CLH NOAs
- FY14-FY18 KCR NOAs
- FY15 CBCLSC Non-resident withholding tax NOA
- FY15 CLH Non-resident withholding tax NOA/NORA
- FY14-FY15 CBCLSC T2047 filings
- FY15 CLH T2047 filing

Information read (cont'd)

- FY16-FY18 CBCLSC NR4 Slips
- FY16-FY18 CLH NR4 Slips
- NOAs for Q1 2018- Q1 2019 Connors Bros. Clover Leaf Black Harbour Operation GST returns
- NOAs for Q1 2018- Q1 2019 CBCLSC GST returns
- FY18 CBCLSC QST Remittances/Refunds
- Four sample employment contracts
- FY17-FY18 CBCLSC excise tax returns
- 2018 HST election on Lunar Fishing Inc. acquisition
- 2015 KCR 156 Election Form
- FY17-FY19 GST/HST returns for KCR
- 'Shipments by country' excel breakdown
- FY16-FY18 CBCLSC T5
- FY16-FY18 KCR T5
- FY14-FY15 CBCLSC pension audit CRA letters
- FY14-FY15 CBCLSC NB provincial audit CRA letters
- FY19 KCR CRA response letter
- FY11-FY14 CBCLSC QST audit Revenu Quebec response letter
- FY13-FY14 CBCLSC AB audit CRA letters
- FY14 CBCLSC QC audit CRA letters
- FY09, FY15-FY18 CBCLSC transfer pricing documentation
- FY15 KCR restructuring memo
- Intercompany note agreements

Appendix 33

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Tax information read and outstanding (2/2)

Information read (cont'd)

- FY16-FY19 CBCLCS trial balances
- FY16-FY19 CLH trial balances
- FY16-FY19 consolidated trial balances
- Valuation of intangibles analysis
- FY19 Management and Sales Incentive Plan
- FY18 Lunar Asset Purchase Agreement
- FY17 Project Lucky Back to Back Loan Memo
- CBCLSC Certificate of Residency
- FY18 CBCLSC NOA
- Intercompany cash advances schedule
- CBCLSC 2017 transaction cost breakdown by type
- CBCLSC accounting policy in relation to capitalized costs
- FY15 EY tax memo regarding dividend distributions and a return of capital to Luxembourg
- CLH board resolution for the FY17 issuance of 100 common shares
- Redacted CLSS board resolution for the 2017 borrowing from CBCLSC
- Sample (December 2018) redacted CLSS board minutes and resolutions for CBCLSC

Information outstanding:

- Information with respect contemplated pre-closing transaction and their expected tax treatment
- Information with respect to any expected bonuses to employees
- Internal working paper supporting amounts reported on T106 Forms

Appendix 34

Glossary (1/2)

$'000	Amounts in thousands Canadian dollars
616 Ltd.	6162410 Canada Limited
ACOA	Atlantic Canada Opportunities Agency
AP	Accounts payable
AR	Accounts receivable
Avg	Average
BB	Bumble Bee
BBF	Bumble Bee Foods S.a.r.l
BBHSCA	Bumble Bee Holdco S.C.A
BI	Business Intelligence
Bps	Basis points
BS	Balance sheet
CAD/C$	Canadian dollars
CAN Dom	Canada domestic
CAPEX	Capital Expenditure
CAS	Accenture's Trade Promotion Optimization software
CBCLSC	Connors Bros. Clover Leaf Seafoods Company
CBSC	Connors Bros. Seafoods Company
CFIA-ACIA	Canadian Food Inspection Agency
CFO	Chief Finance Officer
CIP	Construction in Process
CLH	Clover Leaf Holdings Company
Client/ you	Bolton Group S.r.l
CLSI	Clover Leaf Seafood Inc.
CLSS	Clover Leaf Seafood S.a.r.l
COGS	Cost of goods sold
Company	Clover Leaf Holdings Company and its subsidiaries
CRA	Canada Revenue Agency
CRM	Customer Relationship Management
D&O	Directors & Officers
DD	Debt Discount
DD/IC	Debt-discount/intercompany
DIO	Days inventory outstanding
DPO	Days payable outstanding
DSO	Days sales outstanding
EBITDA	Earning before Interest, taxes, depreciation and amortization
EC	Equivalent Case
EDC	Export Development Canada
EDI	Electronic Data Interchange
FDA/CFIA	United States Food and Drug Administration/ Canadian Food Inspection Agency
FMV	Fair market value
FTE	Full time equivalents
FX	Foreign exchange
FYXX	Fiscal year ending December 31, 20XX
G&A	General and administrative expenses
GAAP	Generally Accepted Accounting Principles
GST	Goods and services tax
HST	Harmonized sales tax
I/C	Intercompany
IC	Issuance Cost
IFRS	International Financial Reporting Standards
Intl	International
IT	Information Technology
ITA	Income Tax Act
k	Thousand
KCR	K.C.R Fisheries Ltd.
KPI	Key Performance Indicator
L&D	Learning and Development
LIBOR	London Inter-bank Offered Rate
M	Million
MIP	Management incentive plan bonus
MTM	Month-to-month
MT	Metric tonnes
MTC	Mark up on total cost
MTM	Mark to Market
MUV	Material Usage Variance
n.a.	Not available
n.q.	Non-quantified
NBV	Net book value
NOA	Notice of assessment
NOA	Notice of assessment
NTT	NTT Data Corporation
NVSP	Non-variable sales promotion

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Glossary (2/2)

NWC	Net working capital
OH	Overheads
OPEX	Operating Expenditure
P&I	Protection and Indemnity
P&L	Profit and loss
PO	Purchase Order
PST	Provincial sales tax
QA	Quality Assurance
QC	Quality Control
QofE	Quality of earnings
QST	Quebec sales tax
R&D	Research & Development
Sea Value	Sea Value Public Company Limited
SKU	Stock Keeping Unit
SPA	Sale Purchase Agreement
SQF	Safe Quality Food Program (SQF)
SVP	Senior Vice President

T&E	Travel and Entertainment
TAC	Total allowable catch
Target	Clover Leaf Holdings Company and its subsidiaries
TAN	Tax Adjustment Notes
TCP	Taxable Canadian property
Treaty	Canada –Luxembourg treaty
TSA	Transition Services Agreement
TTM	Trailing twelve months period
US$	US dollars
VIM	Vendor Invoice Management
VP	Vice president
VPC	Volume, price, and cost
WAN	Wide Area Network
WHT	Withholding tax
WIP	Work in progress
YTD	Year to date
T&E	Travel and Entertainment
TAC	Total allowable catch

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